CHAPTER 6

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1 - CONSOLIDATED FINANCIAL STATEMENTS AS OF DECEMBER 31, 2023

1.1 Consolidated income statement

(in € millions)	Notes	2023	2022
CONTINUING OPERATIONS			
Revenue	**4**	**19,566**	**20,351**
Cost of sales		(4,639)	(5,153)
Gross margin		**14,927**	**15,198**
Other personnel expenses	5	(2,982)	(2,830)
Other recurring operating income and expenses		(7,199)	(6,779)
Recurring operating income		**4,746**	**5,589**
Other non-recurring operating income and expenses	7	(103)	(194)
Operating income		**4,643**	**5,395**
Financial result	8	(410)	(260)
Income before tax		**4,233**	**5,135**
Income tax expense	9	(1,163)	(1,420)
Share in earnings (losses) of equity-accounted companies		4	2
Net income from continuing operations		**3,074**	**3,717**
o/w attributable to the Group		*2,983*	*3,613*
o/w attributable to minority interests		*91*	*104*
DISCONTINUED OPERATIONS			
Net income from discontinued operations		**–**	**1**
o/w attributable to the Group		*–*	*1*
o/w attributable to minority interests		*–*	*–*
GROUP TOTAL			
Net income of consolidated companies		**3,074**	**3,718**
o/w attributable to the Group		*2,983*	*3,614*
o/w attributable to minority interests		*91*	*104*

(in € millions)	Notes	2023	2022
Net income attributable to the Group		**2,983**	**3,614**
Basic earnings per share *(in €)*	10.1	24.38	29.34
Diluted earnings per share *(in €)*	10.1	24.37	29.31
Net income from continuing operations attributable to the Group		**2,983**	**3,613**
Basic earnings per share *(in €)*	10.1	24.38	29.33
Diluted earnings per share *(in €)*	10.1	24.37	29.30
Net income from continuing operations (excluding non-recurring items) attributable to the Group		**3,061**	**3,747**
Basic earnings per share *(in €)*	10.1	25.02	30.42
Diluted earnings per share *(in €)*	10.2	25.01	30.39

1.2 Consolidated statement of comprehensive income

(in € millions)	Notes	2023	2022
Net income		**3,074**	**3,718**
Change in currency translation adjustments relating to consolidated subsidiaries:		**(75)**	**(69)**
– change in currency translation adjustments		*(75)*	*(69)*
– amounts transferred to the income statement		*–*	*–*
Change in foreign currency cash flow hedges:	**21.6**	**(4)**	**246**
– change in fair value		*268*	*(68)*
– amounts transferred to the income statement		*(271)*	*327*
– tax effects		*(1)*	*(13)*
Change in other comprehensive income (loss) of equity-accounted companies:		**–**	**–**
– change in fair value		*–*	*–*
– amounts transferred to the income statement		*–*	*–*
Gains and losses recognized in equity, to be transferred to the income statement		**(79)**	**177**
Change in provisions for pensions and other post-employment benefits:	**23**	**1**	**24**
– change in actuarial gains and losses		*1*	*30*
– tax effects		*–*	*(6)*
Change in financial assets measured at fair value:	**16.2**	**(23)**	**(225)**
– change in fair value		*(33)*	*(272)*
– tax effects		*10*	*47*
Gains and losses recognized in equity, not to be transferred to the income statement		**(22)**	**(201)**
Total gains and losses recognized in equity		**(101)**	**(24)**
Comprehensive income		2,973	3,694
o/w attributable to the Group		*2,879*	*3,576*
o/w attributable to minority interests		*94*	*118*

1.3 Consolidated balance sheet

Assets

(in € millions)	Notes	Dec. 31, 2023	Dec. 31, 2022
Goodwill	11	7,112	4,053
Brands and other intangible assets	12	8,178	7,357
Lease right-of-use assets	13.1	4,984	4,929
Property, plant and equipment	14	5,341	3,388
Investments in equity-accounted companies	15	1,750	49
Non-current financial assets	16	536	855
Deferred tax assets	9.3	1,520	1,640
Other non-current assets		16	8
Non-current assets		**29,437**	**22,279**
Inventories	17	4,550	4,465
Trade receivables and accrued income	18	1,151	1,180
Current tax receivables		765	378
Current financial assets	16	136	167
Other current assets		1,406	1,136
Cash and cash equivalents	20.1	3,922	4,336
Current assets		**11,930**	**11,662**
Assets held for sale		**–**	**–**
TOTAL ASSETS		41,367	33,941

Equity and liabilities

(in € millions)	Notes	Dec. 31, 2023	Dec. 31, 2022
Equity attributable to the Group		15,212	13,998
Equity attributable to minority interests		798	785
Equity	**19**	**16,010**	**14,783**
Non-current borrowings	20	10,026	4,347
Non-current lease liabilities	13.2	4,511	4,420
Non-current financial liabilities	22	13	–
Non-current provisions for pensions and other post-employment benefits	23	68	66
Non-current provisions	24	21	19
Deferred tax liabilities	9.3	1,776	1,572
Other non-current liabilities		311	228
Non-current liabilities		**16,726**	**10,652**
Current borrowings	20	2,400	2,295
Current lease liabilities	13.2	884	812
Current financial liabilities	22	588	663
Trade payables and accrued expenses		2,200	2,263
Current provisions for pensions and other post-employment benefits	23	12	12
Current provisions	24	163	168
Current tax liabilities		536	567
Other current liabilities		1,848	1,726
Current liabilities		**8,631**	**8,506**
Liabilities associated with assets held for sale		**–**	**–**
TOTAL EQUITY AND LIABILITIES		41,367	33,941

1.4 Consolidated statement of changes in equity

Before appropriation of net income *(in € millions)*	Notes	Number of shares outstanding	Share capital	Capital reserves	Kering treasury shares	Cumulative translation adjustments	Remeasurement of financial instruments	Other reserves and net income	Group	Minority interests	TOTAL
As of January 1, 2022		**124,068,705**	**499**	**1,655**	**(380)**	**(82)**	**165**	**11,469**	**13,326**	**389**	**13,715**
Net income								3,614	3,614	104	3,718
Total gains and losses recognized in equity						(83)	21	24	(38)	14	(24)
Comprehensive income						**(83)**	**21**	**3,638**	**3,576**	**118**	**3,694**
Change in equity of Kering SA		102,862		38					38	–	38
Change in equity of subsidiaries									–	346	346
Expense related to share-based payments	6							45	45	–	45
Cancellation of Kering treasury shares	19.1		(3)	(379)	382				–	–	–
(Acquisitions) disposals of Kering treasury shares[1]	19.1	(1,951,197)			(1,030)				(1,030)	–	(1,030)
Distribution of dividends	19.2							(1,605)	(1,605)	(45)	(1,650)
Other changes[2]								(352)	(352)	(23)	(375)
As of Dec. 31, 2022		**122,220,370**	**496**	**1,314**	**(1,028)**	**(165)**	**186**	**13,195**	**13,998**	**785**	**14,783**
Net income								2,983	2,983	91	3,074
Total gains and losses recognized in equity						(78)	(26)		(104)	3	(101)
Comprehensive income						**(78)**	**(26)**	**2,983**	**2,879**	**94**	**2,973**
Change in equity of Kering SA									–	–	–
Change in equity of subsidiaries									–	9	9
Expense related to share-based payments	6	16,928			10			15	25	–	25
Cancellation of Kering treasury shares	19.1		(3)	(330)	333				–	–	–
(Acquisitions) disposals of Kering treasury shares[1]	19.1	342,883			230			(217)	13	–	13
Distribution of dividends	19.2							(1,705)	(1,705)	(42)	(1,747)
Other changes[2]					5			(3)	2	(48)	(46)
As of Dec. 31, 2023		**122,580,181**	**493**	**984**	**(450)**	**(243)**	**160**	**14,268**	**15,212**	**798**	**16,010**

(1) The acquisition cost of Kering treasury shares is reflected in the Kering treasury shares column. Capital gains or losses on the sale of Kering treasury shares, along with the related expenses and taxes, are recognized in the Other reserves and net income column.
(2) Other changes include changes in scope and transactions with minority interests.

1.5 Consolidated statement of cash flows

(in € millions)	Notes	2023	2022
Net income from continuing operations		**3,074**	**3,717**
Net recurring charges to depreciation, amortization and provisions on non-current operating assets	3.1	1,823	1,666
Other non-cash (income) expenses	26	94	(334)
Cash flow received from operating activities	**26**	**4,991**	**5,049**
Interest paid (received)		300	287
Dividends received		(9)	(7)
Current tax expense	9.1	1,007	1,597
Cash flow received from operating activities before tax, dividends and interest		**6,289**	**6,926**
Change in working capital requirement	27	(396)	(902)
Income tax paid		(1,434)	(1,746)
Net cash received from operating activities		**4,459**	**4,278**
Acquisitions of property, plant and equipment and intangible assets	28	(2,611)	(1,071)
Disposals of property, plant and equipment and intangible assets		135	1
Acquisitions of subsidiaries and associates, net of cash acquired		(5,093)	(1,565)
Disposals of subsidiaries and associates, net of cash transferred		–	(32)
Acquisitions of other financial assets		(56)	(235)
Disposals of other financial assets		251	115
Interest and dividends received		76	17
Net cash received from (used in) investing activities		**(7,298)**	**(2,770)**
Increase (decrease) in share capital and other transactions		–	38
Dividends paid to shareholders of Kering SA	19.2	(1,712)	(1,483)
Dividends paid to minority interests in consolidated subsidiaries		(42)	(45)
Transactions with minority interests		(24)	317
(Acquisitions) disposals of Kering treasury shares	19.1	(10)	(1,030)
Issuance of bonds and bank debt	20.4	6,205	1,742
Redemption of bonds and bank debt	20.4	(957)	(904)
Issuance (redemption) of other borrowings		174	343
Repayment of lease liabilities		(880)	(824)
Interest paid and equivalent		(377)	(298)
Net cash received from (used in) financing activities	**29**	**2,377**	**(2,144)**
Net cash received from (used in) discontinued operations		**–**	**(8)**
Impact of exchange rates on cash and cash equivalents		18	222
Net increase (decrease) in cash and cash equivalents		**(444)**	**(422)**
Cash and cash equivalents at opening	**25**	**4,094**	**4,516**
Cash and cash equivalents at closing	**25**	**3,650**	**4,094**

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INTRODUCTION

Kering SA, the Group's parent company, is a *société anonyme* (French corporation) with a Board of Directors, incorporated under French law, whose registered office is located at 40, rue de Sèvres, 75007 Paris, France. Kering is a global Luxury group that manages the development of a collection of renowned Houses in Fashion, Leather goods and Jewelry.

On February 7, 2024, the Board of Directors approved the consolidated financial statements as of December 31, 2023 and authorized their publication. These consolidated financial statements will only be considered as final after their adoption by the April 25, 2024 Annual General Meeting.

The consolidated financial statements as of December 31, 2023 reflect the accounting position of Kering SA, its subsidiaries and its associates (the "Group").

Pursuant to European Regulation no. 1606/2002 of July 19, 2002, these consolidated financial statements were prepared in accordance with applicable international financial reporting standards (IFRSs) as endorsed by the European Union and mandatorily applicable as of the reporting date.

The accounting policies and methods applied by the Group pursuant to IFRSs are set out in Note 33 – Accounting policies and methods.

Unless otherwise stated, amounts are stated in millions of euros. In general, amounts stated in the consolidated financial statements and notes to the consolidated financial statements are rounded to the nearest unit. As a result, the sum of the rounded amounts may show non-material differences relative to the stated total.

NOTE 1 – SIGNIFICANT EVENTS OF 2023

Acquisition of prestigious real-estate assets in Paris

In 2023, Kering acquired three prestigious buildings in Paris, located on Rue de Castiglione (close to Place Vendôme in the first *arrondissement*) and Avenue Montaigne (in the eighth *arrondissement*).

Those investments form part of Kering's selective real-estate strategy aimed at securing key locations that are highly desirable for its Houses.

In accordance with its long-term financial strategy, the Group intends to implement a disciplined and flexible approach to managing its real-estate portfolio.

Kering Beauté acquires Creed, the high-end luxury heritage fragrance house

On June 26, 2023, Kering Beauté announced that it had signed an agreement to acquire 100% of Creed. The transaction was completed on October 17, 2023 and Creed has been fully consolidated in the consolidated financial statements since November 1, 2023.

Established in 1760 by James Henry Creed, the House of Creed is the largest global independent player in the fast-growing high-end fragrance market, with distinctive, timeless and sophisticated fragrance collections. In recent years, Creed has delivered double-digit growth, along with outstanding profitability and very high EBITDA margins, while never compromising on product quality and maintaining its very strong brand image. In its financial year ended March 31, 2023, Creed generated revenue of more than €250 million. Creed offers a tailored, elevated in-store experience through its network of branded stores, and quality distribution through around 1,400 points of sale globally.

The acquisition of Creed is a major milestone for Kering Beauté. Creed is a perfect fit with Kering's portfolio of renowned Luxury brands, and immediately gives Kering Beauté substantial scale, an attractive financial profile, as well as a platform for supporting the future development of other Kering Beauté fragrance franchises, particularly by leveraging Creed's global distribution network.

While preserving Creed's rich heritage and exclusive brand image, Kering Beauté will further unlock Creed's potential across geographies, sales channels, and categories, notably by accelerating its development in China and in Travel Retail, and by further expanding its portfolio in the women's fragrance, body and home categories.

Kering and Mayhoola announce Kering's acquisition of a significant stake in Valentino as part of a broader strategic partnership

On July 27, 2023, Kering and Mayhoola entered into a binding agreement for Kering to acquire a 30% shareholding in Valentino, for a cash consideration of €1.7 billion. The agreement includes a cross-option agreement allowing Kering to acquire 100% of Valentino's share capital no later than 2028.

Founded in Rome in 1960 by Valentino Garavani, Valentino is one of the most internationally recognized Italian luxury houses. Valentino is a Maison de Couture with a strong heritage, positioned at the high end of the Luxury market. With its Haute Couture roots and a portfolio of iconic creations, Valentino has also developed a range of Ready-to-wear, Leather goods and Accessories that have attracted a very loyal customer base and are worn by celebrities around the world. Today, Valentino has 211 directly operated stores in more than 25 countries and it generated revenue of €1.4 billion and recurring EBITDA of €350 million in 2022.

The transaction is part of a broader strategic partnership between Kering and Mayhoola, which could lead to Mayhoola becoming a shareholder in Kering.

On November 30, 2023, Kering announced that it had completed the acquisition, in accordance with the terms disclosed on July 27, 2023 and following clearance from the antitrust authorities. This stake has been accounted for in Kering's financial statements using the equity method since November 30, 2023.

Boucheron announces the acquisition of a High Jewelry workshop

On November 6, 2023, as part of its ongoing growth and development strategy, Boucheron acquired a High Jewelry workshop, renowned for its excellent expertise in traditional craftsmanship. The acquisition allows Boucheron to reinforce the production capacity of its historical High Jewelry workshop.

The workshop is composed of four companies: Blondeau, Belter, Chanson and FG Développement, which have worked together at the same address since 2017. Together, they have around sixty artisans (CAD designers, jewelers, lapidaries, setters and polishers) who are involved in each step of the process in the making of a High Jewelry creation.

The workshop's teams joined Boucheron on October 31, 2023, working alongside its established workshop at 26, Place Vendôme to develop the House's High Jewelry collections.

Kering Eyewear acquires UNT, one of its key suppliers in the production of high-precision components

On June 30, 2023, Kering Eyewear acquired 100% of the share capital of French company UNT (*Usinage & Nouvelles Technologies*), to strengthen its position in the Luxury eyewear industry. UNT is a key player in the manufacturing of high-precision metal and mechanical components for the entire Luxury eyewear sector.

Following on from the acquisition of Manufacture Kering Eyewear – previously *Manufacture Cartier Lunettes* – in France in 2017 and the purchase of a stake in *Trenti Industria Occhiali* in Italy in 2019, this transaction represents another important step in the industrial development strategy of Kering Eyewear, which controls its supply chain through strategic partnerships with industry-leading manufacturers, ensuring an unparalleled level of quality and technical expertise.

Kering Eyewear and UNT share the same vision and values of excellence, craftsmanship, innovation and sustainability.

Three bond issues in euros and sterling, for €1.5 billion, €3.8 billion and £800 million respectively

As part of the Group's active liquidity management, Kering carried out three bond issues in 2023, enabling it to enhance its financial flexibility and allowing it both to refinance existing debt and finance its recent acquisitions.

The great success of these issues with investors underscored the market's confidence in the Group's credit quality.

- Dual-tranche issue on February 20, 2023 for a total amount of €1.5 billion:
  - a €750 million tranche with a 6-year maturity and a 3.25% coupon,
  - and a €750 million tranche with a 10-year maturity and a 3.375% coupon.

  The issue allowed the Group to refinance its existing debt.
- Four-tranche issue on August 29, 2023 for a total amount of €3.8 billion bond issue:
  - a €750 million tranche with a 2-year maturity and a 3.75% coupon,
  - a €750 million tranche with a 4-year maturity and a 3.625% coupon,
  - a €1 billion tranche with a 8-year maturity and a 3.625% coupon,
  - a €1.3 billion tranche with a 12-year maturity and a 3.875% coupon.

  This issue was notably intended to finance the acquisition of Creed.
- Dual-tranche issue on November 16, 2023, for a total amount of £800 million:
  - a £400 million tranche with a 3-year maturity and a 5.125% coupon,
  - a £400 million tranche with a 9-year maturity and a 5% coupon.

  This issue allowed the Group to diversify its sources of funding, by accessing for the first time the sterling bond market.

NOTE 2 – SUBSEQUENT EVENTS

Acquisition of a prestigious property in New York City

On January 22, 2024 and continuing the strategy implemented in 2023, Kering announced the acquisition of a prestigious New York City property comprising multi-level luxury retail spaces, totaling approximately 115,000 sq. ft, or 10,700 sq. m., located at 715-717 Fifth Avenue, on the Southeast corner of 56th Street, for a consideration of $963 million (€885 million).

No other significant event took place between December 31, 2023 and February 7, 2024, the date on which the Board of Directors approved the annual financial statements.

NOTE 3 – OPERATING SEGMENTS

3.1 Information by operating segment

(in € millions)	Gucci	Yves Saint Laurent	Bottega Veneta	Other Houses	Kering Eyewear and Corporate	Eliminations[1]	Total
2023							
Revenue	**9,873**	**3,179**	**1,645**	**3,514**	**1,568**	**(213)**	**19,566**
Recurring operating income	**3,264**	**969**	**312**	**212**	**(7)**	**(4)**	**4,746**
Net recurring charges to depreciation, amortization and provisions on non-current operating assets	735	250	182	373	283	N/A	1,823
EBITDA	3,999	1,219	494	585	276	(4)	6,569
Acquisitions of property, plant and equipment and intangible assets[2]	435	186	105	247	1,638	N/A	2,611

(1) Intra-group eliminations are now disclosed in a separate column.

(2) Including the acquisition of strategic real-estate properties up to €1,380 million.

(in € millions)	Gucci	Yves Saint Laurent	Bottega Veneta	Other Houses	Kering Eyewear and Corporate	Eliminations	Total
2022							
Revenue	**10,487**	**3,300**	**1,740**	**3,874**	**1,139**	**(189)**	**20,351**
Recurring operating income	**3,732**	**1,019**	**366**	**558**	**(88)**	**2**	**5,589**
Net recurring charges to depreciation, amortization and provisions on non-current operating assets	684	232	175	330.0	245	N/A	1,666
EBITDA	4,416	1,251	541	888	157	2	7,255
Acquisitions of property, plant and equipment and intangible assets	408	112	92	221	238	N/A	1,071

3.2 Revenue by region

(in € millions)	2023	2022
Asia-Pacific (Excluding Japan)	6,848	6,568
Western Europe	5,405	5,566
North America	4,500	5,547
Japan	1,400	1,244
Rest of the world	1,413	1,425
TOTAL	19,566	20,351

NOTES ON THE CONSOLIDATED INCOME STATEMENT

NOTE 4 – REVENUE

(in € millions)	2023	2022
Sales from directly operated stores including e-commerce	15,446	16,007
Wholesale sales, royalties and other revenue[1]	4,120	4,344
TOTAL	19,566	20,351

(1) After elimination of intra-group sales.

NOTE 5 – PERSONNEL EXPENSES AND HEADCOUNT

5.1 Personnel expenses by type

(in € millions)	2023	2022
Wages, salaries and payroll taxes	(2,682)	(2,497)
Expenses related to pensions and other post-employment benefits under defined benefit plans	(11)	(11)
Expense related to share-based payments	(10)	(29)
Other	(279)	(294)
TOTAL[1]	(2,982)	(2,830)

(1) Excludes personnel expenses included in the cost of sales.

5.2 Average headcount on a full-time equivalent basis by region

	2023	2022
Asia-Pacific (excluding Japan)	12,318	12,306
Western Europe	21,777	19,487
North America	5,638	4,825
Japan	2,808	2,681
Rest of the world	3,473	3,337
TOTAL	46,014	42,637

5.3 Headcount on the payroll at year-end by region

	Dec. 31, 2023	Dec. 31, 2022
Asia-Pacific (excluding Japan)	12,739	12,888
Western Europe	23,593	21,914
North America	5,957	5,840
Japan	2,978	2,934
Rest of the world	3,697	3,651
TOTAL	48,964	47,227

NOTE 6 – SHARE-BASED PAYMENT

6.1 Cash-settled plans

Until 2019, the Group granted certain employees Kering Monetary Units (KMUs), which are long-term share-based incentives that are systematically settled in cash and subject to continuing service conditions for all beneficiaries, and also subject to performance conditions for executive corporate officers. The Group recognizes its obligations as services are rendered by the beneficiaries, over the period from the grant date to the vesting date.

Vested rights may be exercised over a period of two years, during which beneficiaries can opt to cash out some or all of their KMUs in April and October, at their discretion, based on the most recently determined value.

The unit value of the KMUs awarded is determined and changes based on movements in the Kering share price by itself and in comparison with the average performance of a basket of seven stocks from the Luxury industry. The exercise date is the date at which all of the specified vesting conditions are satisfied, and as of which the beneficiaries are entitled to ask for payment of their entitlements.

At December 31, 2023, all share-based long-term incentive plans had been exercised, with the 2019 plan reaching the end of its exercise period in October 2023.

Information on grants

Year granted	2019
Grant date	1/1/2019
Vesting period	3 years
Exercise period	2 years
Last exercise window	October 2023
Number of beneficiaries on the grant date	345
Number of shares initially granted	38,205
Unit fair value at grant date *(in €)*	753

Number of shares outstanding

Year granted	2019
Balance as of December 31, 2022	**3,758**
Number granted	–
Number forfeited	(29)
Number exercised	(3,729)
Balance as of December 31, 2023	–
o/w exercisable as of December 31, 2023	–
Weighted average price per instrument exercised *(in €)*	1,287

6.2 Plans settled in Kering shares

Free share and performance share plans

Since 2020, with respect to its long-term incentive plans, Kering has introduced free share and performance share plans for senior executives and certain Group employees. The characteristics of these plans are as follows:

Information on grants

Year granted	2020	2021	2022	2023
Grant date	10/01/2020	10/01/2021	10/04/2022	10/03/2023
Vesting period	3 years	3 years	3 years	3 years
Number of beneficiaries on the grant date	351	372	497	610
Number of shares initially granted	46,596	42,752	74,274	73,222
Unit fair value at grant date *(in €)*	542.6-608.7	622.5-628.3	457.2-461.5	397.3-403.4

Number of shares outstanding

Year granted	2020	2021	2022	2023
Balance as of December 31, 2022	**38,631**	**38,250**	**68,336**	**–**
Number granted	–	–	–	73,222
Number forfeited	(21,703)	(7,798)	(12,282)	(1,395)
Number delivered	(16,928)	–	–	–
Balance as of December 31, 2023	**–**	**30,452**	**56,054**	**71,827**

Under performance share plans, the final number of shares delivered to beneficiaries who continue to be employed by the Group at the end of the vesting period cannot be less than 50% of, or over 50% more than the initial grant made to these beneficiaries. The performance adjustment ratio used to calculate the final number of shares to be delivered is determined in line with Kering's share performance over the three-year vesting period versus the performance of the industry as a whole, as measured by an index of eight European luxury stocks. As well as the performance conditions applicable to all beneficiaries, specific performance conditions apply to the corporate officers, as outlined at the Annual General Meetings of June 16, 2020, April 22, 2021, April 28, 2022 and April 27, 2023.

Other free share and performance share plans

Kering may also include share-based payments in plans specifically introduced for key executives from the Houses, reflecting the creation of value at their respective brands.

A plan of this type was set up in 2020 and was settled in Kering shares in 2023 after an accelerated vesting period of three years compared with the initial vesting period of five years.

The fair value of this benefit at the grant date was calculated by an independent expert using the Black & Scholes and Monte Carlo methods, and amounted to €55 million.

NOTE 7 – OTHER NON-RECURRING OPERATING INCOME AND EXPENSES

(in € millions)	2023	2022
Gains relating to changes in scope	28	29
Capital gains on disposals of non-current assets	85	–
Restructuring reversal	35	–
Other	19	4
Other non-recurring operating income	**167**	**33**
Losses relating to changes in scope	(1)	(21)
Capital losses on disposals of non-current assets	–	–
Impairment of goodwill and other non-current assets	(70)	(41)
Restructuring costs	(111)	(36)
Acquisition costs	(39)	(29)
Other	(50)	(101)
Other non-recurring operating expenses	**(270)**	**(227)**
Other non-recurring operating income and expenses	(103)	(194)

Restructuring costs in 2023, net of reversals, mainly concern the continuation of the restructuring that began at Gucci in 2022. Other expenses comprise:

- impairment of other non-current assets, mainly related to the reorganization of Gucci's creative studio;
- impairment of other assets at Alexander McQueen and Brioni; and
- costs relating to the acquisition of Creed.

The gain from changes in the scope of consolidation arose from the change in consolidation method used for Ginori 1735.

The €85 million capital gain on asset disposals arose from the disposal of a building in London.

In 2022, other non-current operating expenses mainly concerned the cost of reorganizing Gucci's design studio, the impact of the change in estimate relating to inventories and impairment of assets in Russia. Other income were related to the disposal of Ulysse Nardin and Girard Perregaux.

NOTE 8 – FINANCIAL RESULT

(in € millions)	2023	2022
Cost of net debt[1]	**(108)**	**(47)**
Income from cash and cash equivalents	102	10
Finance costs at amortized cost	(210)	(57)
Other financial income and expenses	**(151)**	**(89)**
Net gains (losses) on financial assets	15	(3)
Net foreign exchange gains (losses)	(64)	(28)
Ineffective portion of cash flow and fair value hedges	(95)	(154)
Net gains (losses) on derivative instruments not qualifying for hedge accounting	9	111
Other finance costs	(16)	(15)
Financial result excluding leases	**(259)**	**(136)**
Interest expense on lease liabilities	(151)	(124)
TOTAL	(410)	(260)

(1) Net debt is defined in Note 33.1.5.

The Group's cost of net debt was €108 million in 2023 (€47 million in 2022). This €61 million increase was mainly due to the rise in interest expenses, arising from the increase in the Group's average amount of debt against a background of rising short- and long-term interest rates, partly offset by the significant increase in interest income on the Group's cash position as a result of higher interest rates.

Other financial income and expense produced a net expense of €151 million in 2023 (€89 million in 2022). This €62 million increase was mainly due to the non-recurrence of the €106 million positive impact that arose in 2022 from revaluing the option component of the bonds exchangeable for PUMA shares (redeemed in September 2022) at fair value through the income statement.

NOTE 9 – INCOME TAXES

9.1 Income tax expense

(in € millions)	2023	2022
Current tax expense	(1,007)	(1,597)
Deferred tax income/(expense)	(156)	177
TOTAL	(1,163)	(1,420)

9.2 Reconciliation of the effective tax rate

(in € millions)	2023	2022
Income before tax	4,233	5,135
Income tax expense	(1,163)	(1,420)
Effective tax rate	**27.5%**	**27.7%**
Other non-recurring operating income and expenses	(103)	(194)
Recurring income before tax	4,336	5,329
Income tax on other non-recurring operating income and expenses	25	60
Tax expense on recurring income	(1,188)	(1,480)
Effective tax rate on recurring income	**27.4%**	**27.8%**

(as a % of pre-tax income)	2023	2022
Tax rate applicable in France	**25.8%**	**25.8%**
Differences in the tax rates applicable to foreign subsidiaries	-1.9%	-0.9%
Permanent differences	-0.4%	-0.4%
Unrecognized tax losses carried forward	-0.8%	1.4%
Other differences	4.7%	1.8%
Effective tax rate on recurring income	**27.4%**	**27.8%**
Differences relating to other non-recurring operating income and expenses (permanent differences and differences in tax rates)	0.1%	-0.1%
Effective tax rate	**27.5%**	**27.7%**

The income tax rate applicable in France in 2023 was the standard rate of 25%, plus a social surtax of 3.3%, bringing the overall rate to 25.8%.

Differences in the tax rates applicable to foreign subsidiaries correspond to the difference between the statutory tax rate applicable in France and the different statutory tax rates applicable in other countries in which the Group does business.

Permanent differences result from expenses not deductible and/or income not taxable pursuant to the tax laws of the countries in which the Group operates.

Other differences mainly relate to other taxes, such as the IRAP regional production tax in Italy, the CVAE tax on value added in France, tax credits, and the impact of any tax reassessments.

9.3 Deferred tax assets and liabilities

(in € millions)	Dec. 31, 2022	Income statement	Gains and losses recognized in equity	Other changes[1]	Dec. 31, 2023
Deferred tax assets	1,640	(91)	2	(31)	1,520
Deferred tax liabilities	(1,572)	(65)	7	(146)	(1,776)
Net deferred tax assets (liabilities)	**68**	**(156)**	**9**	**(177)**	**(257)**
Value of brands	(1,544)	3	–	(140)	(1,681)
Inventories: elimination of internal margins and impairment	1,189	(140)	–	(23)	1,026
Other adjustments	403	(32)	9	(10)	370
Tax loss carryforwards	20	13	–	(4)	28

(1) "Other changes" include foreign exchange differences and changes in scope.

9.4 Unrecognized deferred tax assets

(in € millions)	Dec. 31, 2023	Dec. 31, 2022
Deferred tax assets on tax loss carryforwards	332	368
Deferred tax assets on other temporary differences	39	41
Unrecognized deferred tax assets	**370**	**410**

(in € millions)	Dec. 31, 2023	Dec. 31, 2022
Unrecognized tax loss carryforwards expiring in *(tax base)*	968	1,156
less than five years	*9*	*25*
more than five years	*959*	*1,132*
Indefinite unrecognized tax loss carryforwards *(tax base)*	607	623
Total unrecognized tax loss carryforwards *(tax base)*	**1,575**	**1,779**

NOTE 10 – EARNINGS PER SHARE

10.1 Earnings per share

2023

	Consolidated Group	Continuing operations	Discontinued operations
Net income attributable to the Group *(in € millions)*	**2,982.6**	**2,982.6**	**–**
Weighted average number of ordinary shares outstanding	123,953,244	123,953,244	123,953,244
Weighted average number of Kering treasury shares	(1,606,750)	(1,606,750)	(1,606,750)
Weighted average number of ordinary shares	**122,346,494**	**122,346,494**	**122,346,494**
Basic earnings per share *(in €)*	**24.38**	**24.38**	**–**
Weighted average number of ordinary shares	122,346,494	122,346,494	122,346,494
Potentially dilutive ordinary shares	36,436	36,436	36,436
Weighted average number of diluted ordinary shares	**122,382,930**	**122,382,930**	**122,382,930**
Diluted earnings per share *(in €)*	**24.37**	**24.37**	**–**

2022

	Consolidated Group	Continuing operations	Discontinued operations
Net income attributable to the Group *(in € millions)*	**3,613.8**	**3,612.7**	**1.0**
Weighted average number of ordinary shares outstanding	124,705,057	124,705,057	124,705,057
Weighted average number of Kering treasury shares	(1,545,941)	(1,545,941)	(1,545,941)
Weighted average number of ordinary shares	**123,159,116**	**123,159,116**	**123,159,116**
Basic earnings per share *(in €)*	**29.34**	**29.33**	**0.01**
Weighted average number of ordinary shares	123,159,116	123,159,116	123,159,116
Potentially dilutive ordinary shares	135,529	135,529	135,529
Weighted average number of diluted ordinary shares	**123,294,645**	**123,294,645**	**123,294,645**
Diluted earnings per share *(in €)*	**29.31**	**29.30**	**0.01**

10.2 Earnings per share from continuing operations excluding non-recurring items

Non-recurring items presented below consist of other non-recurring operating income and expenses (see Note 7), reported net of tax and any minority interests.

(in € millions)	2023	2022
Net income from continuing operations attributable to the Group	**2,982.6**	**3,612.7**
Other non-recurring operating income and expenses	(102.8)	(194.0)
Income tax on other non-recurring operating income and expenses	24.7	60.0
Net income from continuing operations (excluding non-recurring items) attributable to the Group	**3,060.7**	**3,746.7**

	2023	2022
Weighted average number of ordinary shares outstanding	123,953,244	124,705,057
Weighted average number of Kering treasury shares	(1,606,750)	(1,545,941)
Weighted average number of ordinary shares	**122,346,494**	**123,159,116**
Basic earnings per share from continuing operations excluding non-recurring items *(in €)*	**25.02**	**30.42**
Weighted average number of ordinary shares	122,346,494	123,159,116
Potentially dilutive ordinary shares	36,436	135,529
Weighted average number of diluted ordinary shares	**122,382,930**	**123,294,645**
Diluted earnings per share from continuing operations excluding non-recurring items *(in €)*	**25.01**	**30.39**

NOTES ON THE CONSOLIDATED BALANCE SHEET

NOTE 11 – GOODWILL AND IMPAIRMENT TESTS

11.1 Changes during the period

2023

(in € millions)	As of January 1	Acquisitions	Impairment losses	Changes in scope	Foreign exchange differences	Other movements	As of December 31
Gross	**4,261**	**3,508**	**–**	**–**	**72**	**(517)**	**7,324**
Impairment losses	(207)	–	–	–	(5)	–	(211)
NET	4,053	3,508	–	–	67	(517)	7,112

Acquisitions in 2023 corresponds mainly to €3,423 million of provisional goodwill relating to Creed. The €517 million of Other movements corresponds mainly to the allocation of goodwill relating to Maui Jim.

Creed's revenue for the period is €62 million.

2022

(in € millions)	As of January 1	Acquisitions	Impairment losses	Changes in scope	Foreign exchange differences	Other movements	As of December 31
Gross	**3,094**	**1,474**	**–**	**–**	**(114)**	**(194)**	**4,261**
Impairment losses	(203)	–	–	–	(4)	–	(207)
NET	2,891	1,474	–	–	(118)	(194)	4,053

Acquisitions in 2022 corresponds mainly to €1,455 million of provisional goodwill relating to Maui Jim. The €194 million of Other movements corresponds mainly to the allocation of goodwill relating to Lindberg.

11.2 Impairment tests

As part of the goodwill measurement process, an impairment test was carried out as of December 31, 2023. The main assumptions used for each cash-generating unit (CGU) or group of CGUs are as follows:

2023

	Goodwill			
Dec. 31, 2023 *(in € millions)*	**Net carrying amount**	**Discount rate (before tax)**	**Perpetual growth rate**	**Business plan time frame**
Gucci CGU	1,649	15.4%	3.0%	5 years
Other CGUs	5,464	12.1% - 15.7%	3.0%	5 or 10 years
TOTAL	7,112			

2022

	Goodwill			
Dec. 31, 2022 *(in € millions)*	**Net carrying amount**	**Discount rate (before tax)**	**Perpetual growth rate**	**Business plan time frame**
Gucci CGU	1,652	15.2%	3.0%	5 years
Other CGUs	2,401	11.8% - 15.2%	3.0%	5 or 10 years
TOTAL	4,053			

In 2023, no impairment loss was recognized in the income statement as a result of impairment tests.

Recoverable amounts determined as part of impairment tests underwent sensitivity testing based on a 10-basis-point increase in the post-tax discount rate, a 10-basis-point decrease in the perpetual growth rate and a 10-basis-point decrease in cash flows.

These tests did not show a recoverable amount less than the carrying amount of cash-generating units or groups of cash-generating units.

NOTE 12 – BRANDS AND OTHER INTANGIBLE ASSETS

(in € millions)	Gross	Amortization and impairment	Dec. 31, 2023 Net	Dec. 31, 2022 Net
Brands	7,311	(103)	7,208	6,655
Other intangible assets	2,216	(1,245)	970	702
TOTAL	9,527	(1,348)	8,178	7,357

In 2023, changes in brands and other intangible assets were as follows:

2023

(in € millions)	Carrying amount as of January 1	Acquisitions	Amortization	Impairment losses	Changes in scope	Foreign exchange differences	Other movements	Carrying amount as of December 31
Brands	6,655	–	–	–	–	(76)	628 (1)	7,208
Other intangible assets	702	311	(221)	–	114	(9)	74	970
TOTAL	7,357	311	(221)	–	114	(85)	702	8,178

(1) The amount under "Other movements" relates mainly to the Maui Jim brand.

2022

(in € millions)	Carrying amount as of January 1	Acquisitions	Amortization	Impairment losses	Changes in scope	Foreign exchange differences	Other movements	Carrying amount as of December 31
Brands	6,406	–	–	–	–	2	247 (1)	6,655
Other intangible assets	597	279	(177)	–	4	1	(2)	702
TOTAL	7,003	279	(177)	–	4	3	245	7,357

(1) The amount under "Other movements" relates to the Lindberg brand.

NOTE 13 – LEASES

13.1 Lease right-of-use assets

(in € millions)	Gross	Depreciation and impairment	Dec. 31, 2023 Net	Dec. 31, 2022 Net
Stores	6,498	(2,792)	3,706	3,682
Offices and other	1,758	(607)	1,151	1,126
Capitalized fixed lease payments	**8,256**	**(3,399)**	**4,857**	**4,808**
Lease rights	217	(91)	127	121
TOTAL	8,473	(3,490)	4,984	4,929

Change in lease right-of-use assets

2023

(in € millions)	Carrying amount as of January 1	New leases	Lease modifications	Early terminations	Depreciation	Impairment losses	Foreign exchange differences	Other	Carrying amount as of December 31
Stores	3,682	1,060	147	(84)	(815)	(10)	(106)	(168)	3,706
Offices and other	1,126	245	7	(54)	(161)	(29)	(7)	23	1,151
Total	**4,808**	**1,305**	**154**	**(138)**	**(976)**	**(39)**	**(113)**	**(145)**	**4,857**
Lease rights	121	13	-	-	(9)	(2)	(1)	5	127
TOTAL	4,929	1,318	154	(138)	(985)	(41)	(114)	(140)	4,984

2022

(in € millions)	Carrying amount as of January 1	New leases	Lease modifications	Early terminations	Depreciation	Impairment losses	Foreign exchange differences	Other	Carrying amount as of December 31
Stores	3,299	1,045	110	(35)	(771)	(18)	44	7	3,682
Offices and other	896	376	41	(37)	(154)	–	6	(3)	1,126
Total	**4,196**	**1,421**	**151**	**(72)**	**(925)**	**(18)**	**50**	**4**	**4,808**
Lease rights	106	14	–	–	(10)	–	(1)	13	121
TOTAL	4,302	1,435	151	(72)	(935)	(18)	49	17	4,929

13.2 Lease liabilities

(in € millions)	Less than one year	One to five years	More than five years	Total as of Dec. 31, 2023	Total as of Dec. 31, 2022
Maturity schedule of lease liabilities	884	2,519	1,992	5,395	5,232

As of December 31, 2023, current lease liabilities amounted to €884 million (€812 million in 2022). Non-current lease liabilities totaled €4,511 million (€4,420 million in 2022).

Change in lease liabilities

2023

(in € millions)	Carrying amount as of January 1	New leases	Repay-ments	Interest expense	Lease modifi-cations	Early termi-nations	Foreign exchange difference	Other	Carrying amount as of December 31
Stores	4,027	1,066	(850)	119	138	(99)	(116)	(133)	4,153
Offices and other	1,204	248	(180)	32	7	(68)	(8)	7	1,242
TOTAL	5,232	1,314	(1,030)	151	145	(167)	(124)	(126)	5,395

2022

(in € millions)	Carrying amount as of January 1	New leases	Repay-ments	Interest expense	Lease modifi-cations	Early termi-nations	Foreign exchange difference	Other	Carrying amount as of December 31
Stores	3,540	1,033	(780)	98	112	(34)	48	10	4,027
Offices and other	961	375	(168)	26	42	(37)	8	(3)	1,204
TOTAL	4,501	1,408	(948)	124	154	(71)	56	7	5,232

13.3 Impact of leases in the income statement

(in € millions)	2023	2022
Depreciation of lease right-of-use assets	(985)	(935)
Interest expense on lease liabilities	(151)	(124)
Impairment of lease right-of-use assets	41	18
Expense related to capitalized fixed lease payments	**(1,094)**	**(1,041)**
Rental expense – Variable lease payments	(1,032)	(989)
Rental expense – Short-term leases and/or Leases with a low-value underlying asset	(96)	(101)
Sub-lease revenue	10	10
Other lease expenses	**(1,118)**	**(1,080)**
TOTAL	(2,212)	(2,121)

13.4 Net deferred tax assets (liabilities) on leases

(in € millions)	Dec. 31, 2023	Dec. 31, 2022
Deferred tax assets	1,463	1,159
Deferred tax liabilities	(1,408)	(1,124)
Net deferred tax assets (liabilities)	55	35

NOTE 14 – PROPERTY, PLANT AND EQUIPMENT

(in € millions)	Gross	Depreciation and Impairment	Dec. 31, 2023 Net	Dec. 31, 2022 Net
Land and buildings	2,681	(274)	2,407	683
Plant and equipment	5,617	(3,084)	2,532	2,211
Other property, plant and equipment	530	(128)	402	494
TOTAL	8,828	(3,487)	5,341	3,388

2023

(in € millions)	Carrying amount as of January 1	Acquisitions	Disposals	Depreciation	Impairment losses	Changes in scope	Foreign exchange differences	Other movements	Carrying amount as of December 31
Land and buildings	683	1,695 (1)	(33)	(27)	–	17	(8)	80	2,407
Plant and equipment	2,211	743	(2)	(591)	(20)	19	(67)	239	2,532
Other property, plant and equipment	494	168	(1)	(16)	(1)	10	(9)	(244)	402
TOTAL	3,388	2,607	(37)	(634)	(21)	47	(83)	76	5,341

(1) Acquisitions in the period correspond mainly to acquisitions of strategic real-estate assets in Paris (cf. Note 1).

2022

(in € millions)	Carrying amount as of January 1	Acquisitions	Disposals	Depreciation	Impairment losses	Changes in scope	Foreign exchange differences	Other movements	Carrying amount as of December 31
Land and buildings	672	14	–	(21)	2	13	(7)	10	683
Plant and equipment	1,946	605	(4)	(515)	(18)	24	14	159	2,211
Other property, plant and equipment	349	333	–	(20)	–	6	4	(178)	494
TOTAL	2,967	952	(4)	(556)	(16)	42	12	(9)	3,388

NOTE 15 – INVESTMENTS IN EQUITY-ACCOUNTED COMPANIES

Companies accounted for by the equity method comprise associates (cf. Note 34). The Group's investments in associates break down as follows:

(in € millions)	**Dec. 31, 2023**	**Dec. 31, 2022**
Valentino	1,698	0
Other investments in equity-accounted companies	52	49
TOTAL	1,750	49

Minority interests held by Kering generated €4 million of net earnings from equity-accounted companies in 2023 (€2 million in 2022).

The acquisition of a shareholding in Valentino on November 30, 2023 was accompanied by cross put and call options under which the Group is committed from May 2026 through August 2028 to acquiring an additional 70% shareholding should the options be exercised.

These options were granted on an arm's-length basis.

Should the option be exercised, the exercise price will be adjusted on the basis of Valentino's performance and prospects for future years. The value of this commitment at closing is estimated at around €4 billion (cf. Note 30.3).

No other financial or operating commitment has been granted to Valentino, which is accounted for by the equity method.

NOTE 16 – FINANCIAL ASSETS

16.1 Breakdown of financial assets

(in € millions)	**Dec. 31, 2023**	**Dec. 31, 2022**
Non-consolidated investments[(1)]	167	416
Loans and receivables	3	1
Deposits and guarantees	232	226
Other financial investments[(2)]	136	213
Non-current financial assets	**536**	**855**
Derivative instruments	122	163
Loans and receivables	14	3
Current financial assets	**136**	**167**

(1) Including a 0.4% interest in PUMA in 2023 (3% in 2022).
(2) Including a €5 million investment in the "Climate Fund for Nature" carbon fund managed by Natixis subsidiary Mirova.

16.2 Financial assets at fair value

(in € millions)	Dec. 31, 2023	Dec. 31, 2022
Non-consolidated investments	167	416
o/w changes in fair value recognized through equity	*166*	*408*
o/w changes in fair value recognized through the income statement	*1*	*9*
Derivative instruments	122	163
Other financial investments	136	213
o/w changes in fair value recognized through equity	*130*	*205*
o/w changes in fair value recognized through the income statement	*6*	*7*
Financial assets at fair value	**425**	**791**

The fair value of non-consolidated investments quoted on an active market is their market price as of the reporting date (level 1 of the fair value hierarchy). This category chiefly includes PUMA shares. The fair value of non-consolidated investments not quoted on an active market is determined using internal valuation techniques drawing on non-observable inputs (level 3 of the fair value hierarchy). The securities in this category are not material.

The fair value of derivative instruments is determined using valuation techniques drawing on observable market inputs (such as forward rates and interest rate curves) and on commonly used models (level 2 of the fair value hierarchy) (cf. Note 21).

The fair value of other financial investments measured at fair value is determined using internal valuation techniques drawing on non-observable inputs (level 3 of the fair value hierarchy).

NOTE 17 – INVENTORIES

(in € millions)	Dec. 31, 2023	Dec. 31, 2022
Commercial inventories	4,981	4,707
Industrial inventories	1,094	1,102
Gross Value	**6,075**	**5,809**
Allowances	(1,525)	(1,343)
Carrying amount	**4,550**	**4,465**

Movements in allowances

(in € millions)	As of January 1	Additions	Reversals	Changes in scope	Assets held for sale	Foreign exchange differences	Other movements	As of December 31
2023	(1,343)	(244)	62	(11)	–	24	(12)	(1,525)
2022	(1,858)	(311)	84	(9)	–	(6)	756	(1,343)

In 2022, Other movements included a reclassification between gross value and allowances, following the adoption of a new technique for measuring inventories.

NOTE 18 – TRADE RECEIVABLES AND ACCRUED INCOME

(in € millions)	Dec. 31, 2023	Dec. 31, 2022
Trade receivables and accrued income	1,178	1,207
Allowances	(26)	(27)
Carrying amount	**1,151**	**1,180**

Movements in allowances

(in € millions)	As of January 1	Net (additions) reversals	Changes in scope	Foreign exchange differences	Other movements	As of December 31
2023	(27)	1	(2)	1	1	(26)
2022	(31)	5	(1)	(1)	–	(27)

Breakdown of trade receivables and accrued income by age

(in € millions)	2023	2022
Receivables not yet due	999	1,027
Past due receivables:	179	180
Less than one month	*108*	*99*
One to six months	*61*	*69*
More than six months	*10*	*12*
Allowances	(26)	(27)

Credit risk

In light of the Group's business model, with wholesale sales and royalties received from wholesalers making a smaller contribution to total sales, the Group does not have significant exposure to credit risk. Furthermore, with respect to wholesalers, the Group has no dependency or concentration risk. The Group substantially limits the credit risk linked to these parties by taking out credit insurance.

NOTE 19 – EQUITY

As of December 31, 2023, the share capital amounted to €493,683,112, comprising 123,420,778 fully paid-up shares with a par value of €4 each. This represents a reduction of €2,600,000 following the cancellation of 650,000 shares under the share buyback program (share capital of €496,283,112 comprising 124,070,778 shares as of December 31, 2022).

Excluding the 840,597 Kering treasury shares, there were 122,580,181 shares issued and outstanding as of December 31, 2023.

19.1 Kering treasury shares

	Dec. 31, 2023		Dec. 31, 2022	
(in € millions)	Number	Amount	Number	Amount
Liquidity agreement	6,750	3	–	–
Share buyback program (for cancellation)	–	–	650,000	333
Share-based payment	833,847	447	1,200,408	690
Kering treasury shares	**840,597**	**450**	**1,850,408**	**1,023**

Change in Kering treasury shares

(in € millions)	Number	Amount	Impact on cash
As of January 1,2023	**1,850,408**	**1,023**	
Purchases under the liquidity agreement	404,970	200	(200)
Disposals under the liquidity agreement	(398,220)	(198)	198
Purchases under share-based payment plans	–	–	–
Purchases with a view to canceling the shares	–	–	–
Cancellations under the share buyback program	(650,000)	(333)	N/A
Shares vested	(366,561)	(224)	N/A
Net capital gain (loss) on disposal	–	(18)	N/A
As of December 31, 2023	**840,597**	**450**	**(3)**

Liquidity agreement

Since May 26, 2004, Kering has maintained agreements with a financial intermediary in order to improve the liquidity of the Group's shares and ensure share price stability. The latest agreement was signed on February 13, 2019, in accordance with AMF ruling no. 2018-01 of July 2, 2018, applicable since January 1, 2019. An amendment to that agreement came into force on July 1, 2021, providing for the resources in the liquidity account to be reduced by €25 million. As a result, there has been €25 million in the liquidity account since July 1, 2021.

Share buyback programs

The share buyback program, authorized in the Annual General Meetings of July 6, 2021 and April 28, 2022 and announced on August 25, 2021 with the aim of repurchasing up to 2.0% of the Group's share capital over a 24-month period, was completed on December 15, 2022.

In 2023, the Company canceled 650,000 shares purchased through the fourth tranche of the share buyback program completed on December 15, 2022.

19.2 Dividends paid by Kering SA

(in € millions)	Dividend for 2023	Dividend for 2022
INTERIM DIVIDEND		
Amount per share	€4.50	€4.50
Payment date	January 17, 2024	January 18, 2023
Gross amount paid	552	551
BALANCE PAID THE FOLLOWING YEAR FURTHER TO THE AGM		
Amount per share	€9.50 (1)	€9.50
Payment date	May 6, 2024	May 4, 2023
Gross amount paid	1,172 (1) (2)	1,179
TOTAL DIVIDEND		
Amount per share	€14.00	€14.00
Total gross amount	1,724 (2)	1,712

(1) Based on a recommendation of Kering's Board of Directors of February 7, 2024, pending approval of the Annual General Meeting of April 25, 2024.
(2) Without adjusting for the effect of Kering shares held in treasury.

Amounts paid are presented after adjusting for the effect of Kering shares held in treasury.

NOTE 20 – NET DEBT

(in € millions)	Dec. 31, 2023	Dec. 31, 2022
Borrowings	12,426	6,642
Cash and cash equivalents	(3,922)	(4,336)
TOTAL	8,504	2,306

20.1 Cash and cash equivalents

(in € millions)	Dec. 31, 2023	Dec. 31, 2022
Cash	3,103	4,006
Cash equivalents[1]	819	330
TOTAL	3,922	4,336

(1) Including term deposits and mutual fund units.

20.2 Breakdown of borrowings by category and maturity

(in € millions)	Dec. 31, 2023	Current	Y +2	Y + 3	Y + 4	Y + 5	Beyond	Total non-current
Bonds	9,795	500	1,497	959	1,228	597	5,014	9,295
Other bank borrowings	134	68	46	19	–	–	–	66
Bank overdrafts	272	272	–	–	–	–	–	–
Commercial paper	1,277	1,277	–	–	–	–	–	–
Other borrowings[1]	948	282	541	–	63	2	59	665
o/w Put options granted to minority interests	*711*	*47*	*541*	*–*	*63*	*1*	*59*	*664*
TOTAL	12,426	2,400	2,085	978	1,291	599	5,073	10,026
%	100%	19%	17%	8%	10%	5%	41%	81%

(in € millions)	Dec. 31, 2022	Current	Y +2	Y + 3	Y + 4	Y + 5	Beyond	Total non-current
Bonds	4,226	600	502	748	498	486	1,391	3,626
Other bank borrowings	201	141	31	28	–	–	–	59
Bank overdrafts	242	242	–	–	–	–	–	–
Commercial paper	1,010	1,010	–	–	–	–	–	–
Other borrowings[1]	963	302	46	595	–	10	11	661
o/w Put options granted to minority interests	*681*	*20*	*46*	*595*	*–*	*10*	*11*	*661*
TOTAL	6,642	2,295	579	1,371	498	496	1,402	4,347
%	100%	35%	9%	21%	8%	7%	21%	65%

(1) Other borrowings include accrued interest.

20.3 Breakdown of borrowings by repayment currency

(in € millions)	Dec. 31, 2023	%	Dec. 31, 2022	%
EUR	11,046	89%	5,990	90%
GBP	927	7%	2	–
JPY	193	2%	409	6%
USD	182	1%	194	3%
Other currencies	78	1%	47	1%
TOTAL	12,426	100%	6,642	100%

Borrowings denominated in foreign currencies finance the Group's operations outside the eurozone.

20.4 Bonds

On February 27, 2023, the Group issued €1.5 billion of bonds, consisting of a €750 million tranche with a 6-year maturity and a 3.25% coupon and a €750 million tranche with a 10-year maturity and a 3.375% coupon.

In May 2023, the Group redeemed €600 million of bonds issued in May 2020.

On September 5, 2023, the Group issued €3.8 billion of bonds in four tranches:

- a €750 million tranche with a 2-year maturity and a 3.75% coupon;
- a €750 million tranche with a 4-year maturity and a 3.625% coupon;
- a €1 billion tranche with an 8-year maturity and a 3.625% coupon;
- a €1.3 billion tranche with a 12-year maturity and a 3.875% coupon.

Finally, on November 23, 2023, Kering issued £800 million of bonds in two tranches of £400 million each, one with a 3-year maturity and a coupon of 5.125%, and one with a 9-year maturity and a coupon of 5.00%.

The Group has a Euro Medium Term Notes (EMTN) program capped at €12,000 million as of December 31, 2023, of which €9,852 million had been drawn as of that date.

The bonds issued between 2014 and 2017 within the scope of the EMTN program are all subject to a change-of-control clause entitling bondholders to request early redemption at par if Kering's rating is downgraded to non-investment grade following a change of control.

Par value *(in millions, local currency)*	Currency	Issue interest rate	Issue date	Maturity	Dec. 31, 2023	Dec. 31, 2022
500	EUR	Fixed 2.75%	04/08/2014	04/08/2024	500	503
			05/30/2014	04/08/2024		
			06/26/2014	04/08/2024		
			09/22/2015	04/08/2024		
			11/05/2015	04/08/2024		
50	EUR	Fixed 1.6%	04/16/2015	04/16/2035	50	50
500	EUR	Fixed 1.25%	05/10/2016	05/10/2026	499	498
300	EUR	Fixed 1.5%	04/05/2017	04/05/2027	299	299
600	EUR	Fixed 0.25%	05/13/2020	05/13/2023	–	600
600	EUR	Fixed 0.75%	05/13/2020	05/13/2028	597	597
750	EUR	Fixed 1.25%	05/05/2022	05/05/2025	749	748
750	EUR	Fixed 1.875%	05/05/2022	05/05/2030	745	744
200	USD	Fixed 3.639%	05/27/2022	05/27/2027	181	187
750	EUR	Fixed 3.25%	02/27/2023	02/27/2029	745	–
750	EUR	Fixed 3.375%	02/27/2023	02/27/2033	742	–
750	EUR	Fixed 3.75%	09/05/2023	09/05/2025	748	–
750	EUR	Fixed 3.625%	09/05/2023	09/05/2027	748	–
1,000	EUR	Fixed 3.625%	09/05/2023	09/05/2031	989	–
1,300	EUR	Fixed 3.875%	09/05/2023	09/05/2035	1,286	–
400	GBP	Fixed 5.125%	11/23/2023	11/23/2026	460	–
400	GBP	Fixed 5.00%	11/23/2023	11/23/2032	457	–
TOTAL					9,795	4,226

20.5 Other bank borrowings

The Group has bank borrowings denominated in Yen, mainly floating-rate and totaling €90 million at December 31, 2023 (€171 million at December 31,2022). These borrowings fall due within five years.

20.6 Undrawn confirmed lines of credit

As of December 31, 2023, the Group had undrawn confirmed lines of credit totaling €3,185 million (December 31, 2022: €3,035 million). These consisted of a syndicated facility for €2,385 million (of which €170 million falls due in December 2024 and €2,215 million in December 2025), and €800 million in bilateral lines of credit that had a maturity of more than one year at December 31, 2023.

NOTE 21 – DERIVATIVE INSTRUMENTS AND MANAGEMENT OF MARKET RISKS

21.1 Exposure and sensitivity to interest rate risk

(in € millions)	Dec. 31, 2023	Impact of hedging	After hedging	Impact on income of a 1% change in interest rates
Fixed-rate	11,073	–	11,073	–
Floating-rate	1,353	–	1,353	14
Borrowings	**12,426**		**12,426**	**14**

(in € millions)	Dec. 31, 2023	Impact on income of a 1% change in interest rates
Floating-rate investments	**3,894**	**39**

21.2 Exposure and sensitivity to foreign exchange risk

The majority of the Group's sales take place in currencies other than its functional currency, primarily in US dollars and in Asian currencies such as the Japanese yen and the Chinese yuan. Purchases and other expenses related to production are primarily denominated in euros. The Group uses derivative hedging instruments to minimize and anticipate the impact of currency fluctuations on its earnings. These hedges are set up using forward exchange-rate agreements and/or exchange-rate options eligible for hedge accounting.

The outstanding notional amounts of the derivative instruments used by the Group to manage its foreign exchange risk are shown below:

	Dec. 31, 2023 Notional amount[1]		Market value[2]			
(in € millions)	Less than one year	More than one year	Cash flow hedges	Fair value hedges	Unallocated	Total
Options purchased	**252**	**–**	**4**	**–**	**–**	**4**
CNY put	227	–	4	–	–	4
JPY put	25	–	–	–	–	–
Tunnels	**72**	**–**	**1**	**–**	**–**	**1**
JPY seller	48	–	2	–	–	2
MXN seller	21	–	(1)	–	–	(1)
Other	3	–	–	–	–	–
Forwards	**4,837**	**–**	**69**	**2**	**(1)**	**70**
USD	1,572	–	18	1	–	19
CNY	1,168	–	28	1	–	29
KRW	437	–	(1)	–	–	(1)
JPY	411	–	17	–	–	17
HKD	311	–	6	–	–	6
GBP	298	–	(3)	–	–	(3)
TWD	129	–	2	–	–	2
Other	511	–	2	–	(1)	1
Cross-currency swaps[3]	**1,176**	**–**	**–**	**4**	**10**	**14**
USD	640	–	–	1	12	13
CNY	191	–	–	1	–	1
JPY	180	–	–	–	(2)	(2)
CHF	(140)	–	–	1	2	3
Other	305	–	–	1	(2)	(1)
TOTAL	6,337	–	74	6	9	89

(1) Sale/(purchase).
(2) Gain/(loss).
(3) Excluding cross-currency swaps hedging debt (€1,101 million).

The Group's net exposure to foreign exchange risk can be analyzed as follows:

Dec. 31, 2023 *(in € millions)*	Net exposure in the balance sheet	Forecast exposure	Net exposure before hedging	Hedging instruments	Net exposure after hedging as of Dec. 31, 2023	Net exposure after hedging as of Dec. 31, 2022
USD	1,139	1,507	2,646	(2,031)	615	34
CNY	751	1,183	1,934	(1,586)	348	204
JPY	177	428	605	(664)	(59)	(311)
GBP	(922)	268	(654)	733	79	64
CHF	(88)	–	(88)	138	50	18
HKD	85	297	382	(324)	58	48
KRW	86	406	492	(437)	55	113
Other	1,084	575	1,659	(1,065)	594	645
TOTAL	2,312	4,664	6,976	(5,236)	1,740	815

Monetary assets comprise loans and receivables, bank balances, and investments and cash equivalents maturing within three months of the acquisition date.

Monetary liabilities comprise borrowings, operating payables and other current payables.

Most of these monetary items are denominated in the functional currencies in which the subsidiaries operate. They do not generate currency effects. Monetary items that are not denominated in the functional currencies in which the subsidiaries operate undergo currency hedging in accordance with applicable procedures.

Analysis of sensitivity to foreign exchange risk

Based on market data as of December 31, 2023, the direct impact on equity and income (excluding the tax effect) of a 10% increase or decrease in the euro exchange rate against the principal currencies to which the Group is exposed (USD, JPY and CNY) would be as follows:

Dec. 31, 2023	Impact on equity		Impact on income	
(in € millions)	10% increase	10% decrease	10% increase	10% decrease
USD	134	(164)	–	–
JPY	102	(109)	–	–
CNY	37	(43)	–	–

Dec. 31, 2022	Impact on equity		Impact on income	
(in € millions)	10% increase	10% decrease	10% increase	10% decrease
USD	197	(240)	–	–
JPY	30	(36)	–	–
CNY	131	(159)	–	–

All other market variables are deemed to be constant when calculating sensitivity.

The impact on equity, recognized in the "Remeasurement of financial instruments" item, results from foreign exchange instruments eligible for cash flow hedge accounting.

The impact on the income statement, recognized under "Financial result", relates to foreign exchange instruments that are not eligible for hedge accounting and to the change in the ineffective portion of cash flow hedges.

21.3 Exposure to the risk of fluctuations in share prices

The Group is exposed to this risk through its PUMA shares (0.4% stake as of December 31, 2023), the valuation of which depends on movements in their share price (cf. Note 16.2).

Based on market data on the closing date, a change of 10% in PUMA's share price would have an impact of €3 million on the value of the Group's interest in PUMA as recorded in the balance sheet.

The Group has limited exposure to other shares in non-consolidated investments, which are not hedged.

21.4 Exposure to the risk of fluctuations in precious metals prices

The Group may be exposed to changes in the prices of certain precious metals through its Houses' activities, and particularly in its jewelry operations. As a result, hedging may be arranged, particularly through derivative financial instruments to secure production costs or through price negotiations with refiners or producers of semi-finished products.

As of December 31, 2023, hedging transactions with a remaining maturity of less than one year are treated as forward purchases with a notional amount of €6 million and a non-material market value (notional amount of €38 million as of December 31, 2022).

The Group's view is that a 1% change in these precious metals prices would have no impact as of the balance sheet date.

21.5 Exposure to counterparty risk

The Group's derivatives transactions are carried out in accordance with internal control procedures for over-the-counter transactions, with top-tier counterparties that have signed FBF or ISDA agreements. The impact of counterparty risk on the fair value of derivatives, as recommended by IFRS 13, was regarded as non-material as of December 31, 2023.

21.6 Measurement of derivative instruments

(in € millions)	Dec. 31, 2023	Interest rate risk	Foreign exchange risk	Other market risks	Dec. 31, 2022
Non-current financial assets	**3**	**–**	**3**	**–**	**1**
Derivative instruments - at fair value through income statement	–	–	–	–	–
Derivative instruments - cash flow hedges	3	–	3	–	1
Derivative instruments - fair value hedges	–	–	–	–	–
Current financial assets	**122**	**–**	**122**	**–**	**163**
Derivative instruments - at fair value through income statement	17	–	17	–	3
Derivative instruments - cash flow hedges	95	–	95	–	156
Derivative instruments - fair value hedges	10	–	10	–	3
Non-current financial liabilities	**(13)**	**–**	**(13)**	**–**	**–**
Derivative instruments - at fair value through income statement	–	–	–	–	–
Derivative instruments - cash flow hedges	(13)	–	(13)	–	–
Derivative instruments - fair value hedges	–	–	–	–	–
Current financial liabilities	**(33)**	**–**	**(33)**	**–**	**(101)**
Derivative instruments - at fair value through income statement	(8)	–	(8)	–	(17)
Derivative instruments - cash flow hedges	(21)	–	(21)	–	(77)
Derivative instruments - fair value hedges	(4)	–	(4)	–	(7)
TOTAL	79	–	79	–	62

21.7 Liquidity risk

Liquidity risk management for the Group and each of its subsidiaries is closely monitored and periodically assessed within the scope of the Group's financial reporting procedures.

In order to guarantee its liquidity, as of December 31, 2023 the Group held confirmed undrawn lines of credit totaling €3,185 million and available cash of €3,922 million (cf. Note 20.1).

	Dec. 31, 2023				
(in € millions)	Carrying amount	Cash flow	Less than one year	One to five years	More than five year
Non-derivative financial instruments	**14,626**	**(16,515)**	**(4,772)**	**(5,886)**	**(5,857)**
Bonds	9,795	(9,851)	(500)	(4,291)	(5,060)
Commercial paper	1,277	(1,282)	(1,282)	–	–
Other borrowings	1,354	(3,182)	(790)	(1,595)	(797)
Trade payables and accrued expenses	2,200	(2,200)	(2,200)	–	–
Derivative financial instruments	**(79)**	**155**	**104**	**31**	**20**
Interest rate risk	**–**	**–**	**–**	**–**	**–**
Interest rate swaps	–	–	–	–	–
Other interest rate derivatives	–	–	–	–	–
Foreign exchange risk	**(79)**	**155**	**104**	**31**	**20**
Currency forwards and currency swaps	–	*89*	*89*	–	–
Outflows	–	*(6,391)*	*(6,391)*	–	–
Inflows	–	*6,480*	*6,480*	–	–
Other foreign currency derivatives	–	*66*	*15*	*31*	*20*
Outflows	–	*(1,503)*	*(205)*	*(766)*	*(532)*
Inflows	–	*1,569*	*220*	*797*	*552*
Other market risks	**–**	**–**	**–**	**–**	**–**
Precious metals hedges	–	–	–	–	–
TOTAL	14,547	(16,360)	(4,668)	(5,855)	(5,837)

	Dec. 31, 2022				
(in € millions)	Carrying amount	Cash flow	Less than one year	One to five years	More than five years
Non-derivative financial instruments	**8,905**	**(9,164)**	**(4,582)**	**(3,118)**	**(1,464)**
Bonds	4,226	(4,238)	(600)	(2,238)	(1,400)
Commercial paper	1,010	(1,011)	(1,011)	–	–
Other borrowings	1,406	(1,652)	(708)	(880)	(64)
Trade payables and accrued expenses	2,263	(2,263)	(2,263)	–	–
Derivative financial instruments	**(62)**	**51**	**44**	**7**	**–**
Interest rate risk	**–**	**–**	**–**	**–**	**–**
Interest rate swaps	–	–	–	–	–
Other interest rate derivatives	–	–	–	–	–
Foreign exchange risk	**(62)**	**51**	**44**	**7**	**–**
Currency forwards and currency swaps	–	*30*	*30*	–	–
Outflows	–	*(6,740)*	*(6,740)*	–	–
Inflows	–	*6,770*	*6,770*	–	–
Other foreign currency derivatives	–	*21*	*14*	*7*	–
Outflows	–	*(485)*	*(281)*	*(204)*	–
Inflows	–	*506*	*295*	*211*	–
Other market risks	**–**	**–**	**–**	**–**	**–**
Precious metals hedges	–	–	–	–	–
TOTAL	8,843	(9,113)	(4,538)	(3,111)	(1,464)

NOTE 22 – FINANCIAL LIABILITIES

22.1 Breakdown of financial liabilities

(in € millions)	Dec. 31, 2023	Dec. 31, 2022
Derivative instruments	13	–
Non-current financial liabilities	**13**	**–**
Derivative instruments	33	101
Kering SA interim dividend	552	558
Other	3	4
Current financial liabilities	**588**	**663**

22.2 Financial liabilities measured at fair value

(in € millions)	Dec. 31, 2023	Dec. 31, 2022
Derivative Instruments	33	101
Financial liabilities measured at fair value	**33**	**101**

Derivative financial instruments are measured using valuation techniques based on observable market parameters (including forward prices and yield curves) and commonly used models (level 2 fair value).

NOTE 23 – PROVISIONS FOR PENSIONS AND OTHER POST-EMPLOYMENT BENEFITS

23.1 Description of the main pension plans and other post-employment benefits

Depending on each country's laws and customs, the Group's employee receive long-term or post-employment benefits in addition to their short-term remuneration. These additional benefits take the form of defined contribution or defined benefit plans.

Under defined contribution plans, the Group is not obliged to make any additional payments beyond contributions already made. Contributions to these plans are expensed as incurred.

An actuarial valuation of defined benefit plans is carried out by independent experts. These benefits primarily concern mandatory supplementary pension plans in Switzerland, statutory severance pay in Italy, and retirement termination payments and long-service bonuses in France.

Mandatory supplementary pension plans (LPP) – Switzerland

In Switzerland, pension plans are defined contribution plans that guarantee a minimum interest rate credited to pension assets and provide for a fixed salary conversion rate on retirement. However, the pension plans operated by the Group's entities in Switzerland offer benefits over and above those mentioned in the LPP/BVG pension act. Consequently, a provision is booked in respect of defined benefit plans for the amounts that exceed LPP/BVG pension act requirements.

These pension plans are generally operated as separate legal entities in the form of a foundation, which may be a collective institution or affiliated to a specific plan. The Board of Trustees of these foundations, comprising an equal number of employer and employee representatives, is responsible for administering the plan and bears the investment and longevity risks. Collective foundations insure some of their risk with an insurance company.

Statutory severance pay (TFR) – Italy

The TFR (Trattamento di Fine Rapporto) plans in Italy were created by Italian act no. 297, adopted on May 29, 1982, and are applicable to all workers in the private sector on the termination of their employment for any reason (resignation, termination at the employer's initiative, death, incapacity or retirement). Since 2007, companies with at least 50 employees have had to transfer their TFR funding to an external fund manager. This concerns the large majority of plans operated by Kering group companies.

Retirement termination payments and long-service bonuses – France

In France, retirement termination benefits are fixed and paid by companies to their employees on retirement. The amount paid depends on the number of years of service on retirement, and is defined in the relevant collective bargaining agreement. The payments do not confer any vested entitlement to employees until they reach retirement age. Retirement termination benefits are not related to other statutory retirement benefits such as pensions paid by social security bodies or top-up pension funds such as ARRCO and AGIRC in France, which are defined contribution plans.

Long-service bonuses are not compulsory in France – i.e. there is no legal obligation to pay these awards to employees – but they hold symbolic value. Nevertheless, some of Kering's French entities choose to pay long-service bonuses after 20, 30, 35 and 40 years of service.

23.2 Provisions for pensions and other long-term benefits

Provisions on the balance sheet include provisions for defined-benefit post-employment plans and other long-term benefits:

(in € millions)	Dec. 31, 2023	Dec. 31, 2022
Non-current provisions	**68**	**66**
Current provisions	**12**	**12**
PROVISIONS FOR PENSIONS AND OTHER POST-EMPLOYMENT BENEFITS	80	78

	2023					2022
				Change during the period		
(in € millions)	Present value of benefit obligation	Fair value of plan assets	Provisions for pensions and other post-employment benefits	Gains and losses recognized in equity	Income statement	Provisions for pensions and other post-employment benefits
As of January 1	**132**	**54**	**78**	**–**	**–**	**101**
Current service cost	10	–	10	–	10	11
Past service cost	1	–	1	–	1	–
Plan amendments	–	–	–	–	–	–
Interest cost on the benefit obligation	4	–	4	–	4	1
Interest income on plan assets	–	1	(1)	–	–	–
Contributions paid by employees	3	3	–	–	–	–
Contributions paid by employer	–	3	(3)	–	–	(3)
Benefits paid	(16)	(8)	(8)	–	–	(6)
Actuarial gains and losses:	(2)	–	(1)	(1)	–	(30)
Changes in demographic assumptions	*(1)*	–	*(1)*	–	–	*1*
Changes in financial assumptions	*(1)*	–	*(1)*	–	–	*(35)*
Experience adjustments	–	–	–	–	–	*5*
Return on plan assets (excluding interest)	–	–	–	–	–	(1)
Insurance contracts	–	–	–	–	–	–
Administrative expenses	–	–	–	–	–	–
Changes in scope	2	1	1	–	–	2
Assets held for sale	–	–	–	–	–	–
Foreign exchange differences	4	3	–	–	–	2
As of December 31	**136**	**56**	**80**	**(1)**	**14**	**78**
Obligation funded by plan assets	71	–	–	–	–	–
Obligation not funded by plan assets	65	–	–	–	–	–

23.3 Actuarial assumptions used to estimate the present value of the benefit obligation

	France		Switzerland		Italy	
	2023	2022	2023	2022	2023	2022
Average maturity of plans *(in years)*	11.2	10.4	11.4	9.6	8.2	9.4
Discount rate	4.50%	4.00%	2.00%	2.25%	4.50%	4.00%
Expected rate of increase in salaries	2.92%	2.99%	1.40%	1.30%	3.00%	3.00%
Inflation rate	2.00%	2.00%	1.30%	1.10%	2.00%	2.00%

Sensitivity tests on actuarial assumptions show that the impact of a 50 basis-point increase or decrease in the discount rate would not be material and would represent less than 0.05% of consolidated equity as of December 31, 2023.

23.4 Breakdown of the present value of the benefit obligation by country

(in € millions)	Dec. 31, 2023	Dec. 31, 2022
Switzerland	68	67
Italy	35	34
France	22	21
Other	11	11
Present value of benefit obligation	**136**	**132**

23.5 Fair value of plan assets by type of financial instrument

(in € millions)	Dec. 31, 2023	%	Dec. 31, 2022	%
Debt instruments	11	20%	11	21%
Equity instruments	22	39%	20	37%
Real estate	13	23%	13	25%
Insurance contracts	–	0%	–	0%
Derivative instruments	4	7%	4	8%
Cash and cash equivalents	2	4%	2	4%
Other assets	3	6%	3	5%
Fair value of plan assets	**56**	**100%**	**54**	**100%**

In 2024, the Group intends to contribute €3 million to funded plans.

NOTE 24 – PROVISIONS AND CONTINGENT LIABILITIES

(in € millions)	Dec. 31, 2022	Charge	Reversals (utilized provisions)	Reversals (surplus provisions)	Changes in scope	Foreign exchange differences	Other movements	Dec. 31, 2023
Non-current provisions	19	1	(2)	–	2	(1)	2	21
Current provisions	168	68	(68)	(11)	1	–	5	163
TOTAL	187	69	(70)	(11)	3	(1)	7	184

(in € millions)	Dec. 31, 2023	Dec. 31, 2022
Provision for restructuring costs	64	53
Vendor warranties	23	23
Disputes and other contingencies	97	111
TOTAL	184	187

Litigation and disputes

Group companies are involved in a number of lawsuits or disputes arising in the normal course of business. According to their management and legal counsel, no disputes currently in progress are likely to have a material impact on the Group's normal and foreseeable operations or on its planned development.

The Group believes there are no known disputes likely to have a material impact on its net assets, earnings or financial position that are not adequately covered by provisions recorded as of the end of the reporting period. No individual claim against the parent company or against any of its subsidiaries is material with respect to the parent company or the Group.

The Group is not aware of any arbitration proceedings that have had in the recent past, or are likely to have in the future, a material impact on the financial position, activity or earnings of the Company or Group.

Vendor warranties

Provisions recorded in respect of vendor warranties were unchanged in 2023.

Contingent liabilities

To the best of the Group's knowledge, there are no material contingent liabilities.

NOTES ON THE CONSOLIDATED STATEMENT OF CASH FLOWS

NOTE 25 – CASH AND CASH EQUIVALENTS AS REPORTED IN THE STATEMENT OF CASH FLOWS

(in € millions)	Dec. 31, 2023	Dec. 31, 2022
Cash and Cash equivalents as reported in the balance sheet	**3,922**	**4,336**
Bank overdrafts	(272)	(242)
Cash and Cash equivalents as reported in the statement of cash flows	**3,650**	**4,094**

NOTE 26 – CASH FLOW RECEIVED FROM OPERATING ACTIVITIES

(in € millions)	2023	2022
Net income from continuing operations	**3,074**	**3,717**
Net recurring charges to depreciation, amortization and provisions on non-current operating assets	1,823	1,666
Other non-cash income and expenses	94	(334)
Non-cash recurring operating income and expenses:	*(307)*	*135*
Fair value of operating foreign exchange rate hedges	*(247)*	*284*
Other	*(60)*	*(149)*
Other non-cash income and expenses	401	(469)
Impairment of goodwill, brands and other non-current assets	*70*	*41*
Fair value of foreign exchange rate hedges in financial result	*228*	*(386)*
Deferred tax expense (income)	*156*	*(177)*
Share in earnings (losses) of equity-accounted companies	*(4)*	*(2)*
Other	*(49)*	*55*
Cash flow received from operating activities	**4,991**	**5,049**

NOTE 27 – CHANGE IN WORKING CAPITAL REQUIREMENT

(in € millions)	2023	2022
Change in Inventories	(102)	(1,015)
Change in trade receivables and accrued income	24	(196)
Change in trade payables and accrued expenses	(126)	494
Change in other operating receivables and payables	(192)	(185)
Change in working capital requirement	**(396)**	**(902)**

NOTE 28 – ACQUISITIONS OF PROPERTY, PLANT AND EQUIPMENT AND INTANGIBLE ASSETS

(in € millions)	2023	2022
Acquisitions of property, plant and equipment[1]	(2,607)	(952)
Acquisitions of intangible assets	(311)	(275)
Change in amounts due in respect of non-current assets	324	176
Lease set-up costs	(18)	(19)
Acquisitions of property, plant and equipment and intangible assets	**(2,611)**	**(1,071)**

(1) Acquisitions during the period mainly correspond to the acquisition of strategic real estate assets in Paris. (cf. Note 1).

NOTE 29 – FINANCING ACTIVITIES AND CHANGE IN BORROWINGS

	Borrowings					
(in € millions)	Current	Non-current	Lease liabilities	Other assets and liabilities	Equity	Total
As of January 1, 2023	**2,295**	**4,347**	**–**	**–**	**–**	**6,642**
Kering SA capital increase	–	–	–	–	–	–
Dividends paid to shareholders of Kering SA	–	–	–	–	(1,712)	(1,712)
Dividends paid to minority interests in consolidated subsidiaries	–	–	–	–	(42)	(42)
Transactions with minority interests	–	–	–	–	(24)	(24)
(Acquisitions) disposals of Kering treasury shares	–	–	–	–	(10)	(10)
Issuance of bonds and bank debt	–	6,205	–	–	–	6,205
Redemption of bonds and bank debt	(957)	–	–	–	–	(957)
Issuance (redemption) of other borrowings	174	–	–	–	–	174
Repayment of lease liabilities	–	–	(880)	–	–	(880)
Interest paid and equivalent	(98)	–	(151)	(128)	–	(377)
Net cash received from (used in) financing activities	**(882)**	**6,205**	**(1,030)**	**(128)**	**(1,788)**	**2,377**
Changes in scope	258	–	–	–	–	–
Foreign exchange differences	(22)	(5)	–	–	–	–
Changes in put options granted to minority interests	54	4	–	–	–	–
Other movements	697	(525)	–	–	–	–
As of December 31, 2023	**2,400**	**10,026**	**–**	**–**	**–**	**–**

(in € millions)	Borrowings		Lease liabilities	Other assets and liabilities	Equity	Total
	Current	Non-current				
As of January 1, 2022	**2,442**	**2,976**	**–**	**–**	**–**	**–**
Kering SA capital increase	–	–	–	–	38	38
Dividends paid to shareholders of Kering SA	–	–	–	–	(1,483)	(1,483)
Dividends paid to minority interests in consolidated subsidiaries	–	–	–	–	(45)	(45)
Transactions with minority interests	(29)	(1)	–	–	347	317
(Acquisitions) disposals of Kering treasury shares	–	–	–	–	(1,030)	(1,030)
Issuance of bonds and bank debt	–	1,742	–	–	–	1,742
Redemption of bonds and bank debt	(904)	–	–	–	–	(904)
Issuance (redemption) of other borrowings	343	–	–	–	–	343
Repayment of lease liabilities	–	–	(824)	–	–	(824)
Interest paid and equivalent	(67)	–	(124)	(107)	–	(298)
Net cash received from (used in) financing activities	**(658)**	**1,741**	**(948)**	**(107)**	**(2,172)**	**(2,144)**
Changes in scope	–	–	–	–	–	–
Foreign exchange differences	(21)	(6)	–	–	–	–
Changes in put options granted to minority interests	23	362	–	–	–	–
Other movements	509	(725)	–	–	–	–
As of December 31, 2022	**2,295**	**4,347**	**–**	**–**	**–**	**–**

OTHER DISCLOSURES

NOTE 30 – OFF-BALANCE SHEET COMMITMENTS

30.1 Main vendor warranties granted in connection with asset disposals

In relation to the disposal of certain businesses, the Group has granted customary vendor warranties in respect of certain fundamental representations, along with some specific capped and time-limited warranties. Provisions have been set aside in respect of some vendor warranties (cf. Note 24).

30.2 Off-balance sheet commitments relating to leases

(in € millions)	Payments due by period			Dec. 31, 2023	Dec. 31, 2022
	Less than one year	One to five years	More than five years		
Leases signed but effective after December 31, 2023	63	320	478	861	645
Short-term leases	14	–	–	14	15
Leases with a low-value underlying asset	2	3	2	7	14
Lease commitments given	**79**	**323**	**480**	**882**	**674**

30.3 Other commitments given and received in the course of the Group's operations

Other commitments given and received in the course of the Group's operations can be analyzed as follows:

	Payments due by period				
(in € millions)	Less than one year	One to five years	More than five years	Dec. 31, 2023	Dec. 31, 2022
Binding purchase commitments	117	9	-	126	118
Customs deposits and other guarantees in respect of operations	63	75	61	198	193
Other commitments given	**180**	**84**	**61**	**325**	**311**
Other commitments received	**43**	**-**	**1**	**44**	**30**

As part of its proactive strategy to offset its carbon emissions, on February 16, 2023 Kering undertook to invest up to €100 million in a carbon fund managed by Natixis subsidiary Mirova.
The commitment given by the Kering group as of December 31, 2023 amounted to €91 million.

30.4 Other commitments given

In relation to the purchase of a stake in Valentino (cf. Note 15), the commitment to acquire the remaining 70% was estimated at around €4 billion as of the accounts closing date.

NOTE 31 – TRANSACTIONS WITH RELATED PARTIES

31.1 Related party controlling the Group

Kering SA is controlled by Artémis, which in turn is wholly owned by Financière Pinault.

	Dec. 31, 2023	Dec. 31, 2022
% capital held by the Artémis group in Kering SA	42.2%	42.0%
% of voting rights held by the Artémis group in Kering SA	59.3%	59.3%
Dividend paid for Year Y-1 *(in € millions)*	730	625
Interim dividend paid for Year Y *(in € millions)*	234	235
Fees for the period *(in € millions)*	7	7

The Group pays fees to Artémis for (i) business development consulting services and complex transaction support, and (ii) the supply of development opportunities, new business and cost reduction solutions. These fees are governed by an agreement reviewed by the Audit Committee and approved by the Board of Directors.

31.2 Remuneration paid to members of the Board of Directors and the Group's Executive Committee

(in € millions)	2023	2022
Wages and salaries	42	41
Payroll taxes	8	7
Termination indemnities	8	–
Short-term remuneration	**58**	**48**
Post-employment benefits	1	1
Other long-term benefits	20	25
Share-based payment	19	2
Long-term remuneration	**39**	**29**
TOTAL	97	77

Short-term remuneration corresponds to amounts paid during the year, whereas long-term remuneration corresponds to amounts recognized as expenses in the period.

NOTE 32 – STATUTORY AUDITORS' REMUNERATION

Fees for fiscal year 2023	**PwC** [1]		**Deloitte** [2]		**Total**	
(in € millions, excluding tax and disbursements)	**2023**	**2022**	**2023**	**2022**	**2023**	**2022**
Kering SA	0.7	0.6	0.9	0.8	1.6	1.4
Fully-consolidated subsidiaries	4.7	3.9	4.2	3.5	8.9	7.5
Statutory audit	**5.4**	**4.5**	**5.1**	**4.3**	**10.5**	**8.9**
Kering SA[3]	0.1	0.1	0.6	0.4	0.7	0.6
Fully-consolidated subsidiaries	3.7	3.7	0.4	0.3	4.1	4.0
Non-audit services	**3.8**	**3.8**	**1.0**	**0.7**	**4.8**	**4.6**
TOTAL	9.2	8.4	6.1	5.1	15.3	13.5

(1) Of which PwC network: €3.8 million in 2023 with respect to statutory audit services and €3.7 million with respect to non-audit services (In 2022: €3.2 million with respect to statutory audit services and €3.8 million with respect to non-audit services).

(2) Of which Deloitte network: €3.7 million in 2023 with respect to statutory audit services and €0.6 million with respect to non-audit services. (In 2022: €3.2 million with respect to statutory audit services and €0.5 million with respect to non-audit services).

(3) The non-audit services rendered by PwC to Kering SA and its fully-consolidated subsidiaries are mainly related to comfort letters. The non-audit services rendered by Deloitte & Associés to Kering SA and its fully-consolidated subsidiaries are mainly related to comfort letters and the verification of the consolidated non-financial performance statement.

NOTE 33 – ACCOUNTING POLICIES AND METHODS

33.1 Basis of preparation of the consolidated financial statements

33.1.1 Changes to the IFRS basis

Standards, amendments and interpretations mandatorily applicable from January 1, 2023, analysis of which has led to the conclusion that they have no effect or a non-material effect on the consolidated financial statements for the period ended December 31, 2023, are presented below:

- Amendment to IAS 1 "Presentation of Financial Statements" regarding the disclosure of accounting policies;
- Amendment to IAS 8 "Accounting Policies, Changes in Accounting Estimates, and Errors" regarding the definition of accounting estimates;
- Amendment to IAS 12 "Income taxes" regarding deferred tax related to assets and liabilities arising from a single transaction;
- Amendment to IFRS 16 "Leases" regarding lease liability in a sale and leaseback;
- Amendment to IAS 12 "Income Taxes" regarding international tax reform and the Pillar Two model rules.

The amendment to IAS 12, published by IASB on May 23, 2023 and immediately applicable to accounting periods starting on or after January 1, 2023, has been endorsed by the European Union.

This amendment to IAS 12 follows the publication of the Pillar Two international tax reform by the Organisation for Economic Co-operation and Development (OECD) in December 2021. The aim of the reform is to ensure that companies with consolidated revenue or consolidated assets of more than €750 million (as disclosed in their consolidated financial statements for two consecutive years) pay a minimum effective income tax rate of 15% in each of the jurisdictions in which they operate.

The amendment to IAS 12 provides for:

- A temporary exemption from the recognition of deferred tax resulting from the implementation of this Pillar Two reform;
- Specific disclosures in the notes to the consolidated financial statements, allowing readers to understand the Group's exposure based on information that is known or can reasonably be estimated;
- Separate presentation of the current tax that will result from the application of the Pillar Two provisions (after they come into force).

Simulations performed by the Group on previous years show a non-material impact as of the date of the reform.

- IFRS 17 "Insurance contracts" and amendments to IFRS 17 published in May 2017, June 2020 and December 2021.

IFRS 17, which is also mandatorily applicable for accounting periods starting on or after January 1, 2023, does not apply to the Group's consolidated financial statements, since its captive insurance companies only operate internally and Group subsidiaries are their only insured beneficiaries.

Finally, as of the accounts closing date, the Group was in the process of analyzing the impact of standards, amendments and interpretations applicable on or after January 1, 2024.

33.1.2 Changes to legislation

On April 14, 2023, France's pension reform act became law. The measures resulting from that reform were taken into account when determining the Group's liabilities as of December 31, 2023. The impact shown by that analysis is not material for the Group.

33.1.3 Use of estimates and judgment

The preparation of consolidated financial statements requires Group management to make estimates and assumptions that can affect the carrying amounts of certain assets and liabilities, income and expenses, and the disclosures in the accompanying notes. Group management reviews these estimates and assumptions on a regular basis to ensure they are appropriate in view of past experience and the current economic situation. Items in future financial statements may differ from current estimates as a result of changes in current assumptions.

The main estimates made by the Group's management when preparing the consolidated financial statements concern:

- goodwill;
- the useful lives associated with property, plant and equipment and intangible assets;
- contingency provisions and uncertain tax positions;
- inventory impairment provisions;
- assumptions used to calculate lease right-of-use assets and lease liabilities;
- provisions for pensions and long-term remuneration including share-based payment;
- the recognition of deferred tax assets;
- and certain financial instruments.

In its main estimates and in its risk analysis, the Group has taken into account:

- the impact of commitments and decisions made regarding the reduction of carbon emissions, in particular when carrying out impairment tests;
- the current macroeconomic context, including the increase in inflation, even though the Group has little exposure to it. Hyperinflation in certain countries, particularly Turkey and Argentina, has no material impact on the Group's consolidated financial statements;
- official inflation rates published to determine the actuarial assumptions used to calculate post-employment benefits and the discount rates used in carrying out impairment tests and devising medium-term plans.

In addition to the use of estimates, Group management uses judgment to determine the appropriate accounting treatment of certain transactions, pending the clarification of certain IFRSs or where prevailing standards do not cover the issue at hand.

33.1.4 Climate challenges

Reflection of climate challenges in the financial statements

Since 2022, Kering's Sustainable Finance Department has ensured that the Group's financial statements reflect climate issues, that the Group complies with new regulations in this area, and that environmental issues play an integral part in Kering's decision-making processes, particularly as regards investments.

In accordance with the recommendation of the Task Force on Climate-Related Financial Disclosures (TCFD), Kering has assessed the financial impact of specific climate risks. The analysis carried out so far does not show any material impact on the Group's financial statements.

In 2023, Kering began work in view of the entry into force of the Corporate Sustainability Reporting Directive (CSRD), involving all internal stakeholders and departments concerned (Risk Management, Finance, HR and Legal Departments, representatives of the Houses etc.). That work included changing the approach to materiality analysis by adopting a double materiality analysis approach, the methodology of which was determined with the help of an independent consultancy in line with the European Sustainability Reporting Standards (particularly ESRS 1 and 2). The review of issues, impacts and the associated risks and opportunities took account of risk factors already identified by the Group.

Work carried out in 2022 and 2023 led to the conclusion that the Group's climate issues had no impact on the revenue and margin figures used in carrying out impairment tests. Only the cost of carbon offsetting, historically allocated to Corporate and Other segment, has been allocated to the trajectories of each CGU or group of CGUs in proportion to their estimated consumption.

Proactive carbon offsetting strategy

At the 15th Conference of Parties (COP) of the Convention on Biological Diversity, which took place in Montreal in December 2022, Kering and upscale sustainable cosmetics company L'Occitane announced that they were teaming up to create the Climate Fund for Nature.

As part of its proactive strategy to offset its carbon emissions, on February 16, 2023 Kering undertook to invest up to €100 million in a carbon fund managed by Natixis subsidiary Mirova. This commitment to the Climate Fund for Nature will be fulfilled gradually, mainly in the first eight years, through successive calls for funds driven by the funding needs of projects.

The fund invests in carbon removal and avoidance projects involving nature-based solutions that generate carbon credits for Kering and other co-investors. Those carbon credits are transferred to its shareholders as and when they are delivered through a forward purchase agreement recognized under off-balance sheet commitments, and purchases of carbon credits for Kering's own use will be recognized as they arise and at the contractual price.

Signature of a collective power purchase agreement

On December 8, 2022, The Fashion Pact announced that its members had begun plans for a Collective Virtual Power Purchase Agreement (CVPPA), the aim of which is to speed up adoption of renewable energy sources by investing in new clean energy infrastructure, initially in Europe.

As part of those plans, on October 12, 2023 Kering signed a renewable power purchase agreement, involving no physical delivery, with Spain's Caletona Servicios y Gestiones. Energy certificates arising from renewable energy production – under the European Energy Certificate System (EECS®) – will be transferred to the Kering group as the agreement is performed.

The agreement is for a 10-year term starting on the commercial operation date, which is likely to be March 1, 2026.

Since the agreement was signed in late 2023, the impact on the financial statements on the accounts closing date was not material.

33.1.5 Use of alternative performance indicators

The alternative performance indicators used by the Group and presented in the consolidated financial statements are:

Recurring operating income and other non-recurring operating income and expenses

The Group's operating income includes all revenues and expenses directly related to its activities, whether these revenues and expenses are recurring or arise from non-recurring decisions or transactions.

Other non-recurring operating income and expenses consist of items that, by their nature, amount or frequency, could distort the assessment of the Group's operating performance as reflected in its recurring operating income. They include changes in scope, the impairment of goodwill and brands and, where material, of property, plant and equipment and intangible assets, capital gains and losses on disposals of non-current assets, restructuring costs and disputes (cf. Note 7).

"Recurring operating income" is therefore an alternative performance indicator for the Group, defined as the difference between operating income and other non-recurring operating income and expenses. This indicator is intended to facilitate the understanding of the operating performance of the Group and its Houses and can therefore be used as a way to estimate recurring performance. It is presented in a manner that is consistent and stable over the long-term in order to ensure the continuity and relevance of financial information (cf. Note 3).

EBITDA

The Group uses EBITDA as an alternative performance indicator to monitor its operating performance. This financial indicator corresponds to recurring operating income plus net charges to depreciation, amortization and provisions on non-current operating assets recognized in recurring operating income (cf. Note 3).

Effective tax rate on recurring income

The effective tax rate on recurring income corresponds to the effective tax rate excluding tax effects relating to other non-recurring operating income and expenses (cf. Notes 7 and 9).

Net debt

Net debt is one of the Group's main financial indicators, and is defined as borrowings less cash and cash equivalents. Lease liabilities are not included in the calculation of this indicator. Borrowings include put options granted to minority interests (cf. Note 33.21).

The cost of net debt corresponds to all financial income and expenses associated with these items, including the impact of derivative instruments used to hedge the fair value of borrowings (cf. Note 8).

33.2 Consolidation principles

The Group's consolidated financial statements include the financial statements of the companies listed in Note 34. They include the financial statements of companies acquired as from the acquisition date and companies sold up until the date of disposal.

33.2.1 Subsidiaries

Subsidiaries are all entities (including structured entities) over which the Group exercises control. Control is defined according to three criteria: power over the investee; exposure, or rights, to variable returns from involvement with the investee; and the ability to exert power over the investee to affect the amount of the investor's returns. This definition of control implies that power over an investee can take many forms other than simply holding voting rights. The existence and effect of potential voting rights are considered when assessing control, if the rights are substantive. Control generally implies directly or indirectly holding more than 50% of the voting rights but can also exist when a smaller proportion of voting rights is held.

Subsidiaries are consolidated from the effective date of control.

Intercompany assets and liabilities as well as transactions between consolidated companies are eliminated. Gains and losses on internal transactions with controlled companies are fully eliminated.

33.2.2 Associates

Associates are entities in which the Group exercises a significant influence over the entity's management and financial policy, without exercising control or joint control. Significant influence generally implies holding 20% to 50% of the voting rights.

Associates are accounted for under the equity method. They are initially measured at cost, except when the associates were previously controlled by the Group, in which case they are measured at fair value as of the date control is lost and the impact is recognized in the income statement.

In subsequent periods, the share in profits or losses of the associate attributable to the Group is recognized in "Share in earnings (losses) of equity-accounted companies", and the share in other comprehensive income of associates is carried on a separate line of the statement of comprehensive income. If the Group's share in the losses of an associate equals or exceeds its investment in that associate, the Group no longer recognizes its share of losses, unless it has legal or constructive obligations to make payments on behalf of the associate.

Goodwill related to an associate is included in the carrying amount of the investment, presented separately within "Investments in equity-accounted companies" in the balance sheet.

33.2.3 Business combinations

Business combinations, where the Group acquires control of one or more other activities, are recognized using the acquisition method.

Business combinations are recognized and measured in accordance with the provisions of IFRS 3. Accordingly, the consideration transferred is measured at the fair value of the assets transferred, equity interests issued and liabilities incurred by the acquirer at the date of exchange. Identifiable assets and liabilities are generally measured at their fair value on the acquisition date. Costs directly attributable to an acquisition are recognized within other non-recurring operating expenses in the income statement.

Goodwill is recognized to represent the difference between the Group's share of the identified assets and liabilities measured at fair value. If the difference is negative, a gain is immediately recognized in the income statement within other non-recurring operating income.

The Group may choose to measure any minority interests resulting from each business combination at fair value (full goodwill method) or at the proportionate share in the identifiable net assets acquired, which are also generally measured at fair value (partial goodwill method).

Goodwill is determined at the date of control over the acquired entity is obtained and may not be adjusted after the measurement period. No additional goodwill is recognized on any subsequent acquisition of minority interests. Acquisitions and disposals of minority interests are recognized directly in equity attributable to the Group.

The accounting for a business combination must be completed within 12 months of the acquisition date. This applies to the measurement of identifiable assets and liabilities, consideration transferred and minority interests.

33.3 Foreign currency translation

33.3.1 Functional and presentation currency

Items included in the financial statements of each Group entity are valued using the currency of the primary economic environment in which the entity operates (functional currency). The Group's consolidated financial statements are presented in euros, which serves as its presentation currency.

33.3.2 Foreign currency transactions

Transactions denominated in foreign currencies are recognized in the entity's functional currency at the exchange rate prevailing on the transaction date.

Monetary items (assets and liabilities) in foreign currencies are translated at the closing exchange rate at the end of each reporting period. Any foreign exchange gains and losses resulting from this translation or from the settlement of these monetary items are recognized within other financial income and expenses in the income statement.

Non-monetary items in foreign currencies valued at historical cost are translated at the rate prevailing on the transaction date, and non-monetary items in foreign currencies measured at fair value are translated at the rate prevailing on the date the fair value is determined. When a gain or loss on a non-monetary item is recognized directly in equity within other comprehensive income, similar treatment is applied to the foreign exchange component of this gain or loss. Otherwise, the component is recognized in the income statement.

The treatment of currency hedges in the form of derivatives is described in Note 33.17.

33.3.3 Currency translation of foreign subsidiaries' financial statements

The income statements and balance sheets of Group entities with a functional currency that differs from the presentation currency are translated into euros as follows:

- items recorded in the balance sheet other than equity are translated at the exchange rate at the end of the reporting period;
- items in the income statement are translated at the average exchange rate for the period, corresponding to an approximate value for the rate at the transaction date in the absence of significant fluctuations;
- translation differences are recognized directly in equity within other comprehensive income as currency translation adjustments.

Goodwill and fair value adjustments arising from a business combination with a foreign activity are recognized in the functional currency of the entity acquired. They are subsequently translated into the Group's presentation currency at the closing exchange rate, and any resulting differences are recognized directly in equity within other comprehensive income as currency translation adjustments.

33.4 Operating segments

In accordance with IFRS 8, segment information is reported on the same basis as used internally by the Chairman and Chief Executive Officer and the Group Managing Director – the Group's chief operating decision makers – to allocate resources to segments and assess their performance.

An operating segment is a separate component of the Group that engages in business activities from which it may earn revenues and incur expenses, whose operating results are regularly reviewed by the entity's chief operating decision maker, and for which discrete financial information is available. Each operating segment is monitored separately for internal reporting purposes, according to performance indicators common to all of the Group's segments. The segments presented are operating segments or groups of similar operating segments.

Financial information provided on operating segments is prepared in accordance with the same accounting rules as in the consolidated financial statements.

The performance of each operating segment is measured based on recurring operating income, which is the approach used by the Group's chief operating decision maker.

Recurring charges to depreciation, amortization and provisions on non-current operating assets reflect net charges to depreciation, amortization and provisions on intangible assets, lease right-of-use assets and property, plant and equipment recognized in recurring operating income.

Acquisitions of property, plant and equipment and intangible assets correspond to gross non-current asset purchases, including cash timing differences, as presented in the consolidated cash statement.

The presentation of revenue by region is based on the geographic location of clients.

33.5 Revenue

Revenue mainly comprises sales of goods, together with income from associated services and income from royalties and operating licenses.

33.5.1 Sales of goods and associated services

Sales of goods, whether they take place through a store network or online (retail activity including e-commerce) or wholesale operations, are recognized when the Group satisfies its performance obligation to its clients, typically upon delivery.

When a customer (particularly in the wholesale and e-commerce businesses) has a contractual right of return or routinely makes returns, a specific provision is set aside. When such returns are not contractual, the provision for returns is estimated based on historical data. Provisions for returns are presented in the balance sheet under liabilities in respect of future refunds. An asset (with an offsetting adjustment corresponding to the cost of sales) representing the right to recover the goods from the client is also recognized.

33.5.2 Royalties from operating licenses

Royalties received with respect to operating licenses are recognized in accordance with the contractual obligations specific to each agreement, over time as the performance obligation is satisfied, for example, when calculated based on the value of the underlying sales generated by the licensee under the agreement.

33.6 Personnel expenses

Personnel expenses primarily consist of wages, salaries and payroll taxes, expenses relating to pensions and other post-employment benefits under defined benefit plans (see Note 33.22), and expenses related to share-based payments (see Note 33.7). Wages, salaries and payroll taxes include fixed remuneration, variable short-term remuneration, long-term remuneration plans, expenses related to employee profit-sharing and other incentive plans, and any associated payroll taxes. Other personnel expenses include severance paid to individual employees or as part of a restructuring plan, and directors' fees paid to directors of Group entities.

33.7 Share-based payment

The Group may operate long-term variable remuneration plans that feature share-based payments. These plans are classified as either cash-settled plans or plans settled in Kering shares.

- Cash-settled plans result in the recognition of personnel expenses in the income statement spread over the entitlement vesting period, along with a matching liability in the balance sheet. The fair value of the benefit granted to the beneficiaries is remeasured at the end of each reporting period, taking into account any changes in market-based or internal performance conditions.
- Plans settled in Kering shares result in the recognition of personnel expenses in the income statement spread over the entitlement vesting period, and of an offsetting entry in equity attributable to the Group. The fair value of the benefit granted to the beneficiaries is set at the grant date of the plan using the Black & Scholes and Monte Carlo models, which take into account the impacts of any market-based performance conditions from the inception of the plan. The impacts of any internal-based performance conditions are remeasured at the end of each reporting period.

The payroll taxes relating to these long-term variable remuneration plans are also recognized in personnel expenses in the income statement as and when entitlements under the plans vest, with a matching liability in the balance sheet, regardless of whether the plans are settled in cash or in Kering shares. These payroll taxes are remeasured at the end of each reporting period based on the most certain assumptions as regards the outcome of the plans. Payroll taxes relating to plans settled in Kering shares reflect the best estimate of the number of shares to be delivered upon expiry of the plan at the end of each reporting period.

33.8 Income taxes

Income tax expense comprises the current and deferred tax expense.

Deferred tax is calculated using the liability method on all temporary differences between the carrying amount recorded in the consolidated balance sheet and the tax value of assets and liabilities, except for goodwill that is not deductible for tax purposes and certain other exceptions. The valuation of deferred tax balances depends on the way in which the Group intends to recover or settle the carrying amount of assets and liabilities, using tax rates that have been enacted or substantively enacted at the closing date.

Deferred tax assets and liabilities are not discounted and are presented separately in the balance sheet within non-current assets and liabilities.

A deferred tax asset is recognized on deductible temporary differences and for tax loss and credit carry-forwards to the extent that their future offset is probable.

A deferred tax liability is recognized on taxable temporary differences relating to investments in subsidiaries and associates unless the Group is able to control the timing of the reversal of the temporary difference, and it is probable that the temporary difference will not reverse in the foreseeable future.

Uncertain income tax positions are analyzed and reviewed internally in accordance with IAS 12 and IFRIC 23 and are shown on the balance sheet in the "current tax liabilities" line item.

33.9 Earnings per share

Earnings per share is calculated by dividing net income attributable to the Group by the weighted average number of ordinary shares outstanding during the period, i.e. without taking account of the weighted average number of Kering treasury shares held by the Group during the period.

Diluted earnings per share equals net income attributable to the Group divided by the weighted average diluted number of shares outstanding during the period, adjusted for the dilutive effect arising from free share grants.

Earnings per share from continuing operations excluding non-recurring items is also calculated by adjusting net income from continuing operations attributable to the Group for the amount of non-recurring items net of tax. Non-recurring items correspond to other non-recurring operating income and expenses in the income statement (cf. Note 33.1.5).

33.10 Goodwill

Goodwill is determined according to the method indicated in Note 33.2.3.

Goodwill is allocated as of the acquisition date to cash-generating units (CGUs) or groups of CGUs defined by the Group. The CGUs or groups of CGUs to which goodwill has been allocated are tested for impairment each year, or whenever events or circumstances indicate that an impairment loss is likely.

CGUs or groups of CGUs and the related impairment tests are described in Note 33.12.

33.11 Brands and other intangible assets

Brands and other intangible assets are recognized at cost less accumulated amortization and impairment.

Brands and intangible assets acquired as part of a business combination, which are controlled by the Group and are separable or arise from contractual or other legal rights, are recognized separately from goodwill.

Brands, which represent the majority of intangible assets within the Group, are intangible assets with indefinite useful lives and are therefore not amortized but are tested as part of the impairment test carried out on CGUs. Where that test indicates an impairment loss, brands are tested separately.

Other intangible assets are amortized over their useful lives and are tested for impairment when there is an indication that an impairment loss has taken place. The usual useful lives are as follows:

- Brands: indefinite;
- Internal IT developments, software and websites: 1-8 years;
- Rights, patents and other intellectual property: 5-2 years (maximum protection period).

The configuration and customization costs of software as part of a Saas (Software as a service) arrangement are analyzed and recorded in expenses for the period where they do not meet the criteria for capitalization under IAS 38.

Software developed in-house by the Group and meeting all the relevant criteria is capitalized and amortized on a straight-line basis over its useful life.

Impairment tests are described in Note 33.12.

33.12 Cash-generating units and impairment tests

The Group tests the value of its assets at the level of its cash-generating units (CGUs) or groups of CGUs. Impairment tests are performed each year, or whenever events or circumstances indicate that an impairment loss is likely. A CGU is the smallest group of assets, including goodwill, that generates cash inflows from continuing use that are largely independent of the cash inflows from other assets or CGUs.

CGUs or groups of CGUs as defined by the Group represent the various brands under which the Group operates (cf. Note 33.4).

Impairment tests seek to determine whether the recoverable amount of a CGU is less than its net carrying amount. The recoverable amount of a CGU is the higher of its fair value less costs to sell and its value in use. Value in use is determined with respect to future cash flow projections, taking into account the time value of money and the specific risks attributable to the CGU or group of CGUs.

Future cash flow projections are based on medium-term budgets and plans. These plans are drawn up for a period of five years with the exception of certain CGUs or groups of CGUs undergoing strategic repositioning, for which a longer period may be applied (typically ten years). To calculate value in use, a terminal value equal to the perpetual capitalization of a normative annual cash flow is added to the estimated future cash flows. The perpetual growth rates are appropriate in view of the country mix, since the Group now operates in regions whose markets are enjoying faster-paced growth than in Europe.

When the CGU's recoverable amount is less than its net carrying amount, an impairment loss is recognized. Impairment is charged first to goodwill and recognized under "Other non-recurring operating income and expenses" in the income statement (cf. Note 33.1.5).

Impairment recognized in respect of brands and other intangible assets along with property, plant and equipment may be reversed at a later date if there is an indication that the impairment loss no longer exists. Impairment recognized in respect of goodwill may not be reversed.

For 2023, the way in which the Group took into account the macroeconomic situation and climate issues in its impairment tests is described in Notes 33.1.3 and 33.1.4.

33.13 Leases

The Group applies IFRS 16 for all of its leases, with the exception of:

- short-term leases, with a lease term of 12 months or less as of the commencement date;
- leases for which the underlying asset is of low value.

Payments under these leases that are not recognized on the balance sheet are recognized as operating expenses on a straight-line basis over the lease term.

Under IFRS 16, for each affected lease, the following items are recognized in the balance sheet as of the commencement date:

- a lease liability, corresponding to the present value of all fixed future payments for the estimated term of the lease. The current and non-current portions of these liabilities are shown separately. Fixed future lease payments include the remeasurement of any payments that depend on an index or a growth rate established in the lease. They may also include the value of any purchase options or estimated penalties for terminating the lease, where the Group is reasonably certain to exercise these options. In addition, any lease incentives receivable as of the commencement date are deducted from fixed payments;
- a lease right-of-use asset, corresponding to the value of the lease liability less any incentives received from the lessor and plus any prepaid lease payments, initial direct costs and the estimated cost of restoring the asset where required by the terms and conditions of the lease.

After the start of the lease, the liability related to future lease payments is reduced by the amount of payments made with respect to lease payments, and increased by the amount of interest. The liability may be remeasured to reflect a new assessment of, or change in, future lease payments. The right-of-use asset, initially measured at cost including the lessee's direct costs and prepayments, minus lease incentives (rent-free periods) and restoration costs, is depreciated on a straight-line basis over the lease term as defined in accordance with IFRS 16.

IFRS 16 provides that the discount rate for each lease is determined with reference to the incremental borrowing rate, which corresponds to the rate of interest that the Group would have to pay to borrow over a similar term, and with similar security, the funds necessary to obtain an asset of a similar value to the lease right-of-use asset in a similar economic environment.

The incremental borrowing rates applied by the Group are based on a combination of risk-free interest rate curves per currency/country, euro/foreign currency swap points, and the Group's credit spread, also accounting for the nature of the underlying (real estate) asset.

An "industry" beta, which varies according to the lessee's operating segment, is added to these inputs to reflect the specific risk of each activity.

The rate curves take into account the average lease term and are prepared on a quarterly basis.

Lease rights are a separate component of right-of-use assets and are depreciated over the term of the underlying leases, less any residual value. This residual value is tested for impairment each year and an impairment loss is recognized where necessary.

The Group recognizes deferred tax in relation to the right-of-use asset and lease liability.

33.14 Property, plant and equipment

Property, plant and equipment are recognized at amortized historical cost less any impairment losses, with the exception of land, which is not depreciated. They are not revalued.

The various components of property, plant and equipment are recognized separately when their estimated useful life and therefore their depreciation periods are significantly different. The cost of property, plant and equipment includes the expenses that are directly attributable to its acquisition.

Depreciation is calculated using the straight-line method, based on the purchase price or production cost, less any residual value, which is reviewed annually if considered material.

The usual useful lives are as follows:

- Buildings: 10-100 years;
- Improvements and fixtures: 3-15 years;
- Improvements to leased assets: 3-10 years (limited to the lease term defined in accordance with IFRS 16);
- Plant and equipment: 3-20 years;
- Other property, plant and equipment: 2-7 years.

Property, plant and equipment are tested for impairment when an indication of impairment exists, such as a scheduled closure of a store or site, a redundancy plan or a downward revision of market forecasts. When an asset's recoverable amount is less than its net carrying amount, an impairment loss is recognized. Where the recoverable amount of an individual asset cannot be determined precisely, the Group determines the recoverable amount of the CGU or group of CGUs to which the asset belongs.

When an item of property, plant and equipment is sold, the disposal gain or loss resulting from the difference between the selling price and the carrying amount of the assets sold is recognized in the income statement.

33.15 Financial assets

The classification of financial assets determines their accounting treatment and basis of measurement. There are three categories of financial assets:

- financial assets measured at amortized cost;
- financial assets measured at fair value through the income statement (profit or loss);
- financial assets measured at fair value in equity through other comprehensive income.

The Group determines the classification of its financial assets upon initial recognition, based on their characteristics and the management objective behind the asset's purchase. Purchases and sales of financial assets are recognized on the transaction date, which is the date the Group is committed to the purchase or sale of the asset. A financial asset is derecognized if the contractual rights to the cash flows from the financial asset expire or the asset is transferred.

33.15.1 Financial assets measured at amortized cost

Financial assets are carried at amortized cost if they are held as part of a business model whose objective is to collect contractual cash flows that are solely payments of principal and interest on the principal amount outstanding.

This category includes loans and receivables, deposits and guarantees, trade receivables and most other current and non-current receivables.

These financial assets are initially recognized at fair value and subsequently at amortized cost using the effective interest method.

The effective interest rate is determined for each transaction and corresponds to the rate that would provide the net carrying amount of the financial asset by discounting its estimated future cash flows until maturity. The calculation includes transaction costs and any premiums and/or discounts. Transaction costs correspond to the costs directly attributable to the acquisition or issue of a financial asset. Net gains and losses on loans and receivables relate to interest income and impairment allowances.

Impairment allowances are recognized in the income statement based on the expected loss model:

- for its trade receivables, the Group applies a provision matrix for each country/brand based on historical loss data. Credit insurance that may be taken out by the Group is taken into account in the measurement of the risk and therefore of the provision;
- for other financial assets measured at amortized cost, an analysis is carried out taking into account the probability of counterparty default.

33.15.2 Financial assets measured at fair value through the income statement

Financial assets measured at fair value through the income statement mostly comprise financial assets giving rise to contractual cash flows that are not solely payments of principal and interest on the principal amount outstanding.

This category includes:

- non-consolidated investments and other financial investments, unless the Group has chosen to carry specific investments at fair value under the fair value option, in which case they are recognized directly in equity through other comprehensive income;
- financial assets held by the Group for trading purposes that the Group intends to resell in the near future and that are part of a portfolio of financial instruments that are managed together and for which there is evidence of a recent actual pattern of short-term profit-taking;
- assets designated as at fair value under the fair value option.

Changes in the fair value of these assets are taken to the income statement. Net gains or losses arising on financial assets measured at fair value through the income statement generally correspond to interest income, dividends, changes in the fair value of the assets (unrealized gains or losses) and capital gains or losses on disposals (realized gains or losses).

33.15.3 Financial assets measured at fair value in equity through other comprehensive income

Financial assets are carried at fair value directly in equity through other comprehensive income when they are held as part of a business model whose objective is achieved both by collecting contractual cash flows (corresponding solely to payments of principal and interest on the principal amount outstanding) and selling these financial assets.

This category includes debt instruments, such as bonds, that have the contractual cash flow and business model characteristics set out above.

It may also include non-consolidated investments or other financial investments, in which case changes in the fair value of the assets are recognized directly in equity through other comprehensive income until the assets are sold, with the exception of dividends received, which are systematically recognized in the income statement irrespective of the classification of the underlying financial asset.

33.15.4 Fair value hierarchy and associated valuation methods

The fair value of financial assets is determined using one of three levels in the fair value hierarchy:

- Level 1: financial assets quoted on an active market;
- Level 2: financial assets whose fair value is determined using valuation techniques drawing on observable market inputs;
- Level 3: financial assets whose fair value is determined using valuation techniques drawing on non-observable inputs (inputs whose value does not result from the price of observable market transactions for the same instrument or from observable market data available as of the end of the reporting period) or inputs which are only partly observable.

33.16 Financial liabilities

The classification of financial liabilities determines their accounting treatment and measurement. There are two categories of financial liabilities:

- financial liabilities measured at amortized cost;
- financial liabilities measured at fair value through the income statement (profit or loss).

The Group determines the classification of its financial liabilities upon initial recognition, based on their characteristics.

33.16.1 Financial liabilities measured at amortized cost

Financial liabilities are carried at amortized cost if they are held as part of a business model whose objective is to disburse contractual cash flows that are solely payments of principal and interest on the principal amount outstanding.

This category includes borrowings (with the exception of put options granted to minority interests – cf. Note 33.21), trade payables and most other current and non-current liabilities.

These financial liabilities are initially recognized at fair value less transaction costs, and subsequently at amortized cost using the effective interest method.

The effective interest rate is determined for each transaction and corresponds to the rate that would provide the net carrying amount of the financial liability by discounting its estimated future cash flows until maturity. The calculation includes transaction costs and any premiums and/or discounts. Transaction costs correspond to the costs directly attributable to the acquisition or issue of a financial liability.

The net carrying amount of financial liabilities measured at amortized cost that qualify as hedged items as part of a fair value hedging relationship is adjusted with respect to the hedged risk (cf. Note 33.17.1).

33.16.2 Financial liabilities measured at fair value through the income statement

The Group may elect to carry some financial liabilities at fair value through the income statement. In this case, unlike in the amortized cost method, the transaction costs associated with setting up these financial liabilities are recognized immediately within other financial income and expenses in the income statement.

33.17 Derivative instruments

33.17.1 Derivative instruments designated as hedging instruments

The Group uses various derivative instruments to reduce its exposure to foreign exchange risk, interest rate risk and the risk of movements in the prices of certain precious metals.

Derivative instruments are recognized in the balance sheet within current or non-current financial assets and liabilities, depending on their maturity. They are recognized at fair value as from the transaction date.

Derivatives designated as hedging instruments are classified by category of hedge based on the nature of the risks being hedged:

- a cash flow hedge is used to hedge the risk of changes in future cash flow from recognized assets or liabilities or a highly probable transaction that would impact the income statement;
- a fair value hedge is used to hedge the risk of changes in the fair value of recognized assets or liabilities or a firm commitment not yet recognized that would impact the income statement;

Hedge accounting can only be applied if all of the following conditions are met:

- the hedged instrument and the hedging instrument are both eligible;
- there is a formal designation and documentation of the hedging relationship as of the date of inception;
- there is an economic relationship between the hedged item and the hedging instrument.

The accounting treatment of derivative instruments qualified as hedging instruments, and their impact on the income statement and balance sheet, differ depending on the type of hedging relationship:

- for cash flow hedges, gains and losses are initially recognized directly in equity through other comprehensive income. They are then transferred to the income statement when the hedged items are recognized. For foreign currency derivatives, the effective portion is recorded in operating income, and the ineffective portion, option premiums and difference between spot and forward exchange rates (contango/backwardation) are recorded within "Financial result";
- for fair value hedges, gains and losses are recorded in the income statement in the same item as the hedged items, except for the ineffective portion, which is always recorded within "Financial result".

33.17.2 Derivative instruments designated as trading instruments

Changes in the fair value of derivative instruments that the Group cannot or does not wish to designate as hedging instruments are recognized in full in the income statement in other financial income and expenses within "Financial result".

33.17.3 Embedded derivative instruments

Certain financial assets or liabilities may contain a derivative instrument. When they are not closely related to the underlying instrument, these embedded derivatives are recognized separately in the balance sheet as a derivative instrument held for trading. Any changes in their fair value are taken in full in the income statement in other financial income and expenses within "Financial result".

33.18 Inventories

Inventories are measured using the weighted average cost method for all of the Group's business activities.

An impairment allowance on inventories is recognized on the basis of expected inventory turnover and obsolescence and if they are damaged.

33.19 Cash and cash equivalents

Cash and cash equivalents recorded on the assets side of the balance sheet include cash, mutual or similar funds, short-term investments and other highly liquid instruments that are readily convertible to known amounts of cash, are subject to an insignificant risk of changes in value, and have a maximum maturity of three months as of the purchase date.

Investments with a maturity exceeding three months, along with blocked or pledged bank accounts, are excluded from cash and cash equivalents.

Bank overdrafts are presented in borrowings on the liabilities side of the balance sheet. In the statement of cash flows, cash and cash equivalents at the opening and closing of the reporting period include bank overdrafts.

33.20 Kering treasury shares

Kering treasury shares, whether specifically allocated to be granted to Group employees, allocated to the liquidity agreement or held for any other purpose, as well as directly related transaction costs, are deducted directly from equity attributable to the Group.

On disposal, the consideration received for these shares, net of transaction costs and the related tax impacts, is also recognized directly in equity attributable to the Group.

33.21 Put options granted to minority interests

The Group has undertaken to repurchase the minority interests of shareholders of certain subsidiaries. The strike price of these put options may be set or determined according to a predefined calculation formula, and the options may be exercised either at any time or on a specific date.

The Group recognizes a financial liability in respect of any put options granted to minority interests. This liability is recognized at the present value of the best estimate of the strike price, with an offsetting entry in equity attributable to the Group. Any subsequent changes in the financial liability relating to put options granted to minority interests are recognized directly in equity, including the impact of unwinding the discount.

The financial liability recognized in respect of put options granted to minority interests is shown in the balance sheet within current and non-current borrowings, as appropriate. Put options granted to minority interests are therefore included in consolidated net debt (see Note 33.1.5).

Depending on the agreements signed by the Group with minority interests, minority shareholders may in some cases waive their dividend rights until the put option is exercised. In this case, the corresponding minority interests are canceled, with a direct offsetting entry in equity attributable to the Group. If the minority interests retain their dividend rights until the option is exercised however, the minority interests continue to be shown in the balance sheet.

33.22 Provisions for pensions and other post-employment benefits

Based on the laws and practices of each country, the Group recognizes various types of employee benefits, including pensions and other post-employment benefits.

Defined contribution plans

Under defined contribution plans, the Group is not obliged to make additional payments over and above contributions already made to a fund if the fund does not have sufficient assets to cover the benefits corresponding to services rendered by personnel during the current period and prior periods. Contributions paid into these plans are expensed in the income statement as incurred.

Defined benefit plans

Under defined benefit plans, obligations are valued using the projected unit credit method based on agreements in effect in each entity. Under this method, each period of service gives rise to an additional unit of benefit entitlement and each unit is measured separately to build up the final obligation. The obligation is then discounted. The actuarial assumptions used to determine the obligations vary according to the economic conditions of the country where the plan is established. These plans are valued by independent actuaries on an annual basis.

The valuations take into account the level of future compensation, the probable active life of employees, life expectancy and staff turnover.

The provision recognized in the balance sheet corresponds to the present value of the obligations calculated as described above, less the fair value of the plans' financial assets under wholly funded pension plans.

The current service cost for these plans is recognized within personnel expenses in the income statement. The interest cost relating to the benefit obligation net of interest income on plan assets under wholly funded plans is recognized in other financial income and expenses within "Financial result". Past service cost, designating the increase in an obligation following the introduction of a new plan or the impact of amendments to an existing plan, is expensed immediately in the income statement within personnel expenses, regardless of whether or not the benefit entitlement has already vested or is still vesting.

Changes in actuarial assumptions and the impact of experience adjustments (the difference between outcomes estimated using actuarial assumptions and actual outcomes) give rise to actuarial gains and losses, which are recognized directly in equity within other comprehensive income. These actuarial gains and losses are never transferred to the income statement.

33.23 Provisions

Provisions for litigation, disputes and miscellaneous contingencies and losses are recognized as soon as a present obligation arises from past events, which is likely to result in an outflow of resources embodying economic benefits, the amount of which can be reliably estimated.

Provisions maturing in more than one year are valued at their discounted amount, representing the best estimate of the expense necessary to extinguish the current obligation at the end of the reporting period. The discount rate used reflects current assessments of the time value of money and specific risks related to the liability.

A provision for restructuring costs is recognized when there is a formal and detailed restructuring plan and the plan has begun to be implemented or its main features have been announced before the end of the reporting period. Restructuring costs for which a provision is made essentially represent employee costs (severance pay, early retirement plans, payment in lieu of notice, etc.), work stoppages and compensation for breaches of contract with third parties.

33.24 Discontinued operations, assets held for sale and liabilities associated with assets held for sale

The Group applies IFRS 5, which requires the separate recognition and presentation of assets (or disposal groups) held for sale and discontinued operations.

Non-current assets, or groups of assets and liabilities directly associated with those assets, are considered as held for sale if it is highly probable that their carrying amount will be recovered principally through a sale rather than through continuing use. Non-current assets (or disposal groups) held for sale are measured and recognized at the lower of their net carrying amount and their fair value less the costs of disposal. These assets are no longer depreciated or amortized from the time they qualify as assets (or disposal groups) held for sale. They are presented on separate lines in the consolidated balance sheet, without restatement for previous periods.

A discontinued operation is defined as a component of a group that generates cash flows that can be clearly distinguished from the rest of the Group and represents a separate line of business or geographical area of operations. For all periods presented, the net income or loss from these activities is shown on a separate line of the income statement within discontinued operations and is restated in the statement of cash flows.

NOTE 34 – LIST OF CONSOLIDATED ENTITIES

Consolidation method
Full consolidation: C
Equity method: E

Company	Transaction	% interest Dec. 31, 2023		% interest Dec. 31, 2022	
KERING SA		**Parent company**		**Parent company**	
LUXURY HOUSES					
France					
ALEXANDER MCQUEEN FRANCE SAS		C	100.00	C	100.00
ARCADES PONTHIEU SA		C	95.00	C	95.00
ATELIER DE CONFECTION SAINT LAURENT		C	100.00	C	100.00
BALENCIAGA OPERATIONS SAS		C	100.00	C	100.00
BALENCIAGA SAS		C	100.00	C	100.00
BOTTEGA VENETA FRANCE SAS		C	100.00	C	100.00
BOUCHERON PARFUMS SAS		C	100.00	C	100.00
BOUCHERON SAS		C	100.00	C	100.00
BRIONI FRANCE SAS		C	100.00	C	100.00
DODO PARIS SAS		C	100.00	C	100.00
FRANCE CROCO SAS		C	100.00	C	100.00
GG FRANCE SERVICES SAS		C	100.00	C	100.00
GINORI 1735	Consolidation	C	100.00	–	–
GPO HOLDING SAS		C	100.00	C	100.00
GUCCI FRANCE SAS		C	100.00	C	100.00
LES BOUTIQUES BOUCHERON SAS		C	100.00	C	100.00
POMELLATO PARIS SAS		C	100.00	C	100.00
QEELIN FRANCE SARL		C	100.00	C	100.00
SAINT LAURENT CULTURE SAS	Formation	C	100.00	–	–
SAINT LAURENT EDITIONS SAS	Formation	C	100.00	–	–
SAINT LAURENT PRODUCTIONS SAS	Formation	C	100.00	–	–
SAS ETABLISSEMENTS E. BLONDEAU	Acquisition	C	100.00	–	–
SAS BELTER	Acquisition	C	100.00	–	–
SAS CHANSON ET CIE JOAILLIERS FABRICANTS	Acquisition	C	100.00	–	–
SAS FG DÉVELOPPEMENT	Acquisition	C	100.00	–	–
YSL VENTES PRIVEES FRANCE SAS		C	100.00	C	100.00
YVES SAINT LAURENT BOUTIQUE FRANCE SAS		C	100.00	C	100.00
YVES SAINT LAURENT PARFUMS SAS		C	100.00	C	100.00
YVES SAINT LAURENT SAS		C	100.00	C	100.00
Germany					
ALEXANDER MCQUEEN TRADING GMBH		C	100.00	C	100.00
BALENCIAGA GERMANY GmbH		C	100.00	C	100.00
BOTTEGA VENETA GERMANY GmbH		C	100.00	C	100.00
BRIONI GERMANY GmbH		C	100.00	C	100.00
DODO DEUTSCHLAND GmbH		C	100.00	C	100.00
GG LUXURY GOODS GmbH		C	100.00	C	100.00
POMELLATO DEUTSCHLAND GmbH		C	100.00	C	100.00
YVES SAINT LAURENT GERMANY GmbH		C	100.00	C	100.00

		% interest			
Company	**Transaction**	**Dec. 31, 2023**		**Dec. 31, 2022**	
Austria					
ALEXANDER MCQUEEN GmbH		C	100.00	C	100.00
BALENCIAGA AUSTRIA GmbH		C	100.00	C	100.00
BOTTEGA VENETA AUSTRIA GmbH		C	100.00	C	100.00
GUCCI AUSTRIA GmbH		C	100.00	C	100.00
YVES SAINT LAURENT AUSTRIA GmbH		C	100.00	C	100.00
Belgium					
BALENCIAGA BELGIUM		C	100.00	C	100.00
GUCCI BELGIUM SA		C	100.00	C	100.00
SAINT LAURENT BELGIUM		C	100.00	C	100.00
Denmark					
BALENCIAGA DENMARK APS		C	100.00	C	100.00
LUXURY GOODS DENMARK AS		C	51.00	C	51.00
SAINT LAURENT DENMARK APS	Acquisition	C	100.00	–	–
Spain					
BALENCIAGA SPAIN SL		C	100.00	C	100.00
BOTTEGA VENETA ESPANA SL		C	100.00	C	100.00
DODO SPAIN SA		C	100.00	C	100.00
LUXURY GOODS SPAIN SL		C	100.00	C	100.00
LUXURY TIMEPIECES ESPANA SL		C	100.00	C	100.00
YVES SAINT LAURENT SPAIN SA		C	100.00	C	100.00
United Kingdom					
ALEXANDER MCQUEEN TRADING Ltd		C	100.00	C	100.00
AUTUMNPAPER Ltd		C	100.00	C	100.00
BALENCIAGA UK Ltd		C	100.00	C	100.00
BIRDSWAN SOLUTIONS Ltd		C	100.00	C	100.00
BOTTEGA VENETA UK CO. Ltd		C	100.00	C	100.00
BOUCHERON UK Ltd		C	100.00	C	100.00
BRIONI UK Ltd		C	100.00	C	100.00
DODO (UK) Ltd		C	100.00	C	100.00
GUCCI Ltd		C	100.00	C	100.00
GINORI 1735 LIMITED	Consolidation	C	100.00	–	–
LUXURY TIMEPIECES & JEWELLERY OUTLETS Ltd		C	100.00	C	100.00
LUXURY TIMEPIECES UK Ltd		C	100.00	C	100.00
PAINTGATE Ltd		C	100.00	C	100.00
POMELLATO (UK) Ltd		C	100.00	C	100.00
YVES SAINT LAURENT UK Ltd		C	100.00	C	100.00
Greece					
LUXURY GOODS GREECE AE		C	100.00	C	100.00
SAINT LAURENT GREECE AE		C	100.00	C	100.00
BOTTEGA VENETA GREECE SA		C	100.00	C	100.00
Hungary					
GUCCI HUNGARY RETAIL LTD		C	100.00	C	100.00
Ireland					
BALENCIAGA IRELAND LTD	Formation	C	100.00	–	–
BOTTEGA VENETA IRELAND LTD		C	100.00	C	100.00
GUCCI IRELAND Ltd		C	100.00	C	100.00
SAINT LAURENT IRELAND LTD		C	100.00	C	100.00

		% interest			
Company	**Transaction**	**Dec. 31, 2023**		**Dec. 31, 2022**	
Italy					
ACCADEMIA DELLA PELLETTERIA SRL		C	51.00	C	51.00
ALEXANDER MCQUEEN ITALIA SRL		C	100.00	C	100.00
ALEXANDER MCQUEEN LOGISTICA SRL		C	100.00	C	100.00
ALEXANDER MCQUEEN ONLINE ITALIA SRL		C	100.00	C	100.00
B.V. ITALIA SRL		C	100.00	C	100.00
BALENCIAGA LOGISTICA SRL		C	100.00	C	100.00
BALENCIAGA ONLINE ITALIA SRL		C	100.00	C	100.00
BALENCIAGA RETAIL ITALIA SRL		C	100.00	C	100.00
BOTTEGA VENETA LOGISTICA SRL		C	100.00	C	100.00
BOTTEGA VENETA SRL		C	100.00	C	100.00
BRIONI GERMANICS HOLDING SRL		C	100.00	C	100.00
BRIONI ITALIA SRL		C	100.00	C	100.00
BRIONI SpA		C	100.00	C	100.00
BV ECOMMERCE SRL		C	100.00	C	100.00
CARAVEL PELLI PREGIATE SpA		C	100.00	C	100.00
CHEM – TEC SRL		C	51.00	C	51.00
COLONNA SpA		C	51.00	C	51.00
CONCERIA 800 SpA		C	51.00	C	51.00
COSTANZO & RIZZETTO SRL		E	45.00	E	45.00
DESIGN MANAGEMENT 2 SRL		C	100.00	C	100.00
DESIGN MANAGEMENT SRL		C	100.00	C	100.00
DI REMIGIO & DI DIODORO S.R.L.		C	51.00	C	51.00
DODO RETAIL ITALIA S.R.L.	Formation	C	100.00	–	–
E-LITE SRL		C	100.00	C	100.00
FALCO PELLAMI SpA		C	51.00	C	51.00
FUTURA SRL	Acquisition	C	77.00	–	–
G COMMERCE EUROPE SpA		C	100.00	C	100.00
GARPE SRL		C	100.00	C	100.00
GGW ITALIA SRL		C	100.00	C	100.00
GJP SRL		C	100.00	C	100.00
GPA SRL		C	100.00	C	100.00
GT SRL		C	100.00	C	100.00
GUCCI PALAZZO SRL		C	100.00	C	100.00
IMMOBILIARE ARNO		C	100.00	C	100.00
GUCCI LOGISTICA SpA		C	100.00	C	100.00
GUCCIO GUCCI SpA		C	100.00	C	100.00
IMMOBILIARE ARMEA SRL		C	100.00	C	100.00
K RETAIL SRL		C	100.00	C	100.00
KERING FASHION OPERATIONS SRL	Liquidation	–	–	C	100.00
LUXURY GOODS ITALIA SpA		C	100.00	C	100.00
LUXURY GOODS OUTLET SRL		C	100.00	C	100.00
MANIFATTURA VENETA PELLETERIE SRL		C	100.00	C	100.00
MARBELLA PELLAMI SpA		C	51.00	C	51.00
MFI LUXURY S.R.L	Acquisition	E	30.00	–	–
MOOD SRL		E	19.00	E	19.00
NEGOZI RICHARD GINORI SRL	Consolidation	C	100.00	–	–
PELLETTERIA ALESSANDRA SRL		C	90.00	C	90.00
PIGINI SRL		C	100.00	C	100.00
POMELLATO EUROPA SpA		C	100.00	C	100.00
POMELLATO SpA		C	100.00	C	100.00

		% interest			
Company	**Transaction**	**Dec. 31, 2023**		**Dec. 31, 2022**	
ROMAN STYLE SpA		C	100.00	C	100.00
RICHARD GINORI SRL	Consolidation	C	100.00	–	–
SAINT LAURENT ECOMMERCE SRL		C	100.00	C	100.00
SL LUXURY RETAIL SRL		C	100.00	C	100.00
TEST & INNOVATION LAB SRL		C	100.00	C	100.00
TIGER FLEX SRL		C	100.00	C	100.00
TMLO HOLDING SRL		C	100.00	C	100.00
YVES SAINT LAURENT MANIFATTURE SRL		C	100.00	C	100.00
Luxembourg					
KERING PARTICIPATIONS SARL		C	100.00	C	100.00
GUCCI GULF INVESTMENT SARL		C	100.00	C	100.00
GUCCI LUXEMBOURG SA		C	100.00	C	100.00
QEELIN HOLDING LUXEMBOURG SA		C	100.00	C	100.00
Monaco					
BOUCHERON SAM		C	100.00	C	100.00
GUCCI SAM		C	100.00	C	100.00
KERING RETAIL MONACO SAM		C	100.00	C	100.00
SAM YVES SAINT LAURENT OF MONACO		C	100.00	C	100.00
SOCIETE MONEGASQUE DE HAUTE JOAILLERIE S.A.M.		C	100.00	C	100.00
Norway					
LUXURY GOODS NORWAY AS		C	51.00	C	51.00
SAINT LAURENT NORWAY AS	Acquisition	C	100.00	–	–
Netherlands					
ALEXANDER MCQUEEN (THE NETHERLANDS) BV		C	100.00	C	100.00
BALENCIAGA NETHERLANDS BV		C	100.00	C	100.00
BOTTEGA VENETA NETHERLANDS BV		C	100.00	C	100.00
G DISTRIBUTION BV		C	100.00	C	100.00
GG MIDDLE EAST BV		C	51.00	C	51.00
GG OTHER TERRITORIES BV		C	100.00	C	100.00
GUCCI NETHERLANDS BV		C	100.00	C	100.00
KERING ASIAN HOLDING BV		C	100.00	C	100.00
YVES SAINT LAURENT NETHERLANDS BV		C	100.00	C	100.00
Poland					
SAINT LAURENT POLAND SP. Z.O.O	Formation	C	100.00	–	–
Portugal					
BOTTEGA VENETA PORTUGAL, UNIPESSOAL LDA		C	100.00	C	100.00
GUCCI PORTUGAL UNIPESSOAL, LDA		C	100.00	C	100.00
SAINT LAURENT PORTUGAL SL		C	100.00	C	100.00
Czech Republic					
BALENCIAGA CZECH REPUBLIC SRO		C	100.00	C	100.00
LUXURY GOODS CZECH REPUBLIC SRO		C	100.00	C	100.00
YVES SAINT LAURENT CZECH REPUBLIC, SRO		C	100.00	C	100.00
Romania					
SIFA INTERNATIONAL SRL		C	100.00	C	100.00
Russia					
BOUCHERON RUS OOO		C	100.00	C	100.00
GUCCI RUS OOO		C	100.00	C	100.00
Serbia					
F.LLI ROSSI SHOES DOO		C	70.00	C	70.00
LUXURY TANNERY DOO		C	51.00	C	51.00

Company	Transaction	% interest Dec. 31, 2023		% interest Dec. 31, 2022	
Sweden					
BOTTEGA VENETA SWEDEN AB	Formation	C	100.00	–	–
GUCCI SWEDEN AB		C	51.00	C	51.00
SAINT LAURENT SWEDEN AB	Acquisition	C	100.00	–	–
Switzerland					
BALENCIAGA SWITZERLAND SA		C	100.00	C	100.00
BOTTEGA VENETA SWISS RETAIL SA		C	100.00	C	100.00
BOUCHERON (SUISSE) SA		C	100.00	C	100.00
BOUCHERON TIMEPIECES SA		C	100.00	C	100.00
BRIONI SWITZERLAND SA		C	100.00	C	100.00
FABBRICA QUADRANTI SA		C	100.00	C	100.00
GUCCI SWISS RETAIL SA		C	100.00	C	100.00
GUCCI SWISS TIMEPIECES SA		C	100.00	C	100.00
LUXURY GOODS OUTLETS EUROPE SAGL	Liquidation	–	–	C	100.00
THE MALL LUXURY OUTLET SA	Liquidation	–	–	C	100.00
POMELLATO SWITZERLAND S.A.	Formation	C	100.00	–	–
YSL SWITZERLAND SA		C	100.00	C	100.00
Aruba					
GEMINI ARUBA NV		C	100.00	C	100.00
Brazil					
BALENCIAGA BRASIL LTDA	Formation	C	100.00	–	–
BOTTEGA VENETA HOLDING Ltda		C	100.00	C	100.00
GUCCI BRASIL IMPORTACAO E EXPORTACAO Ltda		C	100.00	C	100.00
SAINT LAURENT BRASIL IMPORTACAO E EXPORTACAO Ltda		C	100.00	C	100.00
Canada					
ALEXANDER MCQUEEN TRADING CANADA INC.		C	100.00	C	100.00
BALENCIAGA CANADA Inc.		C	100.00	C	100.00
BOTTEGA VENETA CANADA Ltd		C	100.00	C	100.00
G. BOUTIQUES Inc.		C	100.00	C	100.00
QEELIN CANADA LTD		C	100.00	C	100.00
SAINT LAURENT CANADA BOUTIQUES Inc.		C	100.00	C	100.00
Chile					
LUXURY GOODS CHILE SpA		C	51.00	C	51.00
United States					
ALEXANDER MCQUEEN TRADING AMERICA, Inc.		C	100.00	C	100.00
BALENCIAGA AMERICA Inc.		C	100.00	C	100.00
BOTTEGA VENETA Inc.		C	100.00	C	100.00
BOUCHERON JOAILLERIE (USA) Inc.		C	100.00	C	100.00
BRIONI AMERICA HOLDING Inc.		C	100.00	C	100.00
BRIONI AMERICA Inc.		C	100.00	C	100.00
G GATOR USA LLC		C	100.00	C	100.00
GUCCI AMERICA Inc.		C	100.00	C	100.00
GUCCI FINANCIAL HOLDING AMERICAS, INC.		C	100.00	C	100.00
GUCCI OSTERIA USA LLC		C	100.00	C	100.00
GUCCI SAIPAN INC		C	100.00	C	100.00
GUCCI TRUST		C	100.00	C	100.00
KERING AMERICAS TRADING, LLC		C	100.00	C	100.00
LUXURY HOLDINGS Inc.		C	100.00	C	100.00
POMELLATO USA Inc.		C	100.00	C	100.00
RICHARD GINORI 1735 INC	Consolidation	C	100.00	–	–
WALL'S GATOR FARM II LLC		E	40.00	E	40.00
WG ALLIGATOR FARM LLC		E	40.00	E	40.00
YVES SAINT LAURENT AMERICA HOLDING Inc.		C	100.00	C	100.00
YVES SAINT LAURENT AMERICA Inc.		C	100.00	C	100.00

Company	Transaction	% interest Dec. 31, 2023		% interest Dec. 31, 2022	
Mexico					
BRIONI RETAIL MEXICO, S. DE R.L. DE C.V.	Formation	C	100.00	–	–
BALENCIAGA RETAIL MEXICO, S. DE R.L. DE C.V.		C	100.00	C	100.00
BOTTEGA VENETA MEXICO, S. DE R.L. DE C.V.		C	100.00	C	100.00
D ITALIAN CHARMS, S.A. DE R.L. DE C.V.		C	100.00	C	100.00
GUCCI IMPORTACIONES S.A. DE C.V.		C	100.00	C	100.00
GUCCI MEXICO S.A. DE C.V.		C	100.00	C	100.00
SAINT LAURENT MEXICO, S. DE R.L. DE C.V.		C	100.00	C	100.00
Panama					
LUXURY GOODS PANAMA S. DE R.L.		C	51.00	C	51.00
SAINT LAURENT PANAMA Inc.		C	100.00	C	100.00
Dominican Republic					
SAINT LAURENT DOMINICAN REPUBLIC S.A.S.	Formation	C	100.00	–	–
Australia					
ALEXANDER MCQUEEN AUSTRALIA PTY Ltd		C	100.00	C	100.00
BALENCIAGA AUSTRALIA PTY Ltd		C	100.00	C	100.00
BOTTEGA VENETA AUSTRALIA PTY Ltd		C	100.00	C	100.00
GUCCI AUSTRALIA PTY Ltd		C	100.00	C	100.00
SAINT LAURENT AUSTRALIA PTY Ltd		C	100.00	C	100.00
QEELIN AUSTRALIA PTY. LTD.		C	100.00	C	100.00
New Zealand					
ALEXANDER MCQUEEN NEW ZEALAND LTD		C	100.00	C	100.00
BALENCIAGA NEW ZEALAND LTD		C	100.00	C	100.00
GUCCI NEW ZEALAND Ltd		C	100.00	C	100.00
SAINT LAURENT NEW ZEALAND Ltd		C	100.00	C	100.00
Greater China					
Mainland China					
ALEXANDER McQUEEN (SHANGHAI) TRADING Ltd		C	100.00	C	100.00
BALENCIAGA FASHION SHANGHAI CO. Ltd		C	100.00	C	100.00
BOTTEGA VENETA (CHINA) TRADING Ltd		C	100.00	C	100.00
BRIONI (SHANGHAI) TRADING Ltd		C	100.00	C	100.00
DODO (SHANGHAI) WATCHES AND JEWELRY LTD	Formation	C	100.00	–	–
GUCCI (CHINA) TRADING Ltd		C	100.00	C	100.00
GUCCI WATCHES MARKETING CONSULTING (SHANGHAI) Ltd		C	100.00	C	100.00
KERING (SHANGHAI) WATCHES AND JEWELRY Ltd		C	100.00	C	100.00
LUXURY EMOTIONS (SHENZHEN) BUSINESS MANAGEMENT CO., LTD	Formation	C	100.00	–	–
POMELLATO SHANGHAI CO. Ltd		C	100.00	C	100.00
QEELIN TRADING (SHANGHAI) CO. Ltd		C	100.00	C	100.00
GINORI 1735 RETAIL SHANGHAI CO, LTD	Consolidation	C	100.00	–	–
YVES SAINT LAURENT (SHANGHAI) TRADING Ltd		C	100.00	C	100.00
Hong Kong SAR					
ALEXANDER MCQUEEN (HONG KONG) Ltd		C	100.00	C	100.00
BALENCIAGA ASIA PACIFIC Ltd		C	100.00	C	100.00
BOTTEGA VENETA HONG KONG Ltd		C	100.00	C	100.00
BOUCHERON HONG KONG Ltd		C	100.00	C	100.00
BRIONI HONG KONG Ltd		C	100.00	C	100.00
DODO HONG KONG LTD	Formation	C	100.00	–	–
GUCCI ASIA COMPANY Ltd		C	100.00	C	100.00
GUCCI GROUP (HONG KONG) LTD		C	100.00	C	100.00
POMELLATO PACIFIC Ltd		C	100.00	C	100.00
QEELIN Ltd		C	100.00	C	100.00
YVES SAINT LAURENT (HONG KONG) Ltd		C	100.00	C	100.00

Company	Transaction	% interest Dec. 31, 2023		% interest Dec. 31, 2022	
Macau SAR					
ALEXANDER McQUEEN (MACAU) Ltd		C	100.00	C	100.00
BALENCIAGA MACAU Ltd		C	100.00	C	100.00
BOTTEGA VENETA MACAU Ltd		C	100.00	C	100.00
BRIONI MACAU Ltd		C	100.00	C	100.00
GUCCI MACAU Ltd		C	100.00	C	100.00
KERING (MACAU) WATCHES AND JEWELRY Ltd		C	100.00	C	100.00
QEELIN MACAU Ltd		C	100.00	C	100.00
YVES SAINT LAURENT MACAU Ltd		C	100.00	C	100.00
Taïwan					
BOUCHERON TAIWAN CO. Ltd		C	100.00	C	100.00
South Korea					
ALEXANDER MCQUEEN KOREA LLC		C	100.00	C	100.00
BALENCIAGA KOREA LLC		C	100.00	C	100.00
BOTTEGA VENETA KOREA LLC		C	100.00	C	100.00
BRIONI KOREA LLC	Formation	C	100.00	–	–
GUCCI KOREA LLC		C	100.00	C	100.00
KERING WATCHES & JEWELRY KOREA LLC		C	100.00	C	100.00
YVES SAINT LAURENT KOREA LLC		C	100.00	C	100.00
Guam					
BOTTEGA VENETA GUAM Inc.		C	100.00	C	100.00
GUCCI GROUP GUAM Inc.		C	100.00	C	100.00
India					
LUXURY GOODS RETAIL PRIVATE LTD		C	51.00	C	51.00
YVES SAINT LAURENT INDIA PRIVATE LTD	Formation	C	51.00	–	–
Japan					
BALENCIAGA JAPAN Ltd		C	100.00	C	100.00
BOTTEGA VENETA JAPAN Ltd		C	100.00	C	100.00
BOUCHERON JAPAN Ltd		C	100.00	C	100.00
BRIONI JAPAN CO. Ltd		C	100.00	C	100.00
GUCCI OSTERIA JAPAN G.K.		C	100.00	C	100.00
QEELIN JAPAN LIMITED		C	100.00	C	100.00
POMELLATO JAPAN CO. Ltd		C	100.00	C	100.00
RICHARD GINORI ASIA PACIFIC CO. LTD.	Consolidation	C	100.00	–	–
Malaysia					
AUTUMNPAPER MALAYSIA SDN BHD		C	100.00	C	100.00
BALENCIAGA SEA MALAYSIA SDN BHD		C	100.00	C	100.00
BOTTEGA VENETA MALAYSIA SDN BHD		C	100.00	C	100.00
GUCCI (MALAYSIA) SDN BHD		C	100.00	C	100.00
KERING WATCHES AND JEWELRY (MALAYSIA) SDN BHD		C	100.00	C	100.00
SAINT LAURENT (MALAYSIA) SDN BHD		C	100.00	C	100.00
Philippines					
LUXURY GOODS PHILIPPINES INC		C	75.00	C	75.00
Singapore					
ALEXANDER MCQUEEN (SINGAPORE) PTE Ltd		C	100.00	C	100.00
BALENCIAGA SINGAPORE PTE Ltd		C	100.00	C	100.00
BOTTEGA VENETA SINGAPORE PRIVATE Ltd		C	100.00	C	100.00
GUCCI SINGAPORE PTE Ltd		C	100.00	C	100.00
KERING (SINGAPORE) WATCHES AND JEWELRY PTE Ltd		C	100.00	C	100.00
SAINT LAURENT (SINGAPORE) PTE Ltd		C	100.00	C	100.00

		% interest			
Company	**Transaction**	**Dec. 31, 2023**		**Dec. 31, 2022**	
Thailand					
ALEXANDER MCQUEEN (THAILAND) Ltd		C	100.00	C	100.00
BALENCIAGA THAILAND Ltd		C	100.00	C	100.00
BOTTEGA VENETA (THAILAND) Ltd		C	75.00	C	75.00
GUCCI SERVICES (THAILAND) Ltd		C	98.00	C	98.00
LUXURY GOODS (THAILAND) Ltd		C	75.00	C	75.00
SAINT LAURENT (THAILAND) CO. Ltd		C	100.00	C	100.00
Vietnam					
GUCCI VIETNAM CO. Ltd		C	100.00	C	100.00
South Africa					
GG LUXURY RETAIL SOUTH AFRICA PTE Ltd		C	62.00	C	62.00
Saudi Arabia					
BOTTEGA VENETA ARABIA TRADING LLC		C	75.00	C	75.00
BRIONI MIDDLE EAST GENERAL TRADING LLC	Formation	C	100.00	–	–
LUXURY GOODS ARABIA LTD		C	75.00	C	75.00
SAINT LAURENT ARABIA TRADING LLC	Formation	C	75.00	–	–
ARABIAN LUXURY GOODS TRADING (LLC)	Formation	C	75.00	–	–
Bahrain					
FLORENCE 1921 WLL		C	49.00	C	49.00
SAINT LAURENT BAHRAIN W.L.L	Formation	C	99.90	–	–
United Arab Emirates					
AP LUXURY GOODS MIDDLE EAST LLC		C	49.00	C	49.00
ATELIER LUXURY GULF LLC		C	49.00	C	49.00
FASHION LUXURY MIDDLE EAST LLC		C	49.00	C	49.00
KERING TRADING MIDDLE EAST DWC - LLC		C	100.00	C	100.00
LUXURY FASHION GULF LLC		C	49.00	C	49.00
LUXURY GOODS GULF LLC		C	49.00	C	49.00
Kuwait					
AUTUMNPAPER LUXURY GOODS FOR READYMADE CLOTHES, SHOES AND ACCESSORIES WLL		C	49.00	C	49.00
B.A.L FOR READY-TO-WEAR APPAREL AND ACCESSORIES WLL		C	49.00	C	49.00
BOTTEGA VENETA LEATHER GOODS KUWAIT WLL		C	49.00	C	49.00
LUXURY GOODS KUWAIT WLL		C	26.01	C	26.01
YSL KUWAIT FOR READYMADE CLOTHES AND ACCESSORIES WLL		C	49.00	C	49.00
Qatar					
APL LUXURY FASHION TRADING WLL.		C	49.00	C	49.00
FASHION LUXURY TRADING LLC		C	49.00	C	49.00
GUCCI QFZ LLC		C	100.00	C	100.00
LUXURY GOODS QATAR LLC		C	25.50	C	25.50
SAINT LAURENT PARIS LLC		C	24.00	C	24.00
Turkey					
BOTTEGA VENETA TURKEY LÜKS ÜRÜNLER LIMITED ŞIRKETI	Formation	C	100.00	–	–
GUCCI TURKEY LUXURY GOODS TRADE LLP		C	100.00	C	100.00
SAINT LAURENT TURKEY LÜKS ÜRÜNLER LIMITED ŞIRKETI		C	100.00	C	100.00

Company	Transaction	% interest Dec. 31, 2023		% interest Dec. 31, 2022
KERING EYEWEAR & CORPORATE				
KERING EYEWEAR & KERING BEAUTE				
France				
FRAGRANCES PRODUCTION SARL	Acquisition	C 100.00	–	–
FONTAINE FRANCE SARL	Acquisition	C 100.00	–	–
KERING EYEWEAR FRANCE SAS		C 65.07	C	64.32
MANUFACTURE KERING EYEWEAR SAS		C 65.07	C	64.32
MYYRH SARL	Acquisition	C 100.00	–	–
MAUI JIM EUROPE SARL		C 65.07	C	64.32
USINAGE ET NOUVELLES TECHNOLOGIES S.A.S.	Acquisition	C 65.07	–	–
Germany				
KERING EYEWEAR DACH GmbH		C 65.07	C	64.32
MAUI JIM GERMANY, GMBH		C 65.07	C	64.32
Croatia				
KERING EYEWEAR SOUTH EAST EUROPE DOO		C 65.07	C	64.32
Denmark				
LINDBERG AS		C 65.07	C	64.32
Spain				
KERING EYEWEAR ESPANA SA		C 65.07	C	64.32
MAUI JIM SPAIN, S.L.		C 65.07	C	64.32
United Kingdom				
CHENAL II LTD.	Acquisition	C 100.00	–	–
FONTAINE LTD.	Acquisition	C 100.00	–	–
KERING BEAUTE UK	Formation	C 100.00	–	–
KERING EYEWEAR UK Ltd		C 65.07	C	64.32
LAGUNE LTD.	Acquisition	C 100.00	–	–
MAUI JIM UK LTD.		C 65.07	C	64.32
THE ORANGE SQUARE COMPANY LTD	Acquisition	C 100.00	–	–
Italy				
KERING EYEWEAR SpA		C 65.07	C	64.32
TRENTI INDUSTRIA OCCHIALI SPA		C 35.79	C	35.37
MAUI JIM - ITALY S.R.L.		C 65.07	C	64.32
Jersey				
CHENAL I LTD.	Acquisition	C 100.00	–	–
Luxembourg				
LINDBERG SA		C 65.07	C	64.32
FONTAINE LUXEMBOURG SARL	Acquisition	C 100.00	–	–
Portugal				
KERING EYEWEAR PORTUGAL UNIPESSOAL LDA		C 65.07	C	64.32
Sweden				
MAUI JIM NORDIC AB		C 65.07	C	64.32
Canada				
INTERNATIONAL COSMETICS & PERFUMES CANADA LTD.	Acquisition	C 100.00	–	–
MAUI JIM CANADA ULC		C 65.07	C	64.32
United States				
CREED BOUTIQUE LLC	Acquisition	C 100.00	–	–
CREED BOUTIQUE BEVERLY HILLS, LLC	Acquisition	C 100.00	–	–
CREED BOUTIQUE HOUSTON, LLC	Acquisition	C 100.00	–	–
CREED BOUTIQUE KING OF PRUSSIA, LLC	Acquisition	C 100.00	–	–
CREED BOUTIQUE LAS VEGAS, LLC	Acquisition	C 100.00	–	–
CREED BOUTIQUE LAS VEGAS CRYSTALS, LLC	Acquisition	C 100.00	–	–
CREED BOUTIQUE MIAMI, LLC	Acquisition	C 100.00	–	–

		% interest			
Company	**Transaction**	**Dec. 31, 2023**		**Dec. 31, 2022**	
CREED BOUTIQUE NORTHPARK, LLC	Acquisition	C	100.00	–	–
CREED BOUTIQUE VALLEY FAIR LCC	Acquisition	C	100.00	–	–
HUIPU CORP.		C	65.07	C	64.32
INTERNATIONAL COSMETICS AND PERFUMES, INC.	Acquisition	C	100.00	–	–
INTERNATIONAL COSMETICS AND PERFUMES FLO,LLC	Acquisition	C	100.00	–	–
INTERNATIONAL COSMETICS AND PERFUMES MAT,LLC	Acquisition	C	100.00	–	–
INTERNATIONAL COSMETICS AND PERFUMES MIZ, LLC	Acquisition	C	100.00	–	–
KERING EYEWEAR USA Inc.		C	65.07	C	64.32
MAUI JIM INC.		C	65.07	C	64.32
MAUI JIM USA, INC.		C	65.07	C	64.32
NILES FISHING COMPANY, LTD.		C	65.07	C	64.32
ZEAL OPTICS, INC.		C	65.07	C	64.32
LINDBERG USA, INC.		C	65.07	C	64.32
Mexico					
COSPER INTERNATIONAL S. DE R.L. DE C.V.	Acquisition	C	100.00	–	–
CREED BOUTIQUE MASARYK S.A DE C.V.	Acquisition	C	100.00	–	–
Australia					
KERING EYEWEAR AUSTRALIA PTY Ltd		C	65.07	C	64.32
MAUI JIM AUSTRALIA PTY, LTD		C	65.07	C	64.32
Greater China					
Mainland China					
FONTAINE (SHANGHAI) INTERNATIONAL TRADE CO., LTD	Acquisition	C	100.00	–	–
KERING EYEWEAR SHANGHAI TRADING ENTERPRISES Ltd		C	65.07	C	64.32
LINDBERG SHANGHAI TRADING LTD		C	65.07	C	64.32
MAUI JIM EYEWEAR SELLING (SHANGHAI) CO., LTD		C	65.07	C	64.32
Hong Kong SAR					
FONTAINE HK LTD.	Acquisition	C	100.00	–	–
KERING EYEWEAR APAC Ltd		C	65.07	C	64.32
MAUI JIM ASIA LIMITED		C	65.07	C	64.32
Taiwan					
KERING EYEWEAR TAIWAN Ltd		C	65.07	C	64.32
South Korea					
KERING EYEWEAR KOREA Ltd		C	65.07	C	64.32
India					
KERING EYEWEAR INDIA Ltd		C	65.07	C	64.32
MAUI JIM SUN OPTICS INDIA PRIVATE LIMITED		C	65.07	C	64.32
Japan					
KERING EYEWEAR JAPAN Ltd		C	65.07	C	64.32
Malaysia					
KERING EYEWEAR MALAYSIA SDN BHD		C	65.07	C	64.32
Mexico					
MAUI JIM SUNGLASSES DE MEXICO S DE RL DE CV		C	65.07	C	64.32
Singapore					
KERING EYEWEAR SINGAPORE PTE LTD		C	65.07	C	64.32
South Africa					
MAUI JIM SOUTH AFRICA (PTY) LTD		C	65.07	C	64.32
United Arab Emirates					
CREED MIDDLE EAST PERFUMES TRADING LLC	Acquisition	C	100.00	–	–
KERING EYEWEAR MIDDLE EAST FZ-LLC		C	65.07	C	64.32
MAUI JIM MIDDLE EAST TRADING L.L.C		C	65.07	C	64.32
MAUI JIM MIDDLE EAST FZE		C	65.07	C	64.32

Company	Transaction	% interest Dec. 31, 2023		% interest Dec. 31, 2022	
CORPORATE					
France					
56 MONTAIGNE 1 SNC	Merger	C	100.00	–	–
56 MONTAIGNE SNC	Formation	C	100.00	–	–
CASTIGLIONE 12-14 SCI	Formation	C	100.00	–	–
DISCODIS SAS		C	100.00	C	100.00
GG FRANCE 13 SAS		C	100.00	C	100.00
GG FRANCE 14 SAS		C	100.00	C	100.00
IMMO FRANCE 1 SAS		C	100.00	C	100.00
IMMO FRANCE 2 SAS	Formation	C	100.00	–	–
IMMO FRANCE 3 SAS	Formation	C	100.00	–	–
IMMO FRANCE 4 SAS	Formation	C	100.00	–	–
IMMO FRANCE 5 SAS	Formation	C	100.00	–	–
KERING BEAUTE SAS		C	100.00	C	100.00
KERING FINANCE SNC		C	100.00	C	100.00
KERING FRANCE 1	Formation	C	100.00	–	–
KERING FRANCE PARTICIPATIONS SAS		C	100.00	C	100.00
KERING SIGNATURE		C	100.00	C	100.00
KERING VENTURE SAS		C	100.00	C	100.00
MONTAIGNE 35 - 37 SCI	Formation	C	100.00	–	–
SOCIETE CIVILE KERING CAPITAL		C	100.00	C	100.00
Spain					
KERING SPAIN SL		C	100.00	C	100.00
United Kingdom					
KERING INTERNATIONAL Ltd		C	100.00	C	100.00
KERING UK SERVICES Ltd		C	100.00	C	100.00
Italy					
KERING ITALIA SpA		C	100.00	C	100.00
KERING SERVICE ITALIA SpA		C	100.00	C	100.00
NEVER GIVE UP INVESTMENTI S.R.L.		C	50.74	C	50.74
Luxembourg					
E-KERING LUX SA		C	100.00	C	100.00
GEMINGA SARL	Liquidation	–	–	C	100.00
KERING INVESTMENTS SA	Liquidation	–	–	C	94.13
KERING RE		C	100.00	C	100.00
Netherlands					
GUCCI PARTICIPATION BV		C	100.00	C	100.00
K OPERATIONS BV		C	100.00	C	100.00
KERING HOLLAND NV		C	100.00	C	100.00
KERING INVESTMENTS EUROPE BV		C	100.00	C	100.00
KERNIC-MET BV		C	100.00	C	100.00
Switzerland					
LUXURY GOODS INTERNATIONAL SA		C	100.00	C	100.00
LUXURY GOODS LOGISTICS SA		C	51.00	C	51.00
LUXURY GOODS OPERATIONS SA		C	51.00	C	51.00
Brazil					
KERING BRASIL SERVICOS ADMINISTRATIVOS LTDA		C	100.00	C	100.00
Canada					
KERING CANADA SERVICES INC		C	100.00	C	100.00
United States					
KERING AMERICAS Inc.		C	100.00	C	100.00
YOUR FRIENDS IN NEW YORK HOLDINGS, LLC	Disposal	–	0.00	E	22.22

Company	Transaction	% interest Dec. 31, 2023		% interest Dec. 31, 2022	
Mexico					
KERING MEXICO S. DE R.L. DE C.V.		C	100.00	C	100.00
Australia					
KERING AUSTRALIA PTY Ltd		C	100.00	C	100.00
Greater China					
Mainland China					
KERING INVESTMENT MANAGEMENT GROUP CO., LTD		C	100.00	C	100.00
Hong Kong SAR					
KERING ASIA PACIFIC Ltd		C	100.00	C	100.00
South Korea					
KERING KOREA LLC		C	100.00	C	100.00
Japan					
YUGEN KAISHA GUCCI		C	100.00	C	100.00
KERING JAPAN Ltd		C	100.00	C	100.00
KERING TOKYO INVESTMENT Ltd		C	100.00	C	100.00
Malaysia					
KERING SERVICES MALAYSIA SDN BHD		C	100.00	C	100.00
Singapore					
KERING SOUTH EAST ASIA PTE Ltd		C	100.00	C	100.00
United Arab Emirates					
KERING SERVICES MIDDLE EAST		C	100.00	C	100.00

2 - STATUTORY AUDITORS' REPORT ON THE CONSOLIDATED FINANCIAL STATEMENTS

For the year ended December 31, 2023

This is a translation into English of the statutory auditors' report on the consolidated financial statements of the Company issued in French and it is provided solely for the convenience of English speaking users.

This statutory auditors' report includes information specifically required by French law, such as information about the appointment of the statutory auditors or verification of the management report and other documents provided to shareholders.

This report should be read in conjunction with, and construed in accordance with French law and professional auditing standards applicable in France.

To the Kering S.A. General Shareholders' Meeting,

Opinion

In compliance with the engagement entrusted to us by the Shareholders' Meeting, we have audited the accompanying consolidated financial statements of Kering S.A. for the year ended December 31, 2023.

In our opinion, the consolidated financial statements present fairly, in all material respects, the assets and liabilities and the financial position of the Group as of December 31, 2023 and the results of its operations for the year then ended in accordance with International Financial Reporting Standards as adopted by the European Union.

The audit opinion expressed above is consistent with our report to the Audit Committee.

Basis for Opinion

Audit Framework

We conducted our audit in accordance with professional standards applicable in France. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Our responsibilities under those standards are further described in the "Statutory Auditors' Responsibilities for the Audit of the Consolidated Financial Statements" section of our report.

Independence

We conducted our audit in compliance with independence requirements of the French Commercial Code (*Code de commerce*) and the French Code of Ethics (*Code de déontologie*) for statutory auditors, for the period from January 1, 2023 to the date of our report and specifically we did not provide any prohibited non-audit services referred to in article 5(1) of Regulation (EU) No 537/2014.

Justification of Assessments - Key Audit Matters

In accordance with the requirements of Articles L.821-53 and R.821-180 of the French Commercial Code (*Code de commerce*) relating to the justification of our assessments, we inform you of the key audit matters relating to risks of material misstatement that, in our professional judgment, were of most significance in the audit of the consolidated financial statements of the current period, as well as how we addressed those risks.

These matters were addressed in the context of our audit of the consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on specific items of the consolidated financial statements.

Impairment tests on goodwill and intangible assets with indefinite useful lives

Notes 11, 12 and 33.12 to the consolidated financial statements

Risk identified	Our response
As of December 31, 2023, goodwill and brands are recorded on the balance sheet for a net carrying amount of €7,112 million and €7,208 million or 17.2% and 17.4% of the total consolidated balance sheet, respectively. The Group tests the value of its assets for impairment by allocating them to cash-generating units (CGUs). The impairment tests are performed each year, or whenever events or circumstances indicate that an impairment loss is likely. CGUs as defined by the Group represent the operating segments in which the Group's brands operate. Impairment tests seek to determine whether the recoverable amount of a CGU is less than its net carrying amount. The recoverable amount of a CGU is the higher of its fair value less costs to sell and its value in use. The value in use is determined with respect to future cash flow projections, taking into account the time value of money and the specific risks attributable to the CGU. Future cash flow projections are based on medium–term budgets and plans. When the CGU's recoverable amount is less than its net carrying amount, an impairment loss is recognized. Impairment is charged first to goodwill and recognized under "Other non-recurring operating income and expenses" in the income statement. Impairments tests carried out did not lead to the recognition of any impairment loss in 2023. Given the significant amount of goodwill and brands in the consolidated balance sheet as at December 31, 2023 and the uncertainties inherent in certain assumptions, notably the probability of achieving forecasts used to calculate the recoverable amount, we considered the valuation of goodwill and intangible assets with indefinite lives to be a key audit matter.	We performed a critical review of the methodology applied by the Group to carry out the impairment tests. Our procedures consisted in, for the CGU with a risk of impairment loss: • examining the items comprising the carrying amount of the CGUs to which the goodwill and brands have been allocated by the Group; • reviewing the consistency of cash flow projections with Management assumptions and the economic environments in which the Group operates; • assessing the consistency of the long-term growth rates adopted for projected cash flows with external analyses; • assessing the reasonableness of discount rates applied to estimated cash flows, with the help of our valuation experts; • comparing cash flow projections of the previous year with corresponding actual cash flows to assess their reliability; • performing sensitivity analyses of the recoverable amount to a reasonable change in the long-term growth rate and discount rates used by Management; • confirming that Notes 11 and 12 to the consolidated financial statements provide appropriate disclosures.

Valuation of inventory impairment

Notes 17 and 33.18 tot the consolidated financial statements

Risk identified	Our response
As of December 31, 2023, inventories appear on the consolidated balance sheet for a net amount of €4,550 million and represent 11% of consolidated assets, including inventory allowances of €1,525 million. As disclosed in Note 33.18 to the consolidated financial statements, the cost of inventories is determined according to the weighted average cost method for all of the Group's businesses. An inventory impairment loss was recorded based on the prospects of inventory clearance, obsolescence and damage. Given the significant amount of inventories in the consolidated balance sheet as of December 31, 2023, and the degree of judgment inherent in certain assumptions underlying the valuation of inventory depreciation, namely related to sales projections or obsolescence, we considered this topic to be a key audit matter.	Our procedures consisted in: • assessing the methods used to value inventory impairment; • examining the data and assumptions adopted by Management to write down inventories with regard to their aging and future clearance; • assessing the consistency of the impairment rates adopted in comparison with other players in the Group's business sectors.

Specific Verifications

We have also performed, in accordance with professional standards applicable in France, the specific verifications required by laws and regulations of the information pertaining to the Group presented in the management report of the Board of Directors.

We have no matters to report as its fair presentation and its consistency with the consolidated financial statements.

We attest that the consolidated non-financial information statement required by article L. 225-102-1 of the French Commercial Code (*Code de commerce*) is included in the information pertaining to the Group presented in the management report. Pursuant to article L. 823-10 of this Code, we have verified neither the fair presentation nor the consistency with the consolidated financial statements of the information contained therein. A report will be issued on this information by an independent third-party.

Other Legal and Regulatory Verifications or Information

Format of presentation of the consolidated financial statements intended to be included in the annual financial report

We have also verified, in accordance with the professional standard applicable in France relating to the procedures performed by the statutory auditor relating to the annual and consolidated financial statements presented in the European single electronic format, that the presentation of the consolidated financial statements intended to be included in the annual financial report mentioned in article L.451-1-2, I of the French Monetary and Financial Code (*Code monétaire et financier*), prepared under the responsibility of the Chairman and Chief Executive Officer, complies with the single electronic format defined in the European Delegated Regulation no. 2019/815 of December 17, 2018. As it relates to consolidated financial statements, our work includes verifying that the tagging of these consolidated financial statements complies with the format defined in the above delegated regulation.

Based on the work we have performed, we conclude that the presentation of the consolidated financial statements intended to be included in the annual financial report complies, in all material respects, with the European single electronic format.

Due to the technical limitations inherent to the block-tagging of the consolidated financial statements according to the European single electronic format, the content of certain tags for the notes may not be rendered identically to the accompanying consolidated financial statements.

We have no responsibility to verify that the consolidated financial statements that will ultimately be included by your company in the annual financial report filed with the AMF are in agreement with those on which we have performed our work.

Appointment of the Statutory Auditors

We were appointed statutory auditors of Kering S.A. by the Shareholders' Meeting of May 18, 1994 for Deloitte & Associés, and of April 28, 2022 for PricewaterhouseCoopers Audit.

As of December 31, 2023, Deloitte & Associés was in its 30th year of uninterrupted engagement and PricewaterhouseCoopers Audit in its 2nd year.

Responsabilities of Management and Those Charged with Governance for the Consolidated Financial Statements

Management is responsible for the preparation and fair presentation of the consolidated financial statements in accordance with International Financial Reporting Standards as adopted by the European Union, and for such internal control as management determines is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless it is expected to liquidate the Company or to cease its operations.

The Audit Committee is responsible for monitoring the financial reporting process and the effectiveness of internal control and risks management systems and, where applicable, its internal audit, regarding the accounting and financial reporting procedures.

The consolidated financial statements were approved by the Board of Directors.

Statutory Auditors' Responsibilities for the Audit of the Consolidated Financial Statements

Objective and audit approach

Our role is to issue a report on the consolidated financial statements. Our objective is to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with professional standards will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.

As specified by article L. 821-55 of the French Commercial Code (*Code de commerce*), our statutory audit does not include assurance on the viability of the Company or the quality of management of the affairs of the Company.

As part of an audit conducted in accordance with professional standards applicable in France, the statutory auditor exercises professional judgment throughout the audit and furthermore:

- Identifies and assesses the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, designs and performs audit procedures responsive to those risks, and obtains audit evidence considered to be sufficient and appropriate to provide a basis for his opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control;
- Obtains an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the internal control;
- Evaluates the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management in the consolidated financial statements;
- Assesses the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. This assessment is based on the audit evidence obtained up to the date of his audit report. However, future events or conditions may cause the Company to cease to continue as a going concern. If the statutory auditor concludes that a material uncertainty exists, there is a requirement to draw attention in the audit report to the related disclosures in the consolidated financial statements or, if such disclosures are not provided or inadequate, to modify the opinion expressed therein;
- Evaluates the overall presentation of the consolidated financial statements and assesses whether these statements represent the underlying transactions and events in a manner that achieves fair presentation;
- Obtains sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated financial statements. The statutory auditor is responsible for the direction, supervision and performance of the audit of the consolidated financial statements and for the opinion expressed on these consolidated financial statements.

Report to the Audit Committee

We submit a report to the Audit Committee which includes in particular a description of the scope of the audit and the audit program implemented, as well as the results of our audit. We also report, if any, significant deficiencies in internal control regarding the accounting and financial reporting procedures that we have identified.

Our report to the Audit Committee includes the risks of material misstatement that, in our professional judgment, were of most significance in the audit of the consolidated financial statements of the current period and which are therefore the key audit matters that we are required to describe in this report.

We also provide the Audit Committee with the declaration referred to in article 6 of Regulation (EU) Number 537/2014, confirming our independence pursuant to the rules applicable in France such as they are set in particular by Articles L. 821-27 to L. 821-34 of the French Commercial Code (*Code de commerce*) and in the French Code of Ethics (*Code de déontologie*) for statutory auditors. Where appropriate, we discuss with the Audit Committee the risks that may reasonably be thought to bear on our independence, and the related safeguards.

Neuilly-sur-Seine and Paris-La Défense, February 29, 2024

The Statutory Auditors

French original signed by

PricewaterhouseCoopers Audit		Deloitte & Associés	
Camille Phelizon	Patrice Morot	David Dupont-Noel	Bénédicte Margerin

3 - KERING SA ANNUAL FINANCIAL STATEMENTS

3.1 Balance sheet – Assets as of December 31, 2023 and 2022

		2023			2022
(in € millions)	**Notes**	**Gross**	**Depreciation, amortization and provisions**	**Carrying amount**	**Carrying amount**
Non-current assets					
Investments		15,533	(1,656)	13,877	9,365
Other long-term investments		1,541	(123)	1,418	1,172
Total investments	**3**	**17,074**	**(1,779)**	**15,295**	**10,537**
Property, plant and equipment and intangible assets	4	669	(245)	424	381
Total non-current assets		**17,743**	**(2,024)**	**15,719**	**10,918**
Current assets					
Receivables[1]	5	518	(1)	517	392
Marketable securities	6	96	0	96	111
Cash[1]	6	2,126	0	2,126	1,365
Total current assets		**2,740**	**(1)**	**2,739**	**1,868**
ASSETS		20,483	(2,025)	18,458	12,786
(1) o/w concerning associates:				2,393	1,556

3.2 Balance sheet – Equity and liabilities as of December 31, 2023 and 2022

(in € millions)	**Notes**	**2023**	**2022**
Equity			
Share capital		494	496
Additional paid-in capital		1,381	1,711
Reserves	7	1,345	1,345
Retained earnings		2,427	2,585
Net income for the year		1,855	1,552
Total equity		**7,502**	**7,689**
Provisions	**8**	**66**	**51**
Liabilities			
Bond issues[1]	9.1	9,852	4,238
Other borrowings[1][2]	9.1	130	40
Other liabilities[2]	10	908	768
Total liabilities		**10,890**	**5,046**
TOTAL EQUITY AND LIABILITIES		18,458	12,786
(1) o/w due in more than one year:		9,351	3,638
(2) o/w concerning associates:		153	64

3.3 Income statement

For the years ended December 31, 2023 and 2022

(in € millions)	Notes	2023	2022
Operating income		653	584
Operating expenses		(718)	(633)
Net operating loss	**12**	**(64)**	**(49)**
Dividends		1,888	1,628
Other financial income and expenses		(110)	(107)
Financial result	**13**	**1,778**	**1,521**
Recurring income before tax		**1,714**	**1,472**
Net non-recurring income (expense)	14	63	41
Employee profit-sharing		(8)	(9)
Income taxes	15	86	48
Net income for the year		**1,855**	**1,552**

In the context of the certification of Kering SA's annual financial statements, a reclassification was made between operating expenses and operating income compared to the version of the Financial Document as published on February 8, 2024, with no impact on the net operating loss or the net income for the year.

3.4 Statement of cash flows

For the years ended December 31, 2023 and 2022

(in € millions)	2023	2022
Dividends received	1,888	1,628
Interest on borrowings	(148)	(51)
Income tax (paid) received	189	25
Other	33	(80)
Net cash flow resulting from operating activities	**1,962**	**1,521**
(Acquisitions) disposals of operating assets	(122)	(116)
Change in long-term investments	(5,041)	(2,713)
Net cash flow resulting from investing activities	**(5,163)**	**(2,829)**
Net change in borrowings	5,674	872
Share capital increases	–	39
Dividends paid by Kering	(1,712)	(1,483)
Net cash flow resulting from financing activities	**3,962**	**(573)**
Change in cash and cash equivalents	**761**	**(1,880)**
Cash and cash equivalents at beginning of year	**1,365**	**3,245**
Cash and cash equivalents at end of year	**2,126**	**1,365**

3.5 Statement of changes in equity

(in € millions) *(before appropriation of net income)*	Number of shares	Share capital	Additional paid-in capital	Reserves and retained earnings	Net income for the year	Equity
As of December 31, 2021	**124,692,916**	**499**	**2,052**	**2,766**	**2,769**	**8,086**
Appropriation of 2021 net income	–	–	–	2,769	(2,769)	–
Dividends paid	–	–	–	(1,047)	–	(1,047)
Interim dividend	–	–	–	(558)	–	(558)
Share capital increase	102,862	–	–	–	–	–
Share capital reduction	(725,000)	(3)	–	–	–	(3)
Employee share ownership	–	–	38	–	–	38
Cancellation of shares	–	–	(379)	–	–	(379)
Changes in tax-driven provisions	–	–	–	–	–	–
2022 net income	–	–	–	–	1,552	1,552
As of December 31, 2022	**124,070,778**	**496**	**1,711**	**3,930**	**1,552**	**7,689**
Appropriation of 2022 net income	–	–	–	1,552	(1,552)	–
Dividends paid	–	–	–	(1,154)	–	(1,154)
Interim dividend	–	–	–	(555)	–	(555)
Share capital increase	–	–	–	–	–	–
Share capital reduction	(650,000)	(2)	(330)	–	–	(332)
Employee share ownership	–	–	–	–	–	–
Cancellation of shares	–	–	–	–	–	–
Changes in tax-driven provisions	–	–	–	–	–	–
2023 net income	–	–	–	–	1,855	1,855
As of December 31, 2023	**123,420,778**	**494**	**1,381**	**3,772**	**1,855**	**7,502**

As of December 31, 2023, Kering's share capital comprised 123,420,778 shares with a par value of €4.00 each.

3.6 Notes to the annual financial statements

NOTE 1 – 2023 HIGHLIGHTS

Beginning of the second half of 2023, Kering announced a series of top appointments aimed at strengthening the stewardship of its Houses, further elevating operating expertise and strengthening its organisation.

- Francesca Bellettini, in addition to her current role as President and CEO of Yves Saint Laurent since 2013, was appointed Kering Deputy CEO in charge of Brand Development.
- Jean-Marc Duplaix, Chief Financial Officer since 2012, was appointed Kering Deputy CEO, in charge of Operations and Finance.
- Jean-François Palus, Kering Group Managing Director, was appointed President and CEO of Gucci, replacing Marco Bizzarri, who has been President and CEO of Gucci since 2015. He left the Company on September 23, 2023.
- Armelle Poulou, Director of Corporate Finance, Treasury and Insurance since 2019, was appointed Chief Financial Officer on September 1, 2023. She is reporting to Jean-Marc Duplaix.

In February 2023, Kering carried out a dual-tranche bond issue for a total amount of EUR 1.5 billion, consisting of a EUR 750 million tranche with a 6-year maturity and a 3.25% coupon and a EUR 750 million tranche with a 10-year maturity and a 3.375% coupon.

On May 13, 2023, Kering redeemed €600 million of maturing bonds.

On September 5, 2023, Kering issued €3.8 billion of bonds in four tranches: a €750 million tranche of 2-year bonds with a coupon of 3.75%, a €750 million tranche of 4-year bonds with a coupon of 3.625%, a €1 billion tranche of 8-year bonds with a coupon of 3.625% and a €1.3 billion tranche of 12-year bonds with a coupon of 3.875%.

On November 23, 2023, Kering carried out its first sterling bond issue in a total amount of £800 million, comprising a £400 million tranche of 3-year bonds with a coupon of 5.125% and a £400 million tranche of 9-year bonds with a coupon of 5%.

In 2023, Kering canceled 650,000 shares repurchased as part of the fourth tranche of the share buyback program announced on August 25, 2021, and accordingly reduced its share capital on October 31, 2023.

NOTE 2 – ACCOUNTING POLICIES AND METHODS

The annual financial statements are prepared in accordance with regulation no. 2014-03 of the French accounting standards authority (*Autorité des normes comptables* – ANC).

2.1 Intangible assets and property, plant and equipment

Property, plant and equipment and intangible assets are recorded in the balance sheet at their acquisition cost, which includes all expenses that can be directly attributed to them and that are necessary for them to operate or be brought into service. Depreciation and amortization are calculated using the straight-line method based on the nature and useful life of each component.

Property, plant and equipment are depreciated and intangible assets are amortized using the straight-line method and the following useful lives:

Software	1 to 5 years
Internally generated software	3 to 10 years
Improvements to property	10 to 24 years
Technical installations, tools and equipment	10 to 15 years
Computer equipment	1 to 10 years
Office furniture	10 years

2.2 Long-term investments

Investments

Securities classified as "Investments" are those considered necessary for the Company's activities, particularly because they provide the Company with influence over, or control of, the issuer.

The Company recognizes acquisition expenses in the cost price of investments, in accordance with the standard method under French generally accepted accounting principles.

As of the end of the reporting period, the gross value of investments is compared to their recoverable value for the Company, determined with reference to the subsidiary's estimated economic value and taking into consideration the purpose of the original transaction. Recoverable value is determined using a multi-criteria approach based on future cash flow projections, the revised asset value, the share of consolidated or revalued shareholders' equity, and other methods.

An impairment loss is recorded when this value falls below the gross value.

Other long-term investments

Other long-term investments include other investments and certain treasury shares.

Other investments (excluding treasury shares)

Other investments are investments that the Company plans or is required to hold on a long-term basis, but which are not deemed necessary for the Company's activities.

The gross amount of these investments is equal to the acquisition cost plus any related acquisition fees.

An impairment loss is recognized based on the value in use of these securities to the Company.

Treasury shares

Treasury shares acquired under liquidity agreements are recorded under "Other long-term investments". These shares are written down where necessary to reflect the average share price over the last month of the fiscal year.

Treasury shares acquired for the express purpose of being used in a future capital reduction are also classified under "Other long-term investments". These shares are not written down to reflect the share price.

Treasury shares are measured according to the first-in, first-out (FIFO) method.

2.3 Receivables

Receivables are recorded in the balance sheet at their nominal value and are written down where they present a risk of non-recovery.

2.4 Marketable securities and negotiable debt securities

Treasury shares

Treasury shares acquired for the express purpose of being subsequently granted to employees under stock option plans and free share plans are recorded under "Marketable securities". No impairment is recognized on treasury shares to reflect the share price.

Treasury shares are measured according to the first-in, first-out (FIFO) method.

Other shares

Shares are recorded at their acquisition cost. An impairment loss is recognized when their closing price falls below their carrying amount.

Bonds

Bonds are recorded on the acquisition date at their par value adjusted for any premium or discount. Accrued interest as of the acquisition date and as of the end of the reporting period is recorded in an accrued interest account.

As of the end of the reporting period, the cost of the bonds is compared to the market value of the principal over the last month of the year, excluding accrued interest. An impairment loss is recorded when this value falls below the gross value.

Mutual funds (SICAV)

Units in SICAV mutual funds are recorded at their acquisition cost excluding subscription fees, and their net asset value is estimated as of the end of the reporting period. A provision for impairment is recorded in respect of any unrealized capital losses. No unrealized capital gains are recognized.

Negotiable certificates of deposit, certificates of deposit and notes issued by financing companies

Negotiable debt securities are subscribed on the primary market or purchased on the secondary market. They are recorded at acquisition cost less accrued interest as of the acquisition date when purchased on the secondary market.

Prepaid interest is recognized as financial income on a proportional basis for the fiscal year.

2.5 Foreign currency transactions

Income and expenses denominated in foreign currencies are recorded at their euro-equivalent value on the transaction date. Borrowings, receivables and liquidity positions denominated in foreign currencies are translated at the closing exchange rate. In the case of foreign currency hedging, borrowings and receivables are translated at the hedging rate.

Any translation differences resulting from the valuation of foreign currency borrowings and receivables are recorded in accrual accounts, as an asset for unrealized losses and as a liability for unrealized gains. A contingency provision is recorded to cover any unhedged unrealized losses. Where borrowings and receivables are hedged by financial instruments, any foreign currency gains or losses are recorded in the income statement when the hedged item is settled.

2.6 Bond issue and capital increase fees – Bond redemption premiums

Bond issue fees are recognized as of the issue date.

Costs associated with increases in capital, mergers or restructuring are charged against the additional paid-in capital arising from the merger or restructuring.

Bonds are recorded at their par value.

Any issue or redemption premiums are assigned to the relevant balance sheet item and amortized over the term of the bond.

For convertible bonds, the redemption premium is recognized over the term of the bond.

2.7 Provisions

Provisions are recognized in accordance with CNC regulation no. 2000.06 and include pension and other employee benefit obligations pursuant to ANC recommendation no. 2013-02.

Under defined benefit plans, obligations are valued using the projected unit credit method based on agreements in effect in the Company. Under this method, each period of service gives rise to an additional unit of benefit entitlement and each unit is measured separately to build up the final obligation. The obligation is then discounted. The actuarial assumptions used to determine the obligations vary depending on economic conditions.

These benefit obligations are assessed by independent actuaries on an annual basis. The valuations take into account the level of future compensation, the probable active life of employees, life expectancy and staff turnover.

Kering applies CRC notice no. 2008-17 of November 6, 2008, on the accounting treatment of stock option and employee free share plans.

2.8 Tax consolidation

Kering has set up a tax consolidation group in France with several sub-groups and subsidiaries.

Each subsidiary recognizes a tax expense for the amount of tax it would have paid on a stand-alone basis. The tax savings generated by the Group as a result of tax consolidation are retained by Kering SA as the parent company of the tax consolidation group.

NOTE 3 – LONG-TERM INVESTMENTS

(in € millions)	As of Dec. 31, 2022	Increase	Decrease	Reclassification	As of Dec. 31, 2023
Gross value					
Investments	**11,024**	**4,551**	**(43)**	**–**	**15,533**
Kering Holland NV	8,404	4,494	–	–	12,898
Marothi merger loss[1]	344	–	–	–	344
Redcats	1,777	–	–	–	1,777
Discodis	300	–	–	–	300
Yves Saint Laurent SAS	157	–	–	–	157
Other	43	57	(43)	–	57
Other long-term investments	**1,265**	**1,126**	**(853)**	**4**	**1,541**
Treasury shares (liquidity agreement)	–	200	(197)	–	3
Treasury shares (for cancellation)	333	–	(333)	–	–
Treasury shares (share buyback program)	605	–	(234)	4	374
PUMA	90	–	(71)	–	19
Sapardis merger loss[2]	11	–	(10)	–	1
Investments in funds	14	–	–	–	14
Loans and accrued interest on loans[3]	188	926	(8)	–	1,106
Deposits and guarantees	1	–	–	–	1
Other	23	–	–	–	23
Gross value	**12,289**	**5,677**	**(896)**	**4**	**17,074**
Impairment losses					
Investments	**(1,659)**	**–**	**4**	**–**	**(1,656)**
Redcats	(1,652)	–	4	–	(1,649)
Other	(7)	–	–	–	(7)
Other long-term investments	**(93)**	**(67)**	**37**	**–**	**(123)**
Treasury shares	(70)	(67)	37	–	(100)
Investments in funds	–	–	–	–	–
Other	(23)	–	–	–	(23)
Impairment losses	**(1,752)**	**(67)**	**41**	**–**	**(1,779)**
Carrying amount	**10,537**				**15,295**

(1) The Financière Marothi merger loss was allocated to the KHNV shares. Changes in the underlying assets as of December 31, 2023, did not give rise to recognition of an impairment.

(2) All of the assets and liabilities of Sapardis were transferred to Kering SA in 2018, resulting in a merger loss of €59.7 million, which was allocated to the investment in PUMA. Following the sales of PUMA shares in 2020, 2021, 2022 and 2023, the amount stands at €1.5 million.

(3) In 2023, loans included a USD 200 million loan and two loans of £400 million to Kering Finance.

Treasury share transactions

In 2023, the Group purchased 404,970 shares and sold 398,220 shares under the liquidity agreement.

No stock subscription options were exercised during 2023.

Since May 26, 2004, Kering has maintained agreements with a broker in order to improve the liquidity of the Group's shares and ensure share price stability. The latest agreement was signed on February 13, 2019, in accordance with AMF ruling no. 2018-01 of July 2, 2018, applicable since January 1, 2019. An amendment to that agreement came into force on July 1, 2021, providing for the resources in the liquidity account to be reduced by €25 million. As a result, there has been €25 million in the liquidity account since July 1, 2021.

As of December 31, 2023, Kering held 6,750 shares and as of December 31, 2022 it held no shares in treasury under the liquidity agreement.

Share Buyback Program

The Share Buyback Program was completed on December 15, 2022. Between August 25, 2021, and December 15, 2022, the Company repurchased 2.6 million shares. Of those, 1,700,000 shares have already been canceled.

The total purchase price of the canceled shares was €332,614,575.12, which was allocated to the following accounts:

- €2,600,000 to "share capital";
- €330,014,575.12, corresponding to the remaining surplus over par value paid for the canceled shares, to "additional paid-in capital".

NOTE 4 – PROPERTY, PLANT AND EQUIPMENT AND INTANGIBLE ASSETS

Movements in property, plant and equipment and intangible assets are presented below:

(in € millions)	Gross	Depreciation and impairment	Dec. 31, 2023 Net	Dec. 31, 2022 Net
Intangible assets	620	(222)	398	352
Property, plant and equipment	49	(23)	26	29

Changes in non-current assets

(in € millions)	Carrying amount as of January 1	Acquisitions	Disposals/ retirements	Depreciation and amortization	Reversals of depreciation and amortization	Carrying amount as of December 31
Intangible assets[(1)]	352	121	–	(75)	–	398
Property, plant and equipment	29	1	–	(4)	–	26
TOTAL	381	122	–	(79)	–	424

(1) Acquisitions in the period mainly concern IT projects for the Group.

NOTE 5 – RECEIVABLES

These line items break down as follows:

(in € millions)	Dec. 31, 2023	Dec. 31, 2022
Tax consolidation current accounts	19	37
Income tax benefit	147	67
Group customers	226	138
Bond issue premiums	34	6
Other[1]	65	135
Prepaid expenses[2]	25	9
TOTAL	516	392
o/w concerning associates:	267	196

(1) The change in 2023 was mainly due to the reimbursement of guarantee deposits relating to real-estate purchases.
(2) Prepaid expenses mainly comprise fees, lease payments and insurance premiums.

NOTE 6 – MARKETABLE SECURITIES AND CASH

These line items break down as follows:

(in € millions)	Dec. 31, 2023	Dec. 31, 2022
Treasury shares pending employee grants	–	–
Treasury shares granted	73	86
Mutual funds (Sicav)	23	25
Marketable securities	**96**	**111**
Bank deposits and fund transfers	–	4
Cash current accounts	2,126	1,360
Cash	**2,126**	**1,365**
CASH AND CASH EQUIVALENTS	2,222	1,475
o/w concerning associates:	2,126	1,360

Bank deposits include certificates of deposit and term deposits and accounts with a maturity of less than three months.

NOTE 7 – RESERVES

The Company's reserves before the appropriation of net income break down as follows:

(in € millions)	Dec. 31, 2023	Dec. 31, 2022
Legal reserve	51	51
Tax-driven reserves	1,294	1,294
Other reserves	–	–
Reserves	**1,345**	**1,345**
Tax-driven provisions	–	–
TOTAL	1,345	1,345

NOTE 8 – PROVISIONS

(in € millions)	Dec. 31, 2022	Additions	(utilized provisions)	(surplus provisions)	Dec. 31, 2023
Disputes	1	–	–	(1)	–
Risks relating to subsidiaries	–	14	–	–	14
Pensions and other employee benefit obligations	11	1	(1)	–	11
Share plans	39	20	(10)	(10)	39
Foreign exchange risk	–	2	–	–	2
TOTAL	51	37	(11)	(11)	66
o/w:		–	–	–	
operating items		1	(1)	(1)	
financing items		1	–	–	
non-recurring items		35	(10)	(10)	

The main actuarial assumptions used to determine pensions and other employee benefit obligations are:
- discount rate of 4.5% in 2023 as opposed to 4% in 2022;
- salary increase rate of 2.50%.

8.1 Free share grants

(in €)	
Date of the Annual General Meeting	4/27/2023
Date of grant by the Board of Directors	10/3/2023
Provisional grants as of January 1, 2023	90,738
Provisional grants during the period	55,305
Grants forfeited in 2023	(21,297)
Final grants in 2023	(16,928)
Provisional grants as of Dec. 31, 2023	**107,818**
Amount of the liability on the balance sheet	**39,610,923**

The unit value of the 2023 provisional free share grants is €450.81.

NOTE 9 – BORROWINGS

Bonds

Euro-denominated bond issues

(in € millions)	Interest	Issue date	Hedge	Maturity	Dec. 31, 2023	Dec. 31, 2022
Bond issue[1]	2.75% fixed	4/8/2014 & 5/30/2014 & 6/26/2014 & 9/22/2015 & 11/5/2015	–	4/8/2024	500	500
Bond issue[2]	1.60% fixed	4/16/2015	–	4/16/2035	50	50
Bond issue[3]	1.25% fixed	5/10/2016	–	5/10/2026	500	500
Bond issue[4]	1.50% fixed	4/5/2017	–	4/5/2027	300	300
Bond issue[5]	0.25% fixed	5/13/2020	–	5/13/2023	–	600
Bond issue[6]	0.75% fixed	5/13/2020	–	5/13/2028	600	600
Bond issue[7]	1.25% fixed	5/5/2022	–	5/5/2025	750	750
Bond issue[8]	1.875% fixed	5/5/2022	–	5/5/2030	750	750
Bond issue[9]	3.25% fixed	2/27/2023	–	2/27/2029	750	–
Bond issue[10]	3.375% fixed	2/27/2023	–	2/27/2033	750	–
Bond issue[11]	3.75% fixed	9/5/2023	–	9/5/2025	750	–
Bond issue[12]	3.625% fixed	9/5/2023	–	9/5/2027	750	–
Bond issue[13]	3.625% fixed	9/5/2023	–	9/5/2031	1,000	–
Bond issue[14]	3.875% fixed	9/5/2023	–	9/5/2035	1,300	–

(1) Issue price: bond issue on April 8, 2014, comprising 1,000 bonds with a par value of €100,000 each under the EMTN program, with 1,000 additional bonds issued on May 30, 2014, 1,000 additional bonds issued on June 26, 2014, 1,500 additional bonds issued on September 22, 2015, and 500 additional bonds issued on November 5, 2015, thereby raising the issue to 5,000 bonds.
Redemption: in full on April 8, 2024.

(2) Issue price: bond issue on April 16, 2015, comprising 500 bonds with a par value of €100,000 each under the EMTN program.
Redemption: in full on April 16, 2035.

(3) Issue price: bond issue on May 10, 2016, comprising 5,000 bonds with a par value of €100,000 each under the EMTN program.
Redemption: in full on May 10, 2026.

(4) Issue price: bond issue on April 5, 2017, comprising 3,000 bonds with a par value of €100,000 each under the EMTN program.
Redemption: in full on April 5, 2027.

(5) Issue price: bond issue on May 13, 2020, comprising 6,000 bonds with a par value of €100,000 each under the EMTN program.
Redemption: in full on May 13, 2023.

(6) Issue price: bond issue on May 13, 2020, comprising 6,000 bonds with a par value of €100,000 each under the EMTN program.
Redemption: in full on May 13, 2028.

(7) Issue price: bond issue on May 5, 2022, comprising 7,500 bonds with a par value of €100,000 each under the EMTN program.
Redemption: in full on May 5, 2025.

(8) Issue price: bond issue on May 5, 2022, comprising 7,500 bonds with a par value of €100,000 each under the EMTN program.
Redemption: in full on May 5, 2030.

(9) Issue price: bond issue on February 27, 2023, comprising 7,500 bonds with a par value of €100,000 each under the EMTN program.
Redemption: in full on February 27, 2029.

(10) Issue price: bond issue on February 27, 2023, comprising 7,500 bonds with a par value of €100,000 each under the EMTN program.
Redemption: in full on February 27, 2033.

(11) Issue price: bond issue on September 5, 2023, comprising 7,500 bonds with a par value of €100,000 each under the EMTN program.
Redemption: in full on September 5, 2025.

(12) Issue price: bond issue on September 5, 2023, comprising 7,500 bonds with a par value of €100,000 each under the EMTN program.
Redemption: in full on September 5, 2027.

(13) Issue price: bond issue on September 5, 2023, comprising 10,000 bonds with a par value of €100,000 each under the EMTN program.
Redemption: in full on September 5, 2031.

(14) Issue price: bond issue on September 5, 2023, comprising 13,000 bonds with a par value of €100,000 each under the EMTN program.
Redemption: in full on September 5, 2035.

USD-denominated bond issues

(in € millions)	Interest rate	Issue date	Hedge	Maturity	Dec. 31, 2023	Dec. 31, 2022
Bond issue[1]	3.639% fixed	5/27/2022	-	5/27/2027	181	188

(1) Issue price: bond issue on May 27, 2022, comprising 200 bonds with a par value of USD 1,000,000 each under the EMTN program, i.e. representing a total of USD 200 million.
Redemption: in full on May 27, 2027.

GBP-denominated bond issues

(in € millions)	Interest rate	Issue date	Hedge	Maturity	Dec. 31, 2023	Dec. 31, 2022
Bond issue[1]	5.125% fixed	11/23/2023	-	11/23/2026	460	0
Bond issue[2]	5% fixed	11/23/2023	-	11/23/2032	460	0

(1) Issue price: bond issue on November 23, 2023, comprising 4,000 bonds with a par value of £100,000 each under the EMTN program, i.e. a total of £400 million.
Redemption: in full on November 23, 2026.
(2) Issue price: bond issue on November 23, 2023, comprising 4,000 bonds with a par value of £100,000 each under the EMTN program, i.e. a total of £400 million.
Redemption: in full on November 23, 2032.

The bonds issued between 2014 and 2017 within the scope of the EMTN program are all subject to a change-of-control clause entitling bondholders to request early redemption at par if Kering's rating is downgraded to non-investment grade following a change of control.

9.1 Breakdown by type

(in € millions)	Dec. 31, 2023	Dec. 31, 2022
Bonds	**9,852**	**4,238**
Interest on bond issues	130	38
Bank overdrafts	0	2
Other borrowings	**130**	**40**
TOTAL	9,982	4,278
o/w concerning associates:	0	0

As of December 31, 2023 and 2022, no borrowings were secured by collateral.

9.2 Breakdown by maturity

(in € millions)	Dec. 31, 2023	Dec. 31, 2022
Less than one year	631	640
One to five years	4,291	2,238
More than five years	5,060	1,400
TOTAL	9,982	4,278

9.3 Net debt

(in € millions)	Dec. 31, 2023	Dec. 31, 2022
Borrowings	9,982	4,276
Cash	(2,126)	(1,365)
NET DEBT	7,856	2,911

NOTE 10 – OTHER LIABILITIES

These line items break down as follows:

(in € millions)	Dec. 31, 2023	Dec. 31, 2022
Tax consolidation current accounts	175	10
Dividends payable	556	558
Tax and employee-related liabilities	60	68
Other[1]	117	132
TOTAL	908	768
o/w concerning associates:	153	64

(1) "Other" primarily includes liabilities to the Group, in an amount of €54.7 million.

NOTE 11 – OFF-BALANCE SHEET COMMITMENTS

11.1 Interest-rate hedges

As part of the Group's policy of hedging interest rate risk, Kering sets up interest rate swaps in connection with certain borrowings.

No interest rate hedges were in place as of December 31, 2023.

11.2 Other off-balance sheet commitments

(in € millions)	Dec. 31, 2023	Dec. 31, 2022
Endorsements and guarantees in favor of:		
• associates	355	1
• third parties outside the Group[1]	338	181
Endorsements and guarantees	**693**	**182**

(1) Of which €226 million of lease-related commitments in 2023.

11.3 Other commitments made to Kering

As of December 31, 2023, Kering SA had €3,185 million of unused confirmed lines of credit with a remaining time to expiry of more than one year.

NOTE 12 – NET OPERATING LOSS

Net operating loss breaks down as follows:

(in € millions)	2023	2022
Group management fees	200	212
Revenue from investments	10	7
Other income[1]	444	365
Rent and related charges	(40)	(33)
Payroll expenses and taxes	(136)	(116)
Management fees	(67)	(65)
Other external expenses[2]	(469)	(413)
Income tax and other levies	(6)	(6)
TOTAL	(64)	(49)
o/w Directors' fees:	(1)	(1)

(1) Other income mainly relates to IT services.
(2) Other external expenses mainly relate to IT services.

NOTE 13 – FINANCIAL RESULT

Net financial income breaks down as follows:

(in € millions)	2023	2022
Net interest expense	**(110)**	**(107)**
Expenses and interest on non-Group debt	(152)	(43)
Other financial income and expense	42	(64)
Dividends	**1,888**	**1,628**
Kering Holland NV	1,870	1,600
Kering Finance	0	15
YSL Couture	15	9
Other	3	4
TOTAL	1,778	1,521
o/w concerning associates:		
Dividends	1,885	1,624

NOTE 14 – NET NON-RECURRING INCOME (EXPENSE)

Net non-recurring income (expense) breaks down as follows:

(in € millions)	2023	2022
Net proceeds from disposals/retirements of operating assets	0	(30)
Net proceeds from disposals of securities, impairment losses and related transactions	55	72
Cost of disputes, litigation and restructuring	(1)	0
Other non-recurring income (expense)	9	(1)
TOTAL	63	41

In 2023, net non-recurring income mainly reflects the gain on the sale of PUMA's shares.

NOTE 15 – INCOME TAX BREAKDOWN

(in € millions)	2023	2022
Tax on recurring income and employee profit-sharing	38	33
Tax on non-recurring income	41	13
	79	46
Tax with respect to previous years	(10)	(2)
Tax consolidation impact	17	4
TOTAL	86	48

Under a tax consolidation agreement that came into effect on January 1, 1988, Kering pays the tax due by members of the tax consolidation group and fulfills all relevant tax obligations.

The tax consolidation group comprised 36 companies in 2023 and 33 in 2022.

NOTE 16 – DEFERRED TAX ASSETS AND LIABILITIES

(in € millions)	
Deferred tax assets	
Paid leave	0.2
Retirement termination benefits	0.3
TOTAL	0.5

NOTE 17 – OTHER INFORMATION

17.1 Average headcount

The Company had an average of 745 employees (630 managerial-grade employees (*cadres*) and 115 other employees) in 2023 compared to 618 in 2022.

17.2 Fees paid to Statutory Auditors

Statutory Auditors' fees recorded in the income statement are shown below:

	Deloitte & Associés		PwC	
(in € thousands)	**2023**	**2022**	**2023**	**2022**
Statutory audit of the parent company and consolidated financial statements	866	817	666	612
Non-audit services[1]	407	217	32	41
TOTAL	1,273	1,034	698	653

(1) The non-audit services rendered by PwC to Kering SA and its fully-consolidated subsidiaries are mainly related to comfort letters. The non-audit services rendered by Deloitte & Associés to Kering SA and its fully-consolidated subsidiaries are mainly related to comfort letters and the verification of the non-financial information statement.

17.3 Remuneration of the Board of Directors and the Executive Committee

In 2023, total compensation of €20.1 million was awarded (paid or provisioned) to the members of the Board of Directors and the Executive Committee who are employees of Kering SA, versus €10.4 million in 2022.

This change is mainly due to the cancellation in 2022 of long-term incentives (KMU) for executive corporate officers, amounting to €8 million.

17.4 Consolidating company

Kering prepares the consolidated financial statements and is controlled by Artemis, which holds 42.23% of its capital and 59.28% of its voting rights. Artémis is wholly owned by Financière Pinault.

17.5 Transactions with related parties

The support agreement between Artémis and Kering signed on September 27, 1993, generated an expense of €6.7 million in 2023 compared with an expense of €7.2 million in 2022.

A six-month service agreement was signed with Maureen Chiquet on July 28, 2023 for €200,000.

Other transactions with related parties were contracted at arm's length conditions. As a result, no additional disclosures are required pursuant to article R.183-198 11 of the French Commercial Code.

NOTE 18 – SUBSEQUENT EVENTS

Kering SA paid an interim dividend of €4.50 per share on January 17, 2024, on positions established on the evening of January 16, 2024, pursuant to a decision by the Board of Directors on December 7, 2023.

3.7 Other information

Subsidiaries and investments as of December 31, 2023

(in € thousands)		Share capital	Shareholder's equity excl. Share capital and net income	% of capital held	Carrying amount of shares *(in euros)* Gross	Carrying amount of shares *(in euros)* Net	Outstanding loans granted by the Company	Endorsements and guarantees given by the Company	Last published revenue excl. VAT	Last published net income (loss)	Dividends received by the Company during the year
I - Detailed information											
A – Subsidiaries (more than 50%-owned and representing over 1% of the share capital)											
Discodis	France	153,567	152,578	100.00	299,736	299,736				7,579	
Kering Holland NV	Netherlands	108,246 (1)	3,144,154 (1)	100.00	13,241,719 (3)	13,241,719				1,871,116 (1)	1,600,000
Kering Interna-tional(2)	United Kingdom	14,094 (1)	3,015 (1)	100.00	14,773	14,773			3,475 (1)	301 (1)	
Kering Studio	France	380	(62)	100.00	6,510	306				(12)	
Immo France 1	France	8,999	0	100.00	8,999	8,999				(3,768)	
Redcats	France	401	123,181	100.00	1,776,645	127,450				3,868	
Kering Capital	France	20,710	40,634	100.00	20,475	20,475				6,663	
Subtotal					**15,368,857**	**13,713,458**					
B – Investments (less than 50%-owned and representing over 1% of the share capital)											
Climate fund for nature	France	9,980 (1)	(4)	49.95 (5)	4,985	4,985					
Yves Saint Laurent	France	123,811	90,209	2.86	157,232	157,232			2,032,785 (1)	591,504 (1)	15,279
Subtotal					**162,217**	**162,217**					
II – Aggregate information											
A – Subsidiaries not listed in I											
French subsidiaries					864	342					
Non-French subsidiaries											
B – Investments not listed in I											
French investments											
Non-French investments											
TOTAL					15,531,938	13,876,018					

(1) Based on accounts as of December 31, 2022.
(2) Based on the GBP exchange rate as of December 31, 2022.
(3) Including the Financière Marothi merger loss of €344,066 thousand.
(4) Data not available.
(5) This % is applicable as of 12/31/2023 on the basis of funds called to date.

Payment terms for trade payables and trade receivables

Invoices received or issued and due but not settled at the end of the reporting period (table provided for in article D. 441-4(I) of the French Commercial Code).

	Article D. 441(I)(1): invoices received and due but not settled at the end of the reporting period						Article D. 441(I)(2): Invoices issued and due but not settled at the end of the reporting period					
	0 days (indicative)	1 to 30 days	31 to 60 days	61 to 90 days	91 days and above	Total (1 or more days)	0 days (indicative)	1 to 30 days	31 to 60 days	61 to 90 days	91 days and above	Total (1 or more days)
(A) Days late												
Number of invoices	344					243	390					360
Total amount of invoices (excl. VAT)	43,989,180	1,238,051	543	374,325	1,229,077	2,841,996	166,391,126	385,250	2,273,655	30,733,595	13,452,582	46,845,082
As a % of total purchases for the reporting period (excl. VAT)	8.51%	0.24%	–	0.07%	0.24%	0.55%						
As a % of revenue for the reporting period (excl. VAT)							26.00%	–	0.36%	4.89%	2.14%	7.45%
(B) Invoices excluded from (A) – relating to contested or unrecognized payables or receivables												
Number of invoices excluded	N/A						N/A					
Total amount of invoices excluded (excl. VAT)	N/A						N/A					
(C) Reference payment terms used (contractual or legal – Article L. 441-6 or Article L. 443-1 of the French Commercial Code)												
Reference payment terms used to calculate late payments	Legal terms: 30 to 60 days						Contractual terms: 30 days from date of invoice					

Legal terms:

The payment term of sums due is set at 30 days following the date on which the goods are received, or on which the service is carried out.

Parties may make exceptions to this principle. However, the term agreed by the parties may not exceed 60 days or, as an exception, 45 days from the end of the month, as of the date of issue of the invoice.

The agreed payment term must be specified on the invoice and in the general terms and conditions of sale.

Invoices issued periodically (or summary invoices) must be paid within a maximum of 45 days from the date of issue.

Purchases of VAT-exempt goods and services delivered outside the European Union may be settled up to 90 days from the invoice date. The term must be indicated in the sales contract.

3.8 Five-year financial summary

	2023		2022	2021	2020	2019
Share capital at year-end						
Share capital *(in €)*	493,683,112		496,283,112	498,771,664	500,071,664	505,117,288
Number of ordinary shares outstanding	123,420,778		124,070,778	124,692,916	125,017,916	126,279,322
Maximum number of potential shares to be issued	0		0	0	0	0
by conversion of bonds	0		0	0	0	0
by exercise of stock subscription options	0		0	0	0	0
Operations and results for the year *(in € thousands)*						
Income from operating activities	227,789		248,861	193,582	191,417	249,910
Net income before tax, employee profit-sharing, depreciation, amortization and provisions	1,902,496		1,661,129	2,522,667	2,035,513	668,442
Income tax (expense) benefit	86,441		48,000	231,694	83,711	168,205
Employee profit-sharing for the year	7,617		8,589	7,098	1,292	6,900
Net income after tax, employee profit-sharing, depreciation, amortization and provisions	1,855,171		1,552,045	2,769,080	2,079,582	917,677
Dividend distribution	1,727,891	(1)	1,736,991	1,371,622	1,000,143	1,010,235
Per share data *(in €)*						
Net income after tax, employee profit-sharing, but before depreciation, amortization and provisions	15.41		13.39	20.23	16.28	6.57
Net income after tax, employee profit-sharing, depreciation, amortization and provisions	15.03		12.51	22.21	16.63	7.27
Dividend:						
Net dividend per share[2]	14.00	(1)	14.00	12.00	8.00	8.00
Employee data						
Average number of employees during the year	745		618	536	493	438
Total annual payroll *(in € thousands)*	67,017		56,877	60,030	76,731	80,267
Total employee benefits paid during the year (social security, employee benefits, etc.) *(in € thousands)*	40,235		41,742	36,828	38,490	33,144

(1) Subject to approval by the Annual General Meeting.
Including an interim dividend of €4.50 per share paid on January 17, 2024.

(2) Pursuant to article 243 bis of the French Tax Code (*Code général des impôts*), the full amount of the dividend paid to individuals who are tax residents in France qualifies for the 40% tax credit provided under article 158-3(2) of said Code.

4 - STATUTORY AUDITORS' REPORT ON THE FINANCIAL STATEMENTS

For the year ended December 31, 2023

This is a translation into English of the Statutory auditors' report on the financial statements of the Company issued in French and it is provided solely for the convenience of English speaking users.

This Statutory auditors' report includes information required by French law, such as information about the appointment of the Statutory auditors or verification of the Management Report and other documents provided to shareholders.

This report should be read in conjunction with, and construed in accordance with, French law and professional auditing standards applicable in France.

To the Kering S.A. General Shareholders' Meeting,

Opinion

In compliance with the engagement entrusted to us by the Shareholders' Meeting, we have audited the accompanying financial statements of Kering SA for the year ended December 31, 2023.

In our opinion, the financial statements give a true and fair view of the assets and liabilities and of the financial position of the Company as at December 31, 2023 and of the results of its operations for the year then ended in accordance with French accounting principles.

The audit opinion expressed above is consistent with our report to the Audit Committee.

Basis for Opinion

Audit Framework

We conducted our audit in accordance with professional standards applicable in France. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Our responsibilities under those standards are further described in the "Statutory Auditors' Responsibilities for the Audit of the Financial Statements" section of our report.

Independence

We conducted our audit engagement in compliance with independence requirements of the French Commercial Code (*Code de commerce*) and the French Code of Ethics (*Code de déontologie)* for statutory auditors, for the period from January 1, 2023 to the date of our report and specifically we did not provide any prohibited non-audit services referred to in article 5, paragraph 1, of Regulation (EU) No 537/2014.

Justification of Assessments – Key Audit Matters

In accordance with the requirements of Articles L.821-53 and R.821-180 of the French Commercial Code (*Code de commerce*) relating to the justification of our assessments, we inform you of the key audit matters relating to risks of material misstatement that, in our professional judgment, were of most significance in our audit of the financial statements of the current period, as well as how we addressed those risks.

These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on specific items of the financial statements.

Valuation of long-term investments

Notes 2.2 and 3 to the financial statements

Risk Identified	Our response
Long-term investments, appearing on the balance sheet as of December 31, 2023 for a gross amount of €15,533 million and a net amount of €13,877 milion represent the most significant balance sheet item. They are recognized at their date of entry at acquisition cost, including acquisition expenses. As indicated in Note 2.2 to the financial statements, at year-end, the gross amount of investments is compared to their value in use for the Company, determined with reference to the subsidiary's estimated economic value and taking into consideration the purpose of the original transaction. Value in use is determined using a multi-criteria approach based on future cash flow projections and the share of consolidated or revalued shareholders' equity. Other methods are used when necessary. An impairment loss is recorded when this value falls below the gross value. Given the materiality of long-term investments on the balance sheet, and the estimates and assumptions used to determine value in use, we considered the valuation of long-term investments to be a key audit matter.	To assess the reasonableness of the estimated values in use of long-term investments, based on the information communicated to us, our work mainly consisted in: • verifying that the estimated values in use determined by Management are based on an appropriate justification of the valuation method and the figures used; • ensuring that the net carrying amounts of the investments are below their value in use, taking into account the share of consolidated or revalued shareholders' equity, cash flows projections, latest available forecasted information, and the profitability outlook.

Specific Verifications

We have also performed, in accordance with professional standards applicable in France, the specific verifications required by laws and regulations.

Information presented in the Management Report and in the other documents with respect to the financial position and the financial statements provided to shareholders

We have no matters to report as to the fair presentation and the consistency with the financial statements of the information given in the management report of the Board of Directors and in the other documents with respect to the financial position and the financial statements provided to shareholders.

We attest the fair presentation and the consistency with the financial statements of the information relating to payment deadlines mentioned in article D. 441-6 of the French Commercial Code (*Code de commerce*).

Information relating to corporate governance

We attest that the section of the management report devoted to corporate governance sets out the information required by Articles L. 225-37-4, L. 22-10-10 and L. 22-10-9 of the French Commercial Code (*Code de commerce*).

Concerning the information given in accordance with the requirements of article L. 22-10-9 of the French Commercial Code (*Code de commerce*) relating to remunerations and benefits received by or awarded to the members of the Board of Directors and any other commitments made in their favour, we have verified its consistency with the financial statements, or with the underlying information used to prepare these financial statements and, where applicable, with the information obtained by your Company from controlled enterprises included in the scope of consolidation. Based on these procedures, we attest the accuracy and fair presentation of this information.

With respect to the information relating to items that your company considered likely to have an impact in the event of a takeover bid or exchange offer, provided pursuant to article L. 22-10-11of the French Commercial Code (*Code de commerce*), we have agreed this information to the source documents communicated to us. Based on these procedures, we have no observations to make on this information.

Other Information

In accordance with French law, we have verified that the required information concerning the purchase of investments and controlling interests and the identity of the shareholders or holders of the voting rights has been properly disclosed in the management report.

Other Legal and Regulatory Verifications or Information

Format of presentation of the financial statements intended to be included in the annual financial report

We have also verified, in accordance with the professional standard applicable in France relating to the procedures performed by the statutory auditor relating to the annual and consolidated financial statements presented in the European single electronic format, that the presentation of the financial statements intended to be included in the annual financial report mentioned in article L. 451-1-2, I of the French Monetary and Financial Code (*Code monétaire et financier*), prepared under the responsibility of the Chairman and Chief Executive Officer, complies with the single electronic format defined in the European Delegated Regulation No 2019/815 of 17 December 2018.

Based on the work we have performed, we conclude that the presentation of the financial statements intended to be included in the annual financial report complies, in all material respects, with the European single electronic format.

We have no responsibility to verify that the financial statements that will ultimately be included by your company in the annual financial report filed with the AMF are in agreement with those on which we have performed our work.

Appointment of the Statutory Auditors

We were appointed as statutory auditors of Kering SA by the Shareholders' Meeting of May 18, 1994 for Deloitte & Associés and April 28, 2022 for PricewaterhouseCoopers Audit.

As at December 31, 2023, Deloitte & Associés was in its 30th year of uninterrupted engagement and PricewaterhouseCoopers Audit in its 2nd.

Responsibilities of Management and Those Charged with Governance for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with French accounting principles, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless it is expected to liquidate the Company or to cease operations.

The Audit Committee is responsible for monitoring the financial reporting process and the effectiveness of internal control and risks management systems and where applicable, its internal audit, regarding the accounting and financial reporting procedures.

The financial statements were approved by the Board of Directors.

Statutory Auditors' Responsibilities for the Audit of the Financial Statements

Objectives and audit approach

Our role is to issue a report on the financial statements. Our objective is to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with professional standards will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As specified in article L. 821-55 of the French Commercial Code (*Code de commerce*), our statutory audit does not include assurance on the viability of the Company or the quality of management of the affairs of the Company.

As part of an audit conducted in accordance with professional standards applicable in France, the statutory auditor exercises professional judgment throughout the audit and furthermore:

- identifies and assesses the risks of material misstatement of the financial statements, whether due to fraud or error, designs and performs audit procedures responsive to those risks, and obtains audit evidence considered to be sufficient and appropriate to provide a basis for his opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control;
- obtains an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the internal control;
- evaluates the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management in the financial statements;
- assesses the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. This assessment is based on the audit evidence obtained up to the date of his audit report. However, future events or conditions may cause the Company to cease to continue as a going concern. If the statutory auditor concludes that a material uncertainty exists, there is a requirement to draw attention in the audit report to the related disclosures in the financial statements or, if such disclosures are not provided or inadequate, to modify the opinion expressed therein;
- evaluates the overall presentation of the financial statements and assesses whether these statements represent the underlying transactions and events in a manner that achieves fair presentation.

Report to the Audit Committee

We submit a report to the Audit Committee which includes in particular a description of the scope of the audit and the audit program implemented, as well as the results of our audit. We also report, if any, significant deficiencies in internal control regarding the accounting and financial reporting procedures that we have identified.

Our report to the Audit Committee includes the risks of material misstatement that, in our professional judgment, were of most significance in the audit of the financial statements of the current period and which are therefore the key audit matters that we are required to describe in this report.

We also provide the Audit Committee with the declaration provided for in article 6 of Regulation (EU) N° 537/2014, confirming our independence within the meaning of the rules applicable in France such as they are set in particular by Articles L. 821-27 to L. 821-34 of the French Commercial Code (*Code de commerce*) and in the French Code of Ethics for statutory auditors. Where appropriate, we discuss with the Audit Committee the risks that may reasonably be thought to bear on our independence, and the related safeguards.

Neuilly-sur-Seine and Paris-La Défense, February 29, 2024

The Statutory Auditors

French original signed by

PricewaterhouseCoopers Audit		Deloitte & Associés	
Camille Phelizon	Patrice Morot	David Dupont-Noel	Bénédicte Margerin

5 - STATUTORY AUDITORS' SPECIAL REPORT ON REGULATED AGREEMENTS WITH THIRD PARTIES

Shareholders' Meeting held to approve the financial statements for the year ended December 31, 2023

This is a free translation into English of the Statutory Auditors' special report on regulated agreements with third parties issued in French and is provided solely for the convenience of English speaking readers.

This report should be read in conjunction with, and construed in accordance with, French law and professional auditing standards applicable in France.

To the Kering S.A. General Shareholders' Meeting,

In our capacity as Statutory Auditors of Kering S.A., we hereby report to you on regulated agreements with third parties.

It is our responsibility to report to shareholders, based on the information provided to us, on the main terms and conditions of agreements that have been disclosed to us or that we may have identified as part of our engagement, as well as the reasons given as to why they are beneficial for the Company, without commenting on their relevance or substance or identifying any undisclosed agreements. Under the provisions of Article R.225-31 of the French Commercial Code (*Code de commerce*), it is the responsibility of the shareholders to determine whether the agreements are appropriate and should be approved.

Where applicable, it is also our responsibility to provide shareholders with the information required by Article R.225-31 of the French Commercial Code in relation to the implementation during the year of agreements already approved by the Shareholders' Meeting.

We performed the procedures that we deemed necessary in accordance with professional standards applicable in France to such engagements. These procedures consisted in verifying that the information given to us is consistent with the underlying documents.

Agreements submitted for the approval of the Shareholders' Meeting

Agreements authorized and entered into during the year

In accordance with Article L. 225-40 of the French Commercial Code, we were informed of the following agreement entered into during the year and authorized in advance by the Board of Directors.

Service agreement with Maureen Chiquet

Under the terms of a service agreement signed with Kering S.A. on July 28, 2023, Maureen Chiquet provided the following services to the Board of Directors on an ad hoc basis:

- advice on brand issues and the elevation practices of Kering's Houses;
- specific analysis of the Houses' current practices in terms of product offering, communication, customer experience and services;
- advice on investments in the luxury goods industry.

Under the terms of this specific assignment, Maureen Chiquet provided the Company and the Board of Directors with insight into dynamics at work within the luxury goods industry and existing best practices, in order to facilitate the analysis of the performance of Kering's Houses, their positioning in the luxury goods sector, and the monitoring of the implementation of their elevation strategy.

The service agreement was previously authorized by the Board of Directors on July 18, 2023 for a non-renewable six-month period, and included a lump-sum payment of €200,000. The agreement expired on December 31, 2023.

Reasons why the agreement was beneficial for the Company:

The Board of Directors considered that this agreement would enable Kering to benefit from personalized support, given Maureen Chiquet's specific experience, in order to accelerate the process undertaken by the Group and guarantee the success of its Houses.

Person concerned:

- Maureen Chiquet, Director of Kering SA since September 1, 2023.

Agreements previously approved by the shareholders' meeting

Agreements approved in previous years that remained in force during the year

Pursuant to Article R.225-30 of the French Commercial Code, we have been advised that the following agreement, approved in previous years by the Shareholders' Meeting, remained in force during the year.

Support agreement for services provided by Artémis SAS

Pursuant to the terms of a support agreement signed on September 27, 1993 between Kering SA and Artémis SAS, – it being specified that this company was converted from a public limited liability company (société anonyme) into a simplified limited liability company (société par actions simplifiée) on July 23, 2018 – Artémis SAS carries out research and advisory work for Kering SA in the following areas:

- strategy and development of the Kering SA Group and support in carrying out complex legal, tax, financial and real estate transactions;
- sourcing of business development opportunities in France and abroad or cost-cutting measures.

At its March 10, 1999 meeting, the Kering SA Supervisory Board authorized payment for these services amounting to 0.037% of consolidated net revenue (excluding VAT).

In line with the appropriate modifications to Kering SA's corporate governance rules, the Board of Directors decided on July 6, 2005, without amending the agreement in force since September 27, 1993, that the Kering SA Audit Committee would perform, in addition to the usual annual review of the existence and substance of the support provided by Artémis SAS to Kering SA, an annual assessment of the services and a fair price for the services, given the conveniences provided and the cost savings realized in the common interest.

The methods for assessing the contractually agreed amount were reviewed by the Audit Committee which, at its meeting of February 5, 2024, noted that Kering SA had continued to benefit, during 2023, from the advice and assistance of Artémis SAS on recurring topics including communications, public and institutional relations, as well as the development strategy and its implementation and access to a luxury environment (loans of artwork, access to premises).

At its February 7, 2024 meeting, the Board of Directors re-examined this agreement, and duly noted the payment of €6,747 thousand (excluding VAT) under this agreement in respect of 2023, it being specified that the revenue from Kering Eyewear and from discontinued operations were excluded from the calculation base of this fee, as was the case in previous years.

Persons concerned:

- Artémis SAS, a shareholder of Kering SA with more than 10% of the voting rights;
- François-Henri Pinault, Chairman and Chief Executive Officer of Kering SA, and Chairman of Artémis SAS;
- Jean-François Palus, Director and Group Managing Director of Kering SA, until October 3, 2023, and Deputy Managing Director of Artémis SAS;
- Héloïse Temple-Boyer, permanent representative of Financière Pinault SCA, Director of Kering SA and Deputy Managing Director of Artémis SAS.

Neuilly-sur-Seine and Paris-La Défense, February 29, 2024

The Statutory Auditors

French original signed by

PricewaterhouseCoopers Audit		Deloitte & Associés	
Camille Phelizon	Patrice Morot	David Dupont-Noel	Bénédicte Margerin